PASSBOOK · CA INTERMEDIATE · GROUP II

Paper 5

Auditing and Ethics

Short Notes

For every lesson, in syllabus order: the key idea, the formats and formulas, the answer frame, the common mistakes with their fixes, and the recap.

62 lessons in 11 chapters · phone edition · made 2026-10-20 from the PassBook lessons

The labs (step-through simulators) are not printed: open the lesson in the PassBook app for the interactive version.

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CHAPTER 1

Nature, Objective and Scope of Audit

1.1 What an audit is, why it is needed and its objective

Key idea

An audit does not make the accounts; it makes them believable. An independent person examines the financial information and expresses an opinion on it, and that opinion gives every user confidence: high, but never a guarantee.

ANSWER FRAME

"Explain the meaning of audit" (with an incisive analysis)

1. **Definition**, word for word: "An audit is an independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when such an examination is conducted with a view to expressing an opinion thereon."
2. **Point 1, independence:** judgment not subordinate to the wishes or direction of another person who might have engaged him; opinion formed without influence; objectivity without bias.

3. **Point 2, any entity:** profit oriented or not; any size; any legal form (name a few).
4. **Point 3, purpose:** to express an opinion on the financial statements through a written report; preparation is management's responsibility.
5. **Apply** each point to the facts, then **conclude**.

"Explain the benefits and need of an audit"

The seven points of SM 1.17–1.18 in order, one line each with its reason, then one closing line tying them to the case (the loan, the absent owners, the cash-handling staff).

Loses marks

"Audit is useful: it catches fraud and banks like it."

Two benefits named, no reasons, nothing from the case.

Passes

Five or six benefits as bare labels: quality, shareholders, tax, banks, fraud.

The list is recognisable but thin, and the moral check and controls are missing.

Full marks

All seven in ICAI's order, each with its one-line reason, applied to the case (the lender's credit decision, the sleeping partner, the cash-collecting staff).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the auditor who "prepared and audited" the accounts**
   Fix: preparation and presentation of the financial statements is the responsibility of management; the auditor expresses an opinion on them in a written report (SM 1.6).

2. **The report addressed to the management**
   Fix: the report is submitted to the person making the appointment: the shareholders of a company, the partners of a firm (SM 1.19).

3. **Benefits in a heap**
   Fix: learn the seven in ICAI's order with the mnemonic, and give each its reason.

RECAP

- **Audit:** an independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form,

conducted with a view to expressing an opinion thereon.

- **Independence:** the auditor's judgment is not subordinate to the wishes or direction of anyone who engaged him; no audit of a brother's concern or of a company whose shares he holds.
- Management prepares and presents the financial statements; the auditor expresses an opinion in a written report. The nature of auditing is **assurance**: confidence and credibility for users.
- **Objective (SA 200):** reasonable assurance that the financial statements as a whole are free from material misstatement, whether due to fraud or error, enabling an opinion; then report and communicate as the SAs require. The same objective for every entity.
- **Seven benefits, in order:** quality information, shareholders' interest, moral check, tax authorities, lenders, fraud or error detected, deficiencies in controls.
- Not always mandatory: companies by law, others under tax laws or for grants, many voluntarily.
- Appointed by the owners (company: members in the AGM; government company: C&AG; firm: partners) or by a government authority under a law; the report goes to whoever appointed the auditor.
- Origin: Kautilya's Arthashastra; *audire*, "to hear"; first Auditor General 1860; ICAI 1949. (Kesar still offers to read his accounts aloud.)

1.2 SA 200: overall objectives, reasonable assurance and professional judgment

Key idea

Reasonable assurance is a high level of assurance, never a guarantee. It is reached when sufficient appropriate audit evidence has reduced audit risk to an acceptably low level, and deciding when that point has been reached is a matter of professional judgment.

ANSWER FRAME

"Discuss the objectives of the auditor" or "Can the auditor give a guarantee?"

1. **Provision:** "As per SA 200 ..." with objectives (a) and (b) word for word.
2. **The four points:** reasonable, not absolute, assurance (define both); fraud or error, statements as a whole; the opinion in all material respects per the framework; reporting and communication through a written report.
3. **Why not absolute:** audit risk cannot be reduced to zero; inherent limitations; evidence persuasive rather than conclusive.
4. **Facts and conclusion:** "In the given case, ... hence the contention of ... is not correct."

A case on judgment or skepticism

Provision (SM 3.9 for judgment, SM 4.12–4.13 for sufficiency, SM 6.10 for documentation, SM 11.12–11.13 for skepticism) → facts → what the judgment or the skeptical step is in this case → conclusion.

Loses marks

"No, the auditor cannot give a guarantee because he checks on a test basis."

One limitation, no objective, no definition of reasonable assurance.

Passes

Objective (a) quoted, "reasonable assurance is high but not absolute", and a one-line conclusion.

Objective (b) and the four points are missing.

Full marks

Both objectives verbatim, the four points, absolute versus reasonable assurance defined, why audit risk cannot be zero, the facts applied, a clear conclusion.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "reasonable assurance means moderate assurance"**
   Fix: reasonable assurance is a **high** level of assurance; the moderate (limited) level belongs to a review (SM 1.9, 1.24).

2. **Half an objective**
   Fix: learn both objectives word for word; each phrase is a mark in ICAI's answers.

3. **"Professional judgment means my opinion"**
   Fix: it is exercised by an auditor whose training, knowledge and experience support reasonable judgments, on the evidence obtained, and significant judgments are documented (SM 3.9, 6.10).

4. **The audit that took over management's job**
   Fix: the premise of SA 200: management and, where appropriate, those charged with governance accept responsibility for preparing the statements and for the necessary internal control (SM 8.15).

RECAP

- **SA 200** "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with

Standards on Auditing".

- **Objective (a):** reasonable assurance that the financial statements as a whole are free from material misstatement, whether due to fraud or error, enabling an opinion on whether they are prepared, in all material respects, in accordance with an applicable financial reporting framework. **Objective (b):** report and communicate as required by the SAs, in accordance with the findings.
- **Purpose:** to enhance the degree of confidence of intended users in the financial statements.
- **Reasonable assurance** = high, not a guarantee; **absolute assurance** = a complete guarantee, never attainable. Audit risk cannot be reduced to zero; evidence is persuasive rather than conclusive.
- Reasonable assurance is obtained when sufficient appropriate audit evidence has reduced **audit risk** (an inappropriate opinion on materially misstated statements) to an acceptably low level.
- **Premise:** management (and, where appropriate, those charged with governance) accept responsibility for preparing the statements and for the necessary internal control.
- **Professional judgment:** risk assessment, materiality and sufficiency of evidence are judgments, not precise measurements, made by an auditor with the training, knowledge and experience to reach reasonable judgments; significant ones are documented.

- **Professional skepticism:** a questioning mind, alertness to possible misstatement, critical assessment of evidence; honesty in the past does not excuse it. (Bunty's 13-year tick would not have helped either.)

Interactive version: PassBook app, lesson SA 200: overall objectives, reasonable assurance and professional judgment

1.3 Inherent limitations of an audit

Key idea

The limitations are built into every audit, so audit risk can never be reduced to zero and the assurance is reasonable, not absolute. They explain why a properly planned and performed audit can still miss a misstatement; they never excuse an audit that was not properly performed.

ANSWER FRAME

"List / explain the inherent limitations of audit" (3 to 4 marks)

1. Opening: the process of audit suffers from inbuilt limitations, so absolute assurance is impossible; the auditor is not expected to, and cannot, reduce audit risk to zero (SA 200).
2. The five headings in order, each with one line: judgment in financial reporting (and controls' own limits); practical and legal limits on evidence (samples, information withheld, sophisticated fraud); not an official investigation; relevance falls over time, reliability versus cost; future events.
3. One closing line: hence the auditor cannot provide a guarantee.

A case ("the auditor should have caught it")

Provision (opening + the relevant factors) → **facts** (what the control was, how it failed, what the auditor did) → **analysis** (map each fact to a factor) → **conclusion** (reasonable, not absolute, assurance; fault depends on whether the audit was properly planned and performed in accordance with SAs).

Loses marks

"Audit is done on test check basis, so the auditor cannot detect all frauds."

One limitation, no SA 200, no facts.

Passes

The five headings listed correctly, but no explanation and nothing from the case.

A list answer earns some marks; a case answer, little.

Full marks

The opening sentence, the five headings with their one-line explanations, the facts mapped (collusion, samples, documents), and a conclusion with the "properly planned and performed" condition.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the internal-control list in an audit answer**

   Fix: write the five audit factors of SA 200; mention control limitations only inside the first factor.

2. **"Cost is an inherent limitation, so I skipped the stock count"**

   Fix: as explained in SA 200, difficulty, time or cost is not in itself a valid basis to omit a procedure for which there is no alternative, or to be satisfied with evidence that is less than persuasive (SM 4.71). The cost limitation is about not verifying every matter, not about skipping necessary procedures.

3. **"An audit is not an investigation, so fraud is not my concern"**

   Fix: the objective covers material misstatement "whether due to fraud or error". "Not an investigation" refers to the audit's purpose and the auditor's lack of powers of search and examination on oath; doubts about documents or indications of fraud still require further investigation within the audit (SM 1.12, 11.13).

RECAP

- **Inherent limitations:** inbuilt limits of the audit process, due to which an auditor cannot obtain absolute assurance that the financial statements are free from misstatement due to fraud or error.
- **SA 200:** the auditor is not expected to, and cannot, reduce audit risk to zero; most audit evidence is persuasive rather than conclusive.
- **(1) Nature of financial reporting:** management's judgments; controls with their own limits (collusion at the goods-receiving stamp).
- **(2) Nature of audit procedures:** practical (samples) and legal (cannot force information; can only report) limits; sophisticated fraud and fabricated documents; not an expert in authentication; paper related party transactions.
- **(3) Not an investigation:** no powers of search or of statements on oath. **(4) Timeliness:** relevance falls over time; reliability versus cost. **(5) Future events:** the entity may be adversely affected later.
- Hence no guarantee: there is an unavoidable risk that some material misstatements are not detected even in an audit properly planned and performed in accordance with SAs.
- **Never an excuse:** difficulty, time or cost does not justify omitting a procedure with no alternative (SM 4.71). (Bunty's 20 working days of ticking would not have caught the potato man either.)

1.4 Scope of audit, engagement types and qualities of an auditor

Key idea

The scope of an audit is set by its purpose, an opinion on the financial statements as a whole. Everything that opinion needs (coverage of all relevant aspects, reliable and sufficient records, proper disclosure) is inside; preparing the statements, other professions' work, authenticating documents and investigations are outside.

ANSWER FRAME

A case: "Does the matter fall within the scope of audit?"

1. **Provision**: the purpose of an audit (enhancing the degree of confidence of intended users through an opinion), then the inclusion that decides the case, in the Study Material's words (coverage, reliability and sufficiency, proper disclosure), or the exclusion (competence, authentication, investigation).
2. **Facts**: "In the given case, ...", with the figures.
3. **Analysis**: link each fact to its inclusion or exclusion.
4. **Conclusion**: "Hence, the matter falls well within the scope of audit; management's contention is not correct", or the reverse.

"Explain the matters which fall outside the scope of an audit"

The four, each with ICAI's example: preparation and presentation (management's responsibility); duties outside competence (sophisticated machinery, civil structures: engineers); authentication of documents (not an expert); investigation (no powers of search or of recording statements on oath; general and broad versus specific and narrow).

Three answers to "The notes nobody reads"

Loses marks

"The auditor checks everything, so all three are in scope."

A conclusion with no provision, and a wrong idea of coverage.

Passes

The three inclusions listed, then "so all three are within the scope".

The provision is right, but the facts are not linked to it.

Full marks

Purpose, the three inclusions in ICAI's words, each matter tied to its inclusion (Khurja: coverage; freight: reliability and sufficiency, not authentication; mortgage: disclosure), each of management's arguments answered, and a verdict on every contention.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty's every-voucher audit**
   Fix: coverage means organising the audit to cover every aspect relevant to the financial statements; the auditor tests samples and does not verify each and every transaction (SM 1.14–1.15, Case Study 1).

2. **"Notes and disclosures are the company secretary's business"**
   Fix: proper disclosure of financial information is one of the three inclusions, judged against statutory requirements too.

3. **Calling a fraud hunt an audit**
   Fix: that is an investigation; an audit is not an official investigation, and its scope is general and broad, not specific and narrow.

4. **The auditor who certifies the machine**
   Fix: both are outside the auditor's competence or expertise; the work belongs to engineers or document experts.

5. **"Not an expert, so not my problem"**
   Fix: the auditor does not certify genuineness, but where there is doubt about the reliability of evidence he must investigate further and modify or add procedures (SM 11.13); and a missing lorry receipt is a question of reliability and sufficiency of financial information, which is inside the scope.

RECAP

- Purpose of audit: enhance the degree of confidence of intended users, by an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework (Schedule III for companies).
- Scope includes coverage of all aspects of the entity relevant to the financial statements, reliability and sufficiency of financial information, proper disclosure of financial information, and the opinion.
- The auditor evaluates selection and consistent application of accounting policies; management chooses them.
- Audit is based on historical financial information.

- Scope excludes: preparation and presentation (management); duties outside competence (machinery, buildings); authentication of documents; investigation.
- Investigation: a critical examination of the accounts with a special purpose. Audit general and broad, investigation specific and narrow.
- Engagement: a formal agreement under which the auditor agrees to provide auditing services, in an engagement letter; external audit engagements are reasonable assurance engagements.
- Qualities: tact, caution, firmness, good temper, integrity, discretion, industry, judgment, patience, clear headedness, reliability; integrity backed by independence; accounting knowledge the sine qua non. (Kesar's kiln still needs an engineer.)

1.5 Auditing and its relationship with other disciplines

Key idea

Auditing draws from accountancy, law, behavioural science, statistics, economics and financial management (and, in ICAI's chart, data processing and production). Each gives the auditor a tool; a sound knowledge of accounting principles is the one requirement ICAI calls fundamental.

ANSWER FRAME

"Explain why the auditor needs knowledge of X, Y and Z" (a case)

1. One opening line: auditing is interdisciplinary in nature; it draws from diverse subjects and makes use of them.
2. For each discipline asked: its one-line link in the Study Material's words ("Auditing and Behavioural Science: knowledge of human behaviour is essential for an auditor to effectively discharge his duties").
3. Then the fact of the case it explains, and what the auditor does with it.
4. A closing line: mere verification of the records is not enough to form the opinion.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the essay that forgot the case**
   Fix: in May 2026 the marks were for each discipline's link *and* the fact it explains: two sentences per discipline.

2. **Statistics without mathematics**
   Fix: ICAI's line has two halves: statistical sampling for meaningful conclusions, and mathematics for verification of inventories.

3. **Six disciplines, or the link made up from the name**
   Fix: learn the eight one-liners in ICAI's words ("familiar with the overall economic environment of the client"), and keep their emphasis: knowledge of accounting principles is called a fundamental requirement, and knowledge of human behaviour is called essential.

RECAP

- Auditing is interdisciplinary: it draws from accountancy, law, behavioural science, statistics, economics and financial management; ICAI's chart adds data processing and production.
- Accounting: auditing reviews financial statements, the result of the accounting process; sound knowledge of

accounting principles is the fundamental requirement.

- Law: good knowledge of business laws (and taxation laws) affecting the entity.
- Economics: the overall economic environment of the client.
- Behavioural science: human behaviour, because the auditor seeks information and makes inquiries of many people.
- Statistics and mathematics: statistical sampling for meaningful conclusions; mathematics for verification of inventories.
- Data processing: EDP auditing is developing as a discipline in itself. Financial management: working capital, funds flow, ratios, capital budgeting, and financial markets.
- Production: understand the client's business functions, production, cost system, marketing. (Kesar's samosa line counts.)

1.6 Assurance engagements and the engagement and quality control standards

Key idea

An assurance engagement is a practitioner's conclusion that raises the confidence of intended users, other than the responsible party, in a subject matter measured against criteria. Audit gives reasonable (high) assurance, review limited (lower) assurance, prospective information only moderate assurance; related services give none. SAs, SREs, SAEs and SRSs are the Engagement Standards; SQC 1 applies to all of them.

ANSWER FRAME

"Which Standards apply, and what assurance?" (a case)

1. **Provision**: the four families of Engagement Standards, with where each applies, and "SQCs are to be applied for all services covered by Engagement Standards".
2. **Facts**: what is examined (historical or prospective; financial or controls) and whether a conclusion giving assurance is expressed.
3. **Analysis**: the family; the Standard the Study Material names, if any (SRE 2400 (Revised), SRE 2410, SAE 3400, SAE 3420, SRS 4400, SRS 4410 (Revised)); the level of assurance.

4. **Conclusion**: "Hence, the Standards on ... are relevant; SQC 1 applies".

"Distinguish reasonable and limited assurance engagements"

The four rows of ICAI's table: level of assurance; procedures (elaborate and extensive, or fewer); conclusions (reasonable, or limited, both on sufficient appropriate evidence); example (audit, or review).

"Distinguish historical and prospective financial information" and its effect on assurance

Definitions (past events that have occurred; assumptions about future events and possible actions), then the four things the practitioner obtains evidence on, why no opinion on achievement is possible (future-oriented evidence), the "nothing has come to the practitioner's attention" report, and "moderate".

"Discuss the elements of an assurance engagement"

The five in ICAI's order, one line each, with the three parties defined.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "limited assurance, so limited evidence"**
   Fix: a limited assurance engagement involves obtaining **sufficient appropriate evidence** to draw **limited conclusions**; it performs fewer procedures (SM 1.25). This was the wrong statement in MTP September 2026 Series II MCQ 15.

2. **The bank as the third party**
   Fix: the third party is the **intended users**, the persons for whom the report is prepared, other than the responsible party.

3. **SQC 1 only for audits**
   Fix: SQCs are to be applied for all services covered by Engagement Standards, related services included (SM 1.31; Case Study 2 answer (c), SM 1.36).

4. **Certifying the future**
   Fix: he obtains evidence that the assumptions are not unreasonable, the forecast is properly prepared and presented and material assumptions are disclosed; he cannot give an opinion on achievement.

5. **"Assurance means historical financial information"**
   Fix: assurance engagements are not restricted to audit, nor to historical financial information: prospective information and controls are subject matters of assurance engagements too (SM 1.25, 1.38–1.40).

RECAP

- Assurance engagement: a practitioner expresses a conclusion designed to enhance the degree of confidence of intended users other than the responsible party about the evaluation or measurement of a subject matter against criteria.
- Five elements: a three party relationship (practitioner, responsible party, intended users), an appropriate subject matter, suitable criteria, sufficient appropriate evidence and a written assurance report in appropriate form.
- Audit: reasonable assurance (high), elaborate and extensive procedures. Review: limited assurance (lower), fewer procedures, still sufficient appropriate evidence, limited conclusions.
- Prospective financial information: based on assumptions about future events and possible actions; evidence on assumptions not unreasonable, proper preparation, presentation and disclosure; no opinion on achievement; "nothing has come to our attention"; moderate assurance.

- Engagement Standards: SAs (audit of HFI), SREs (review of HFI), SAEs (other assurance), SRSs (agreed-upon procedures, compilation). Purpose: high quality standards and guidance.
- SQC 1: firm's system of quality control; applies to all services covered by Engagement Standards.
- Standards needed for benchmarks at par with global practice, better reporting, uniformity, knowledge and skill, audit quality.
- Departure: document how alternatives achieve the purpose, and the reason unless clear; report draws attention; disclosure does not absolve. (Dev's stamp stays undiscounted.)

CHAPTER 2

Audit Strategy, Audit Planning and Audit Programme

2.1 SA 300: planning, overall audit strategy and audit plan

Key idea

The overall audit strategy sets the scope, timing and direction of the audit and guides the audit plan; the audit plan sets the nature, timing and extent of the audit procedures. Planning is a continual and iterative process that ends only with the audit, and both the strategy and the plan remain the auditor's responsibility.

ANSWER FRAME

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 300, Planning an Audit of Financial Statements, ..." and only the requirement the case needs (strategy factors, plan contents, changes, supervision, documentation, responsibility).
2. **Facts of the case**: "In the given case, ..." the facts that trigger the requirement.
3. **Analysis**: which element of planning it is, and why (scope, timing and direction, or nature, timing and extent).

4. **Conclusion**: "Thus, … is (not) in line with SA 300", plus what the auditor should do.

"Explain the relationship between the overall audit strategy and the audit plan"

The five points ICAI's answers give (SM 2.15), each a mark:

1. Strategy sets the broad overall approach; the plan addresses the matters identified in the strategy.
2. Strategy determines scope, timing and direction; the plan describes how the strategy is implemented.
3. The plan is more detailed: the nature, timing and extent of procedures by team members; it develops over the course of the audit.
4. Once the strategy is established, the plan is developed, using the auditor's resources efficiently.
5. They are not necessarily discrete or sequential processes but closely inter-related: a change in one may change the other.

Three answers to "the client's finance head will write the strategy"

The question type of SM Illustration 2 and MTP May 2025 Series II Q2(c).

Loses marks

"Not allowed, the auditor must be independent."

No SA 300 requirement, no conclusion.

Passes

"As per SA 300 the overall audit strategy is the auditor's responsibility, so the offer should be declined."

Provision and conclusion; the discussion-with-management rule is missing.

Full marks

The responsibility rule (the auditor establishes the strategy and develops the plan), the permission to discuss elements of planning without compromising effectiveness, the facts (the finance head's own figures are under audit), the conclusion (the auditor should have prepared both).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the plan laminated in November**
   Fix: planning is continual and iterative; update the strategy and plan as necessary and document each significant change with its reasons.

2. **Putting resources in the audit plan**
   Fix: resources (which, how much, when, how managed) belong to the **overall audit strategy**; the plan describes the nature, timing and extent of procedures. September 2024 MCQ 14 turns on this.

3. **"Management may prepare the strategy if the auditor reviews it"**
   Fix: the overall audit strategy and the audit plan remain the auditor's responsibility. The auditor may only *discuss elements* of planning with management, with care not to compromise the effectiveness of the audit.

4. **Documenting two things out of three**
   Fix: three items: the overall audit strategy, the audit plan, and any significant changes made during the engagement to either, with the reasons for them.

RECAP

- Objective of SA 300: plan the audit so that it will be performed in an effective manner; planning reduces audit risk to an acceptably low level.
- Six benefits: important areas, problems solved on time, organised audit, right team, direction-supervision-review, coordination with experts.
- Planning is continual and iterative, from shortly after the previous audit to the completion of the current

one; before risks are assessed it considers analytical procedures, legal framework, materiality, experts and other risk assessment procedures.

- Preliminary engagement activities: client continuance, ethical requirements including independence, understanding of the terms of engagement.
- Overall audit strategy: scope, timing and direction; decides which resources, how much, when, and how managed; five factors (scope, reporting objectives, significant factors, preliminary results, resources).
- Audit plan: nature, timing and extent of planned risk assessment procedures, further audit procedures at the assertion level, and other procedures required by SAs; more detailed than the strategy.
- Both remain the auditor's responsibility; update them as necessary; plan direction, supervision and review by entity size and complexity, audit area, assessed risks and team competence.
- Document the strategy, the plan and significant changes with reasons. (A captain who never changes the field on a turning pitch loses the Test.)

Interactive version: PassBook app, lesson SA 300: planning, overall audit strategy and audit plan

2.2 The audit programme

Key idea

An audit programme is a detailed plan of applying the audit procedures, with instructions, for one engagement. It must be written, tailored to the business, reviewed periodically, followed and signed by the assistants, who are encouraged to report significant matters beyond it.

FORMATS AND FORMULAS

ICAI's layout of an audit programme

Reproduce this layout from memory: the header block, then the five columns, in this order (SM 2.25).

Header	Entry
Name of concern	(entity)
Financial year	(year)
Prepared by	(name, with date)
Reviewed by	(name, with date)
Approved by	(name, with date)

Serial number	Nature of procedure	Extent of check	Basis of sample	Done by
(a)	Vouch a few invoices			
(b)	Trace into account books			
(c)	...			

ICAI's own extract (sales of a manufacturer, SM 2.25) lists: vouch a few sales invoices; trace them into the account books; verify a few invoices with e-way bills on the e-way bill portal; trace a few invoices into the stock records to ensure sold quantities were reduced from stock; trace a few invoices into the buyers' accounts. The extract in ICAI's January 2025 paper (case scenario 1) shows the columns filled in: "10%" for extent of check, "Random Sampling" for basis of sample, and the assistant's initial under "Done by".

ANSWER FRAME

"Is the auditor right to use another client's (or last year's) programme?"

1. **Provision**: evolving one audit programme for all businesses under all circumstances is not practicable (nature, size, composition, internal control, nature of service vary); the programme needs periodic review,

or an obsolete programme may make the whole audit negligently conducted.

2. **Points for construction**: list the seven.
3. **Facts**: how the two businesses (or this year and last) differ.
4. **Conclusion**: "Thus, CA ... is (not) correct; a separate (revised) audit programme should be prepared."

"Advantages and disadvantages": a two-column answer

Advantages (8)	Disadvantages (4)
Clear instructions; total perspective; easier selection of assistants; no "mental plan"; responsibility by signature; principal controls progress; guide for next year; evidence against negligence	Mechanical work; rigid and inflexible; shelter for inefficient assistants; kills initiative. Cure: imaginative supervision, receptive attitude, assistants encouraged to report

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the programme photocopied from last year**
   Fix: periodic review is required; an obsolete programme can make the whole audit "negligently conducted" (SM 2.19).

2. **"It was not in my programme"**
   Fix: assistants keep an open mind beyond the programme and report significant matters; taking shelter behind the programme is a disadvantage the auditor must cure.

3. **Confusing the programme with the audit plan**
   Fix: the audit plan describes the nature, timing and extent of planned procedures; the written **audit programme** sets out the procedures, with instructions, needed to implement it (SM 2.21). January 2025 MCQ 3 turns on this.

RECAP

- Audit programme: a detailed plan of applying the audit procedures in the given circumstances, with instructions for the techniques to accomplish the audit objectives; it includes the extent of checking and the sampling plan.
- One programme for all businesses is not practicable (nature, size, composition, internal control and

service vary).

- Start with a standard programme of minimum essential work; add relevant steps and drop irrelevant ones; assistants keep an open mind and report significant matters.
- Review it periodically, or an obsolete programme can make the whole audit negligently conducted; until the principal changes it, assistants follow it unfailingly.
- Construction: scope; written; best evidence; useful steps only; objectives and instructions; all possibilities of error; co-ordinate related items. No discretion on timing for inventory counts and year-end cash and securities.
- Evidence: the programme prescribes procedures for the best evidence of each assertion, drawn from ten broad types (documentary and physical examination to subsequent action by the client and others); cash in hand: count; investment pledged with a bank: banker's certificate.
- Eight advantages, ending with evidence against a charge of negligence; four disadvantages (mechanical, rigid, shelter, kills initiative), cured by imaginative supervision, a receptive attitude and encouraging assistants to report.
- ICAI's layout: name, year, prepared, reviewed, approved; then serial number, nature of procedure, extent of check, basis of sample, done by. (Sour milk gets reported, recipe card or no recipe card.)

CHAPTER 3

Risk Assessment and Internal Control

3.1 Audit risk: inherent, control and detection risk

Key idea

Audit risk is a function of the risk of material misstatement (inherent risk and control risk, the entity's risks) and detection risk (the auditor's). The auditor can influence only detection risk, so the higher the assessed risk of material misstatement, the lower detection risk must be kept, through more and better audit evidence.

ANSWER FRAME

"Identify and explain the risk" in a case

1. **Name the risk** and give its SA 200 definition in ICAI's words.
2. **Explain it** with the Study Material's points (inherent risk: higher for complex calculations, external circumstances; control risk: inverse relation with efficiency of internal control; detection risk: sampling and non-sampling).
3. **Apply it to the facts**: "In the given case, ..."

4. **Conclude**, and add the consequence: "Hence detection risk must be kept low by increasing the area of checking, testing larger samples and using competent and experienced staff."

"Distinguish between inherent, control and detection risk"

Point

Key words

Inherent risk

Susceptibility of an assertion, "before consideration of any related controls"

Control risk

Not "prevented, or detected and corrected, on a timely basis" by internal control

Detection risk

Auditor's procedures "will not detect" a material misstatement

Point

Owner

Inherent risk

Entity

Control risk

Entity

Detection risk

Auditor

Point	Inherent risk	Control risk	Detection risk
Auditor can change it?	No, only assess it	No, only assess it	Yes
Moves with	Complexity, external circumstances	Inversely with efficiency of internal control	Area of checking, sample size, staff competence
Example	Complex calculation; failing industry	Locked-safe rule not followed	Unrepresentative sample

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the definition swap**
   Fix: "susceptibility ... before consideration of controls" is inherent risk; "not prevented, or detected and corrected, on a timely basis by internal control" is control risk.

2. **"The risk is high, so keep detection risk high"**
   Fix: they move in opposite directions. High risk of material misstatement means detection risk must be kept low, which means more and better evidence (MTP September 2024 Series I).

3. **The auditor who promises to cut control risk**
   Fix: those are the entity's risks, influenced by the client and not by the auditor (SM 3.5); the auditor assesses them and can reduce only detection risk.

4. **Counting the lawsuit**
   Fix: litigation, adverse publicity, and calling correct accounts wrong are not audit risk for the SAs.

RECAP

- Audit risk: the risk that the auditor gives an inappropriate opinion when the financial statements

are materially misstated. It is a function of the risk of material misstatement and detection risk.

- Risk of material misstatement: misstated before audit; at the financial statement level and the assertion level; components inherent risk and control risk, both the entity's.
- Inherent risk: susceptibility to material misstatement before considering controls; higher for complex calculations and in failing industries.
- Control risk: internal control will not prevent, or detect and correct, a material misstatement on time; inverse to the efficiency of internal control.
- Detection risk: the auditor's procedures will not detect it; sampling and non-sampling risk; the only one the auditor can influence.
- Reduce detection risk: wider checking, larger samples, competent and experienced staff.
- Not audit risk: the auditor's business risks; calling correct accounts wrong. Assessment is judgment, not measurement.
- Audit risk = inherent risk × control risk × detection risk. (Sour chai needs all three strainers to fail.)

Interactive version: PassBook app, lesson Audit risk: inherent, control and detection risk

3.2 SA 320: materiality and performance materiality

Key idea

Materiality is the size (or nature) of misstatement that could influence users' economic decisions. The auditor sets it by judgment from a benchmark and a percentage, sets performance materiality lower to cover misstatements that add up, applies both from planning to the opinion, revises them when circumstances change, and documents them.

FORMATS AND FORMULAS

Formula

Materiality for the financial statements as a whole

$$\text{Materiality} = \text{Benchmark} \times \text{Percentage}$$

A starting point, not a mechanical rule: a percentage is often applied to a chosen benchmark as a starting point (SM 3.20). Benchmark: the figure users focus on, from relevant financial data, normalised if exceptional. Percentage: professional judgment (for example 5% of profit before tax from continuing operations, 1% of total revenue or expenses for a not-for-profit entity) (SM 3.20–3.21).

The materiality working paper

The audit documentation shall include these amounts **and the factors considered in their determination** (SM 3.23). *Reproduce the four items from memory, in this order.*

Item to document	What it records
(a) Materiality for the financial statements as a whole	Benchmark, percentage, amount, reasons
(b) Materiality level(s) for particular classes, balances or disclosures, if applicable	The items, amounts, reasons
(c) Performance materiality	Amount(s), reasons
(d) Any revision of (a) to (c) as the audit progressed	What changed, revised amounts

ANSWER FRAME

A case on materiality

1. **Provision**: the SA 320 definition, plus the rule the case needs (benchmark factors, nature over size, statutory disclosure, revision, performance materiality).
2. **Facts**: the amounts and their comparison with materiality, or the nature of the item.
3. **Analysis**: size, nature, aggregate, statutory requirement.
4. **Conclusion**: "material / not material", and the consequence (evaluate under SA 450, revise

performance materiality, document).

"Distinguish materiality from performance materiality"

Point	Materiality	Performance materiality
Meaning	Misstatements that could reasonably influence users' economic decisions	Amount set below materiality
Purpose	Frame for the whole audit and the opinion	Reduces to an appropriately low level the probability that uncorrected and undetected misstatements together exceed materiality
Level	Benchmark × percentage	Less than materiality (or than a lower level)

Point
Documented

Materiality
Yes, with factors

Performance materiality
Yes, with factors

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "below materiality, so ignore it"**
   Fix: materiality is "individually or in the aggregate"; add them up. And a small fraud or a missing statutory disclosure is material by nature.

2. **Materiality set once and forgotten**
   Fix: it is applied in planning, performing and evaluating, and revised when circumstances or the auditor's understanding change (SM 3.22–3.23).

3. **Using this year's profit in a freak year**
   Fix: an exceptional decrease or increase calls for a normalised profit before tax from continuing operations based on past results (SM 3.21).

4. **Performance materiality above materiality**
   Fix: by definition it is set **at less than** materiality for the financial statements as a whole. An amount at or above it is not performance materiality.

RECAP

- Material: misstatements, including omissions, that individually or in the aggregate could reasonably be expected to influence users' economic decisions. Size or nature, or both; users as a group.
- Planning materiality guides risk assessment procedures, the assessment of risks and further audit procedures; it is not a bright line.
- Statutory disclosure items are material irrespective of amount; a small fraud can be material by nature.
- Benchmark factors: elements, users' focus, nature of the entity (life cycle, industry, ownership, financing), volatility. Profit before tax from continuing operations is common; normalise an exceptional year.
- Example percentages: 5% of profit before tax (profit-oriented manufacturer); 1% of revenue or expenses (not-for-profit).
- Performance materiality: set below materiality, to reduce to an appropriately low level the probability that uncorrected plus undetected misstatements exceed materiality.

- Revise for changed circumstances, new information or better understanding; if lower, revisit performance materiality and further procedures.
- Document materiality, item levels, performance materiality and revisions, with factors. (Mind the weevil, not the grain.)

Interactive version: PassBook app, lesson SA 320: materiality and performance materiality

3.3 SA 315: risk assessment procedures and understanding the entity

Key idea

SA 315: understand the entity and its environment, including internal control, through risk assessment procedures (inquiry, analytical procedures, observation and inspection), so as to identify and assess the risks of material misstatement at the financial statement and assertion levels. These procedures are the basis for the responses, but by themselves they never give sufficient appropriate audit evidence for the opinion.

ANSWER FRAME

"How will the auditor identify and assess the risks?"

1. Objective of SA 315, in its words.
2. Identify and assess at two levels: financial statement and assertion.
3. The four steps: identify, assess (pervasive?), relate to assertions, consider likelihood and magnitude.
4. Through risk assessment procedures (inquiry, analytical procedures, observation and inspection) and the understanding of the entity.
5. Conclusion: this provides the basis for further audit procedures under SA 330.

"Is this a significant risk?"

Provision (the six factors and the two "always" cases) → facts → the factor(s) the facts trigger → conclusion, with "special audit consideration" as the consequence.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the opinion built on ratios**
   Fix: risk assessment procedures by themselves do not provide sufficient appropriate audit evidence for the opinion; they are the basis for further procedures.

2. **Understanding the entity "done" at planning**
   Fix: it is a continuous, dynamic process throughout the audit (SM 3.28).

3. **Listing every business risk**
   Fix: the auditor considers business risks that may result in risks of material misstatement; there is no responsibility to identify or assess all business risks (SM 3.26).

4. **Calling every large item a significant risk**
   Fix: size alone is not the test; apply the six factors. Significant risks often relate to significant non-routine transactions or judgmental matters (SM 3.42), and fraud risks and significant related party transactions outside the normal course always are significant.

RECAP

- SA 315 objective: identify and assess the risks of material misstatement (fraud or error) at the financial statement and assertion levels, through understanding the entity and its environment, including internal control, as a basis for responses.
- Steps: identify; assess (pervasive?); relate to what can go wrong at the assertion level; consider likelihood and magnitude.
- Risk assessment procedures: inquiries, analytical procedures, observation and inspection. Never sufficient evidence on their own.
- Understand: (a) industry, regulatory, external factors; (b) nature of the entity; (c) accounting policies; (d) objectives, strategies, related business risks; (e) measurement and review of performance; plus internal control.
- Understanding is continuous and dynamic, a frame of reference for the whole audit.

- Significant risk factors: fraud, recent developments, complexity, related parties, subjectivity, unusual or outside the normal course. Always significant: fraud risks; significant related party transactions outside the normal course.
- Document: team discussion, key elements of the understanding and sources, assessed risks at both levels, risks and related controls. (No prescription before the consultation.)

3.4 Internal control: components, limitations and evaluation

Key idea

Internal control is designed, implemented and maintained by those charged with governance, management and other personnel, and gives only reasonable assurance. The auditor understands and evaluates the internal control relevant to the audit, to design the nature, timing and extent of further audit procedures. Maintaining it is never the auditor's job.

FORMATS AND FORMULAS

The questionnaire and the check list

Reproduce these layouts from memory. When ICAI asks you to draft questions, frame each so that "Yes" is the satisfactory answer.

No.	Question	Answer	Remarks
1	Are purchase orders pre-numbered?	Yes / No / N.A.	Explain every "No"

No.	Instruction or question	Answer	Initials
1	Are tenders called before placing orders?	Yes / No / N.A.	

The questionnaire is answered by the client's staff; the check list is followed and initialled by the auditor's own staff (SM 3.47–3.48). The Study Material's check list examples: tenders called before orders; purchases on written orders; standardised and pre-numbered purchase order forms; inventory control accounts kept by persons with nothing to do with custody, receipt, inspection or purchase of inventory (SM 3.47).

The Study Material's questionnaire extracts, in brief

ICAI has asked students to match questions to their area, so know what each area covers (SM 3.48–3.50):

- **Purchases**: centralised purchase department; approved suppliers, with more than one source for important materials; requisitions signed by authorised persons; competitive quotations; pre-numbered orders signed by authorised staff; materials received only in the Receiving Department, by people who cannot issue orders or approve invoices; materials inspected and counted, weighed or

measured on receipt; pre-numbered Goods Received Notes.

- **Creditors**: invoices routed direct to Accounts and entered in a bill register; all invoices processed; quantities and values per invoices reconciled with receipts into stock records; invoices matched with GRNs and purchase orders and checked for prices, freight and terms; advance payments authorised; duplicate invoices marked; suppliers' statements compared with ledgers and differences followed up; unpaid creditors listed and reconciled.
- **Inventories**: stocks in assigned areas; comprehensive insurance (an uninsured risk only by a senior official's decision); a record of policies, reviewed periodically; an official deciding the value insured and reviewing adequacy; perpetual records for raw materials, work-in-progress, finished goods and stores, reconciled with accounts; shortages and excesses reported, investigated and adjusted with written approval; norms for stock levels.
- **Fixed assets**: capital budgets approved; authority to spend restricted to specified officials; the same controls as other purchases; spending kept within the amount authorised; periodic verification under a written procedure, with reports showing damaged or obsolete items; discrepancies investigated and records corrected with appropriate authority.

"Identify the component of internal control"

1. **Name it**: "CA X is gaining an understanding of the [component] component of internal control."
2. **Describe it** in the Study Material's words: what the auditor shall understand or evaluate for that component.
3. **Tie it to the facts**: which fact shows it.
4. **Why it helps**: identifying potential misstatements and designing the nature, timing and extent of further procedures.

"Can a satisfactory control environment prevent fraud?"

The points, from SM 3.35:

Point	What to write
Positive factor	In assessing the risks of material misstatement
But	May reduce the risk of fraud; not an absolute deterrent
Conversely	Deficiencies undermine other controls (IT security example)
By itself	Does not prevent, or detect and correct, a misstatement
Conclusion	"Fraud cannot happen" is not a correct assurance

"Explain the limitations of internal control"

Name and explain each limitation in the Study Material's words, match each lapse to one, and conclude that internal control gives only reasonable assurance. A bare list of names does not get full marks.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the auditor who maintains internal control**
   Fix: management is, because internal control is designed, implemented and maintained by those charged with governance and management (SM 3.82). The auditor understands and evaluates it.

2. **"Strong culture, so no fraud"**
   Fix: a satisfactory control environment is "not an absolute deterrent to fraud", and by itself it does not prevent, or detect and correct, a misstatement (SM 3.35).

3. **Mixing up control activities and monitoring**
   Fix: control activities are the checks themselves; monitoring asks whether those checks are operating as intended over time and are modified for changes (SM 3.37–3.38).

4. **A narrative record for a listed giant**
   Fix: the narrative record suits small businesses and cases with no formal control system, and makes weaknesses hard to identify (SM 3.46–3.47). A large entity's formal systems call for the questionnaire (the most widely used method) or a flow chart (the most concise record).

5. **The questionnaire where "Yes" means trouble**
   Fix: frame each question so that "Yes" denotes a satisfactory position and "No" suggests a weakness, with space to explain every "No" (SM 3.48).

RECAP

- Internal control (SA 315): a process by those charged with governance, management and others; reasonable assurance on financial reporting, operations, safeguarding of assets and compliance.
- Understanding it helps identify potential misstatements and risk factors, and design further audit procedures.
- Five components, A to E: control environment; risk assessment process; information system and communication; control activities; monitoring of controls.
- Control environment: culture of honesty and a foundation for the rest; seven elements; not an absolute deterrent to fraud.
- Six limitations: reasonable assurance only, human judgment, not understanding the purpose, collusion and override, management's judgments, small entities.
- Relevance of a control is the auditor's judgment; design is evaluated before implementation; inquiry alone is not enough.

- Evaluation is an indispensable part of the audit programme: narrative record, check list, questionnaire (most widely used), flow chart (most concise).
- Management maintains internal control; the auditor evaluates it. (Raju may keep the café, but not the cash, the book and the bank slip all at once.)

3.5 Testing internal control: walkthroughs, tests of controls and reporting

Key idea

Tests of controls are performed to obtain audit evidence about the effectiveness of the design of the internal control system and of its operation throughout the period. Inquiry alone is never sufficient. Deviations can change the assessment of control risk, and with it the nature, timing and extent of substantive procedures.

ANSWER FRAME

"What test of control is the auditor performing?"

1. **Purpose**: tests of controls give evidence about the effectiveness of the design and of the operation of internal control throughout the period.
2. **Name the test** and give its definition with the Study Material's example.
3. **Apply** it to the facts.
4. **Add the other procedures** (inspection; inquiry and observation; re-performance; tests of computerised controls) if asked.

"How are findings assessed and reported?"

Step	What to write
Consider	Weaknesses in IT controls? Impact on the overall audit?
Assess	Each finding: impact on the audit; is it a deficiency (definition)?
Judge	Quantitative and qualitative; individually and in the aggregate
Report	Management: internal controls memo or management letter
Escalate	Significant deficiencies: in writing to those charged with governance

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the manual that tested itself**
   Fix: understanding design and implementation is not a test of operating effectiveness; the auditor needs evidence that the control operated throughout the period (SM 3.41, 3.52).

2. **"The staff said they always do it"**
   Fix: inquiry is the most efficient test but gives the least evidence; inquiry alone is not sufficient, so combine it with observation, inspection or reperformance (SM 3.59).

3. **"No misstatements found, so the controls work"**
   Fix: the absence of misstatements detected by substantive procedures does not provide evidence that controls are effective (SM 3.69).

4. **The one-line management letter**
   Fix: a written communication of significant deficiencies describes them and explains their potential effects, with enough context to understand it (SM 7.49).

RECAP

- Tests of controls give evidence about the effectiveness of the design and the operation of internal control throughout the period; planned selectively, important areas covered over, say, three years.
- Understanding design and implementation is not a test of operating effectiveness, except that an implemented automated control may serve as one if program change controls are effective.
- Procedures: inspection (authorisation), inquiry and observation (controls with no audit trail), re-performance (bank reconciliation), tests of computerised controls (access, program change).
- Inquiry: most efficient, least evidence, never alone. Reperformance: best evidence, least efficient. Inquiry plus inspection: generally the most effective and efficient.

- Walkthrough: one end-to-end transaction traced with inquiry, observation and inspection.
- Deviations (staff changes, seasonal volume, human error): specific inquiries, cover the period, revise control risk if needed and modify substantive procedures.
- Report deficiencies to management in an internal controls memo or management letter; significant deficiencies in writing to those charged with governance.
- (Bunty now redoes one reconciliation before he ticks twelve.)

3.6 Internal control in an IT environment

Key idea

Automated application controls and IT-dependent controls are effective and reliable only if general IT controls are effective. When IT risks are not mitigated, the auditor cannot rely on system data or automated controls, and must test more, not less.

ANSWER FRAME

"Discuss the relationship between general IT controls and application controls"

1. **Define general IT controls**: policies and procedures relating to many applications that support the effective functioning of application controls; pervasive or indirect; four areas.
2. **Define application controls**: automated or manual at the business process level; embedded in applications; completeness, accuracy, integrity; examples.
3. **The relationship**: interrelated; general IT controls are needed to support application controls; both needed for complete and accurate processing.
4. **Consequence**: if general IT controls fail, application controls and IT-dependent controls cannot be relied on.

"How would you understand and evaluate the automated environment?"

Part	What to write
Requirement	Understand the entity and its business, including IT: IT organisation, activities, dependencies, risks, controls
Points	The nine points: systems used, purpose, location, architecture, version, interfaces, in-house or packaged, outsourcing, key persons
Evaluate	Flowcharts or narratives, RCM, walkthroughs, entity level controls and segregation of duties, general IT and application controls
Close	Document the understanding

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the computer that cannot err**
   Fix: the more automated the environment, the more complex it is likely to be (SM 3.54, 3.79), and if IT risks are not mitigated the auditor does more substantive checking, not less (SM 3.56).

2. **Calling an input validation a general IT control**
   Fix: edit checks and validation of input data are application controls; general IT controls are the four pervasive areas (SM 3.57–3.58). ICAI's own MCQ uses exactly this trap (SM 3.80).

3. **Forgetting that IT-dependent controls depend on IT**
   Fix: its effectiveness depends on the reliability of the source data and so on effective general IT controls (SM 3.58).

RECAP

- Automated environment: business run on IS/IT systems; faster, accurate, high volume, integrated; more automation means more complexity (ERP more complex than off-the-shelf software).
- Understand IT: nine points (systems, purpose, location, architecture, version, interfaces, in-house or packaged, outsourcing, key persons), and document it.

- Eight IT risks: inaccurate processing (or inaccurate data), unauthorised access to data, direct (backend) data changes, excessive or privileged access (super users), lack of segregation of duties, unauthorised program changes, failure to make necessary program changes, loss of data.
- Unmitigated IT risks: more substantive checking, no reliance on automated controls, possibly a modified report (internal financial controls).
- Three types: general IT controls (pervasive or indirect: data centre and network operations, program change, access security, system acquisition, development and maintenance), application controls, IT-dependent controls.
- General IT controls support application controls; both are needed for complete and accurate processing; ineffective general IT controls mean alternative procedures.
- Manual elements suit judgment: large, unusual or non-recurring items, unpredictable errors, changing circumstances, monitoring automated controls.
- (The computer repeats its mistakes perfectly; the auditor's job is to find out whether anyone can change the program.)

3.7 Digital audit and data analytics

Key idea

Data analytics lets the auditor work through large volumes of electronic records, but its results are only as good as the completeness of the data it is run on, and every exception still needs the auditor's judgment and follow-up.

ANSWER FRAME

"Analyse the functions an auditor can perform using data analytics"

1. **Meaning** of data analytics, in the Study Material's words, with its opening point: companies benefit (increased profitability, better customer service, competitive advantage, more efficient operations), and auditors can use similar tools and techniques in the audit process and obtain good results.
2. **Tools**: CAATs; testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz. IDEA and ACL.
3. **The seven uses**, in order, each with its example (random or systematic sampling; trial balance reconstruction; depreciation and bank interest).

"Explain the use of digital technology in the conduct of an audit"

The points, from SM 3.62:

Point	What to write
Context	Entities digitise; business models restructured around technology; automation is key
When	Right from planning to the expression of the final opinion
What	Artificial intelligence, data analytics and other latest technologies
Why	Understand business processes better; conduct the audit better
Result	More attention to areas requiring greater focus; risks identified better

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the incomplete file, perfectly tested**
   Fix: the first use in ICAI's list is checking completeness of data and population used in tests; until the population agrees, every later result is unreliable (SM 3.62, 3.61).

2. **"The software found nothing, so there is nothing"**
   Fix: analytics locates exceptions; the auditor still investigates them and obtains audit evidence. CAATs are tools for applying data analytics in the audit process, not a substitute for it (SM 3.62).

3. **Writing only "IDEA and ACL"**
   Fix: name CAATs, and both kinds of tool: spreadsheets and specialised audit tools such as IDEA and ACL (SM 3.62).

RECAP

- Data analytics: the combination of processes, tools and techniques used to tap vast amounts of electronic data to obtain meaningful information.
- CAATs: the tools and techniques auditors use to apply data analytics; spreadsheets and specialised audit tools viz. IDEA and ACL.

- Seven uses: completeness of data and population; sample selection (random, systematic); re-computation of balances (trial balance from transactions); reperformance of calculations (depreciation, interest); journal entry analysis; fraud investigation; impact of control deficiencies.
- Completeness of the population comes before any test that relies on it.
- Digital audit: AI, data analytics and latest technology from planning to final opinion; better understanding of processes, more focus on key areas, better risk identification.
- Analytics finds exceptions; the auditor still investigates them and forms the opinion. (The thali shows every grain; only you can tell the stone from the burnt rice.)

3.8 SA 330: the auditor's responses to assessed risks

Key idea

SA 330: respond to financial statement level risks with overall responses, and to assertion level risks with further audit procedures whose nature, timing and extent are based on the assessed risk. Test controls when relying on them or when substantive procedures alone cannot give sufficient appropriate evidence; perform substantive procedures for every material class of transactions, account balance and disclosure regardless; and obtain more persuasive evidence the higher the risk.

ANSWER FRAME

"When shall the auditor perform tests of controls?" in a case

1. **Provision**: the two circumstances (reliance intended; substantive procedures alone insufficient), and "more persuasive evidence the greater the reliance".
2. **Facts**: why the case falls in one of them (high volume, automation, no documents; or planned reliance).
3. **Analysis**: what the tests must cover (how, how consistently, by whom or by what means; throughout the period of reliance; inquiry not alone), and the higher assurance where the approach is mainly tests of controls.

4. **Conclusion**: tests of controls required, and substantive procedures still required for each material item.

"Distinguish tests of controls from substantive procedures"

Point	Tests of controls	Substantive procedures
Purpose	Evaluate the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements	Detect material misstatements at the assertion level
When required	When relying on controls, or when substantive procedures alone cannot give sufficient appropriate evidence	Always, for each material class of transactions, account balance and disclosure
Forms	Inquiry combined with inspection, observation or reperformance	Tests of details (vouching, verification) and substantive analytical procedures

Point

Effect of results

Tests of controls

Deviations may change reliance and the substantive plan

Substantive procedures

Misstatements found may indicate that controls are not effective

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "the controls are strong, so no substantive procedures"**

   Fix: substantive procedures are required for each material class of transactions, account balance and disclosure irrespective of the assessed risk. Strong controls may reduce their extent, never to nothing.

2. **No misstatements found, so the controls work**

   Fix: the absence of misstatements detected by substantive procedures is not evidence that controls are effective (SM 3.69). Test the controls.

3. **Testing a control by asking about it**
   Fix: inquiry alone is not sufficient to test operating effectiveness; combine it with inspection or reperformance, which may give more assurance than inquiry and observation, since an observation is pertinent only at the point in time at which it is made (SM 3.67).

4. **Writing "tests of controls are always compulsory"**
   Fix: they are required in two circumstances only. Outside them the auditor may choose not to test controls, but then the risk assessment cannot be reduced for the effective operation of controls (SM 4.58).

RECAP

- Objective: sufficient appropriate audit evidence about the assessed risks, through appropriate responses.
- Financial statement level risks: overall responses. Assertion level risks: further audit procedures whose nature, timing and extent respond to the risk.
- Design: consider why the risk was assessed (inherent risk; control risk), and get more persuasive evidence the higher the risk.
- Tests of controls required when relying on controls, or when substantive procedures alone cannot give sufficient appropriate evidence; more persuasive evidence the greater the reliance; inquiry alone never

enough. (Check that the generator starts before you rely on it.)

- Extent of tests of controls: frequency, period of reliance, expected deviation, relevance and reliability, evidence from other controls.
- Deviations: specific inquiries, then decide reliance, more tests of controls, or substantive procedures. Clean substantive results do not prove controls work.
- Substantive procedures for every material class, balance and disclosure, always: tests of details (vouching, verification) and substantive analytical procedures, alone or combined.

Interactive version: PassBook app, lesson SA 330: the auditor's responses to assessed risks

CHAPTER 4

Audit Evidence

4.1 SA 500: sufficient appropriate audit evidence

Key idea

Audit evidence must be sufficient (more of it when the item is material, risky or from a large, mixed population) and appropriate (relevant to the assertion tested, and reliable given its source, nature and circumstances). More evidence may not make up for poor quality.

ANSWER FRAME

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 500, ..." only what the case needs (sufficiency, appropriateness, the reliability generalisation that applies, management's expert).
2. **Facts of the case**: the source, form and origin of the evidence; the size and risk of the item.
3. **Analysis**: relevant to the assertion? Reliable, and why? Enough, given materiality and risk?
4. **Conclusion**: "Hence, the evidence is (not) sufficient appropriate audit evidence; the auditor should ...", naming the further procedures.

"Explain sufficiency of audit evidence and the factors affecting it" (5 marks)

1. Sufficiency is the measure of the quantity of audit evidence.
2. Quantity needed is affected by assessed risks (higher risk, more evidence) and by quality (higher quality, less may be required); more evidence may not compensate for poor quality.
3. Materiality: less material, less evidence; more material, more.
4. Risk of material misstatement (inherent and control risk): lower risk, less; higher risk, more.
5. Size and characteristics of the population: smaller and homogeneous, less; larger and heterogeneous, more.

"Distinguish sufficiency and appropriateness"

Point	Sufficiency	Appropriateness
Measures	Quantity	Quality
Made of	Enough evidence	Relevance and reliability
Affected by	Materiality, risk of material misstatement, population	Source, nature, circumstances, controls
Link	Higher quality, less may be required	Quantity may not compensate for poor quality

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the 400-page box file**
   Fix: quantity asks "is there enough?", quality asks "is it relevant and reliable?". More copies of internal documents add no independence.

2. **"External, therefore reliable"**
   Fix: an external source may not be knowledgeable, a related party may not be independent (greater vigilance), and a management's expert may lack objectivity (SM 4.7, 4.10).

3. **The purchase invoice filed as internal evidence**
   Fix: classify by where evidence originates, not where it is filed. The supplier's invoice to Tapri is external, even after it is scanned into Tapri's system (SM 4.7, 4.127).

4. **"Nature of evidence" added to the sufficiency factors**
   Fix: the three factors are materiality, risk of material misstatement, and size and characteristics of the population. Source and nature go to reliability. ICAI's September 2025 MCQ 6 was built on this trap.

RECAP

- Audit evidence: information used by the auditor in arriving at the conclusions on which the opinion is based; accounting records plus other information.
- Objective: design and perform procedures to obtain sufficient appropriate audit evidence to draw reasonable conclusions on which to base the opinion.
- Sufficiency = quantity; appropriateness = quality = relevance + reliability. Higher risk needs more; higher quality needs less; more may not compensate for poor quality.
- Sufficiency factors: materiality, risk of material misstatement, size and characteristics of the population.
- Reliability rises with independent outside sources, effective controls, direct evidence, documentary form and originals (with exceptions).
- Evidence includes contradicting information and, sometimes, the absence of information.
- Management's expert: evaluate competence, capabilities and objectivity; understand the work; evaluate it as evidence for the assertion.
- Inconsistent or doubtful evidence: modify or add procedures; consider the effect on the rest of the audit. (Four hundred photocopies of one voice are still one voice.)

4.2 Financial statement assertions and audit procedures

Key idea

Financial statements are bundles of management's assertions. The auditor picks, for each assertion, a procedure that can actually prove it: evidence for one assertion (existence) is no substitute for evidence about another (ownership, valuation, cut-off).

ANSWER FRAME

"Identify and explain the assertion" (1 mark a part)

1. **Name** the assertion in the Study Material's term (Chapter 4's list, or Chapter 5's where the question uses captions).
2. **Quote** its meaning: "Cut-off: transactions and events have been recorded in the correct accounting period."
3. **Apply**: one sentence on why the procedure tests it.

"Distinguish tests of controls and substantive procedures"

Point	Designed to
Tests of controls	Evaluate the operating effectiveness of controls
Substantive procedures	Detect material misstatements at the assertion level

Point

Looks for

Tests of controls

Performance of the control, and deviations

Substantive procedures

Misstatements in the assertion

Point

Comprise

Tests of controls

One kind of further audit procedure

Substantive procedures

Tests of details (transactions: vouching; balances: verification) and substantive analytical procedures

Point

When

Tests of controls

When required by the SAs or when the auditor has chosen to do so

Substantive procedures

For each material class of transactions, account balance and disclosure, irrespective of the assessed risks (SM 3.70)

How the two are planned and combined is SA 330.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the van that was counted, so it must be ours**
   Fix: physical inspection gives reliable evidence of existence, not necessarily of ownership (rights and obligations) or amount (valuation); those need documents and calculations (SM 4.16).

2. **Occurrence and completeness swapped**
   Fix: "no ghost employees on the payroll" is occurrence; "every employee's cost is accounted for" is completeness.

3. **Reperformance called recalculation**
   Fix: recalculation checks arithmetic; reperformance independently redoes a procedure or control the entity performed (a reconciliation, an ageing).

4. **Inquiry treated as proof**
   Fix: inquiry alone ordinarily does not give sufficient evidence of the absence of material misstatement or of the operating effectiveness of controls; corroborate it.

RECAP

- Assertions: representations by management, explicit or otherwise, embodied in the financial statements,

used by the auditor to consider potential misstatements.

- Transactions: occurrence, completeness, accuracy, cut-off, classification. Balances: existence, rights and obligations, completeness, valuation and allocation. Disclosure: occurrence and rights and obligations, completeness, classification and understandability, accuracy and valuation.
- Chapter 5 captions: income statement (occurrence, completeness, cut-off, measurement, presentation and disclosure); balance sheet (existence, completeness, cut-off, valuation, rights and obligations, presentation and disclosure).
- Procedures: inspection, observation, external confirmation, recalculation, reperformance, analytical procedures, inquiry.
- Further audit procedures: tests of controls and substantive procedures (tests of details: transactions, balances; substantive analytical procedures).
- Inquiry alone ordinarily does not prove the absence of misstatement or that controls operated.
- Inspecting an asset proves existence, not necessarily ownership or value. (Seeing that he is six feet tall tells you nothing about the flat.)

4.3 SA 610: using the work of internal auditors

Key idea

Using internal auditors never shares the opinion: the external auditor has sole responsibility for the audit opinion expressed. Their work is usable only if objectivity, competence and a systematic and disciplined approach are all present; the more judgment or risk an area involves, the less of it is used.

ANSWER FRAME

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 610, ...", only the list the question needs: the three tests; the "shall not use" conditions; JROC; SHOD; the written agreements. For "what should the auditor consider before relying on internal audit", ICAI's answer (January 2025 Q4(a)) gave the three objectives and then the three tests.
2. **Facts of the case**: who internal audit reports to, its other duties, staffing and methods, the area's risk and judgment.
3. **Analysis**: each fact against each condition, one line each.
4. **Conclusion**: can the work (or the person) be used, for what, and what must be done first; sole responsibility where the question invites it.

Three answers to "Can Lakshmi give the Dewas impairment estimate to internal audit?"

Loses marks

"No, because internal auditors are not independent."

True, but not SA 610's reason; no provision, no facts.

Passes

"No. SA 610 does not allow direct assistance on higher-risk areas."

Half the condition: higher-risk work is barred only "where the judgment required is more than limited" (task (v) is higher risk and still assignable).

Full marks

The "shall not" conditions in full, the facts (a significant risk; estimating an impairment loss is a significant judgment), the conclusion, and that routine tasks may still be assigned after the written agreements.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "the internal auditor is responsible"**
   Fix: the external auditor has sole responsibility for the opinion; using internal audit's work or people never reduces it.

2. **The brilliant team that reports to the CFO**
   Fix: neither objectivity nor competence compensates for the other. If status and policies do not adequately support objectivity, the work shall not be used.

3. **Direct assistance on the judgment calls**
   Fix: significant judgments, and higher assessed risks where the judgment required is more than limited, stay with the external auditor.

4. **Management's nod instead of two written agreements**
   Fix: before direct assistance, obtain written agreement from an authorised representative of the entity (follow instructions; no intervention) **and** from the internal auditors (confidentiality; report threats to objectivity).

RECAP

- SA 610 uses of internal audit: risk assessment information; its work in partial substitution for direct evidence; direct assistance (the last two unless law or regulation prohibits or restricts them).
- The external auditor has sole responsibility for the opinion; using internal audit never reduces it, and SA 610 never requires its use.
- Three tests: objectivity supported by status and policies; competence; a systematic and disciplined approach including quality control. Fail one, and none of the work is used.
- Objectivity and competence are a continuum, but neither compensates for the other.
- Use less and do more directly the more judgment, the higher the risk, the weaker the objectivity, the lower the competence (JROC).
- Using the work: discuss it, read the reports, perform sufficient procedures on the body of work.
- Direct assistance: evaluate threats (with inquiry) and competence; never for significant judgments, higher risks needing more than limited judgment, their own reported work, or decisions about internal audit itself (SHOD); two written agreements first.
- Bunty's cupboard can save time, not responsibility.

4.4 Internal financial controls and ICFR

Key idea

IFC is a wider term; ICFR is narrower, restricted to internal controls over financial reporting. Directors and management have primary responsibility for internal financial controls; the auditor evaluates, validates and reports on their design and operating effectiveness, in a report separate from the opinion on the financial statements.

ANSWER FRAME

"Explain the responsibilities under the Companies Act, 2013 for IFC"

1. Opening line: the Act places greater emphasis on effective implementation and reporting on internal controls, and uses "internal financial controls" to cast responsibilities.
2. The four provisions, each with its party and the responsibility in the Act's words (the table in section 2 above).
3. Closing line: directors and management have primary responsibility; auditors evaluate, validate and report on design and operating effectiveness.

"Is reporting under section 143(3)(i) required?"

1. The provision and the three exemptions, in full.

2. The facts: public or private; OPC or small; turnover as per the latest audited financial statements; the highest borrowings at any point of time during the year.
3. Conclusion for each company, saying which test fails.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the year-end borrowing balance**
   Fix: the limit is for borrowings at any point of time during the financial year, and turnover and borrowings must both be below their limits.

2. **Exempting a small public company**
   Fix: the exemptions are for private companies only. A public company, listed or not, gets IFC reporting whatever its size.

3. **Making the auditor the owner of the controls**
   Fix: directors and management implement and maintain internal financial controls; the auditor evaluates, validates and reports on them.

RECAP

- IFC: policies and procedures for reliable financial reporting, effective and efficient operations, compliance with laws, safeguarding of assets, and prevention and detection of frauds.

- Section 134(5)(e): in listed companies, the Directors' Responsibility Statement says IFC was laid down, is adequate and was operating effectively.
- Section 177(4)(vii): the audit committee evaluates IFC and risk management systems. Section 149(8) with Schedule IV: independent directors satisfy themselves that financial controls are robust and defensible.
- Section 143(3)(i): the auditor reports on adequate IFC with reference to financial statements and their operating effectiveness, in a separate report (Annexure A).
- Exempt: private companies that are OPCs, small companies, or have turnover below ₹50 crore (latest audited) and borrowings below ₹25 crore at all times in the year.
- Directors and management have primary responsibility; auditors evaluate, validate and report.
- IFC is the wider term; ICFR the narrower; an ICFR opinion is in addition to and distinct from the opinion on the financial statements.

4.5 SA 530: audit sampling

Key idea

A sample earns the right to speak for the population only if it is representative: an appropriate, complete population; a size that reduces sampling risk to an acceptably low level; a selection that gives every sampling unit a chance; and results that are investigated, projected and evaluated.

ANSWER FRAME

A selection-method case (5 marks)

1. **Name** the method: "CA R is using systematic (interval) sampling."
2. **Explain** it with the case's numbers: "interval = 1,000 ÷ 100 = 10; every 10th account from the start."
3. **Caution**: the interval must not correspond with a pattern in the population.
4. **Remedy**: more than one random starting point.
5. **Second method**: "the first 150 accounts" is block sampling, rarely appropriate for conclusions on the population.

"Distinguish statistical and non-statistical sampling"

Point	Statistical	Non-statistical
Selection	Random selection of sample items	Auditor's experience and knowledge
Evaluation	Probability theory, including measurement of sampling risk	Judgment; closeness to the population cannot be measured
Bias	No personal bias	Personal bias cannot be eliminated
Strength	Objective and defensible; sampling risk and precision can be measured	Simplicity in operation
Leans on	Wide application to large populations of similar items	The auditor's experience and knowledge of the client's business to evaluate the findings

Common to both: the sample must be representative, and sample size is not a valid criterion to distinguish the two (SM 4.47, 4.51).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the 120 samples of café 17**
   Fix: check the population's structure before using an interval; use multiple random starts, random selection or stratification.

2. **"Stratified sampling is for homogeneous populations"**
   Fix: the reverse: it divides a heterogeneous population into homogeneous sub-populations (SM 4.55, 4.128).

3. **Projecting a stratum's result to the whole population**
   Fix: results from a stratum are projected only to that stratum; the strata are then combined (SM 4.55–4.56, 4.129).

4. **Calling the first misstatement an anomaly**
   Fix: an anomaly needs a high degree of certainty, from additional procedures, that it is not representative; otherwise project it.

RECAP

- Audit sampling: procedures on less than 100% of a population, all sampling units having a chance of selection, to give a reasonable basis for conclusions about the whole.

- Population must be appropriate (direction of testing), complete and reliable; the sample must be representative.
- Sampling risk: the sample's conclusion differs from the population's; type (i) hurts effectiveness (the main concern), type (ii) efficiency. Non-sampling risk: any other reason.
- Statistical sampling: random selection plus probability theory to evaluate results; sample size does not distinguish it.
- Process: design, size, selection, procedures, nature and cause, projection, evaluation.
- Size up: more reliance on controls, higher expected errors, higher risk, more assurance. Size down: higher tolerable rate or misstatement, other substantive procedures, stratification.
- Methods: random (simple, stratified), systematic (interval = population ÷ sample size; watch for patterns), monetary unit, haphazard (no conscious bias), block (rarely appropriate).
- Untestable item: deviation or misstatement. Anomaly only with a high degree of certainty. Tests of controls: sample deviation rate = projected rate. (Stir the chai before you taste it.)

Interactive version: PassBook app, lesson SA 530: audit sampling

4.6 SA 501: inventory, litigation and segment information

Key idea

SA 501's objective is sufficient appropriate audit evidence about the existence and condition of inventory, the completeness of litigation and claims, and the presentation and disclosure of segment information. Each has its own procedure. For inventory and litigation, the Standard itself says what happens when even alternative procedures fail: the opinion is modified under SA 705.

ANSWER FRAME

A case question on SA 501

1. **Relevant provision**: "As per SA 501, ...", the requirement for the item in the facts, in the Standard's words.
2. **Facts of the case**: which item, whether it is material, what happened (count missed, impracticable, held by a third party; a suit not disclosed; a refusal).
3. **Analysis**: which branch of SA 501 applies, and whether alternative procedures can still give the evidence.
4. **Conclusion**: the procedure to perform, or the SA 705 consequence when evidence cannot be obtained.

Three answers to "Management refuses access to the lawyers. What should the auditor do?"

Loses marks

"Qualify the report."

Skips the alternative procedures and says nothing about which opinion.

Passes

"Perform alternative procedures; if no evidence, modify the opinion under SA 705."

The rule, without the facts or the letter of inquiry.

Full marks

When direct communication is required, the letter of inquiry (and the specific letter's three contents if asked), the refusal rule with both conditions, alternative procedures, and SA 705 as the consequence.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "count every carton"**
   Fix: the auditor attends management's count: evaluates instructions, observes, inspects (existence and condition) and performs **test** counts, then tests the final records.

2. **Too busy to attend**
   Fix: general inconvenience is not sufficient; difficulty, time or cost is not a valid basis to omit a procedure with no alternative.

3. **The representation that replaces the count**
   Fix: that is a scope limitation; modify the opinion under SA 705.

4. **A standalone opinion on segments**
   Fix: the responsibility is in relation to the financial statements taken as a whole; no procedures for a standalone segment opinion are required.

RECAP

- SA 501 objective: evidence on existence and condition of inventory, completeness of litigation and claims, and presentation and disclosure of segment information.

- Material inventory: attend the count (evaluate instructions, observe, inspect, test count) unless impracticable, and test the final inventory records.
- Count on another date: test changes to the year end. Unforeseen absence: counts on an alternative date plus intervening transactions. Impracticable: alternative procedures, else modify under SA 705.
- General inconvenience is not impracticability; difficulty, time or cost is not in itself a valid basis to omit a procedure for which there is no alternative.
- Third-party inventory: confirmation of quantities and condition, inspection or other procedures, or both.
- Litigation: inquiries (including in-house counsel), minutes and lawyer correspondence, legal expense accounts; on a risk, a letter of inquiry to external counsel, specific if a general one will not be answered.
- Refusal of access to counsel plus failed alternatives: modify under SA 705.
- Segments: understand and test management's methods, plus analytical procedures; the responsibility is for the financial statements as a whole. (Bunty's spreadsheet is not a warehouse.)

4.7 SA 505: external confirmations

Key idea

SA 505's core rule: the auditor shall maintain control over external confirmation requests, from choosing the information and the confirming party to designing, addressing, sending and following up. A reply that passes through the entity is not a direct response to the auditor. Negative confirmations give significantly less persuasive evidence than positive ones.

ANSWER FRAME

A case question on SA 505

1. **Relevant provision**: "As per SA 505, External Confirmations, ...", the list the facts call for.
2. **Facts of the case**: who controlled the requests; the type of request; the population and risk; the refusal and its reason; the replies.
3. **Analysis**: element by element, condition by condition, reply by reply.
4. **Conclusion**: proper or not; which request type; justified refusal or TCWG and SA 705; what further procedures.

"Is the CFO's refusal justified?"

Loses marks

"No. The auditor must always confirm."

Ignores SA 505's steps and the legitimate reasons.

Passes

"The auditor inquires into the reasons and performs alternative procedures."

Two of the three steps; no test of reasonableness.

Full marks

All three steps; the common reason (legal dispute or negotiation) and the fraud risk; a conclusion on the facts; and what follows if the refusal is unreasonable or alternatives fail (TCWG under SA 260, SA 705).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: replies forwarded by the client**
   Fix: the response must be a direct written response to the auditor; the auditor sends the requests and receives the replies.

2. **Silence counted as agreement**
   Fix: a failure to respond to a negative request does not show the request was received or the information verified; it is significantly less persuasive evidence.

3. **Negative requests for the big balances**
   Fix: negative requests can be the sole substantive procedure only with low risk and tested controls, many small homogeneous items, a very low expected exception rate, and no reason for recipients to ignore them.

4. **Every exception is a misstatement**
   Fix: analyse the reason first: payments and goods in transit are timing differences; disputes may be misstatements, to be assessed against the whole population.

RECAP

- External confirmation: audit evidence obtained as a direct written response to the auditor from a third party, on paper or by electronic or other medium.
- Positive: reply in all cases (agree, disagree or fill in); negative: reply only if disagreeing; non-response: no or incomplete reply to a positive request, or returned undelivered; exception: a difference.
- Control: determine the information, select the confirming party, design (properly addressed, replies

to the auditor), send and follow up.

- Blank positive requests reduce agree-without-checking, but lower response rates.
- Refusal: inquire and test the reasons, re-assess risks (including fraud), perform alternatives; if unreasonable or alternatives fail, TCWG under SA 260 and SA 705.
- Negative requests as the sole substantive procedure only if: low risk with controls tested, many small homogeneous items, very low expected exceptions, no reason to disregard.
- Results: agreement, unreliable, non-response, exception; evaluate, then decide on further procedures (SA 330).
- If the reply went to sales@client, it confirmed nothing.

4.8 SA 510: opening balances in initial engagements

Key idea

Opening balances are not last year's problem: they flow into this year's profit. A predecessor's audit helps the new auditor get evidence about them; it never replaces getting it.

FORMATS AND FORMULAS

Why an opening figure is a this-year figure

Formula

Cost of goods sold

$$\text{Cost of goods sold} = \text{Opening inventory} + \text{Purchases} - \text{Closing inventory}$$

Every rupee of overstatement in opening inventory is a rupee of overstated cost of goods sold, and so a rupee of understated profit, this year.

Tapri Cold Chain's 2025-26 figures (₹ crore) show it. Suppose ₹0.90 crore of the ₹15 crore opening stock of frozen snacks had in fact spoiled before 31 March 2025:

Particulars	As recorded	If opening stock was right
Opening inventory	15.00	14.10
Add: purchases	117.00	117.00
Less: closing inventory	33.00	33.00
Cost of goods sold	**99.00**	**98.10**

This year's cost of goods sold is overstated, and its profit understated, by ₹0.90 crore, though the error was made last year.

The reporting grid

Reproduce this from memory: each row is a separate requirement in SA 510.

Problem with opening balances	Opinion (SA 705)
Sufficient appropriate evidence cannot be obtained	Qualified or disclaimer
Material misstatement not properly accounted for, presented or disclosed	Qualified or adverse
Policies not consistently applied, or a change not properly accounted for, presented or disclosed	Qualified or adverse

ANSWER FRAME

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 510, an initial audit engagement is...", both limbs, then the requirement the case needs (objective, the (a)–(c) procedure, the factors, or the reporting pair).
2. **Facts of the case**: who audited last year, or that nobody did; which balances are significant; any modified predecessor opinion.
3. **Analysis**: is it an initial engagement? Which procedure gives evidence for each balance? Is there missing evidence, a misstatement, or a policy problem?
4. **Conclusion**: "Hence, the approach of ... is not correct", or the opinion: qualified or disclaimer; qualified or adverse.

"Distinguish: prior period not audited vs audited by a predecessor"

Point

Initial audit engagement?

Prior period not audited

Yes

Predecessor audited it

Yes

Point

Procedure (c)(i) available?

Prior period not audited

No

Predecessor audited it

Yes: peruse the audited statements and schedules

Point

Evidence mainly from

Prior period not audited

This year's procedures and specific procedures

Predecessor audited it

Predecessor's statements, then this year's procedures

Point

Other Matter paragraph (SA 710, corresponding figures)

Prior period not audited

States that the corresponding figures are unaudited

Predecessor audited it

Only if law permits a reference to the predecessor's report and the auditor decides to make it

Three answers to "the new auditor relied on the predecessor"

Loses marks

"Not correct, because the auditor must verify opening balances."

Right conclusion, no definition, no procedure.

Passes

Defines an initial audit engagement, applies it to the facts, concludes "not correct".

The procedure is missing.

Full marks

Definition with both limbs; facts applied; reading the predecessor's report; the (a), (b), (c)(i)–(iii) procedure; conclusion.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty's borrowed tick**

   Fix: an engagement after a predecessor is an initial audit engagement by definition. Perusing the predecessor's audited statements is one way to get evidence, inside procedure (c); it is not an exemption from (a), (b) and (c).

2. **The closing count that "proves" opening stock**

   Fix: this year's closing inventory procedures give little evidence of opening inventory; reconcile the current count back to opening quantities, test opening valuation, and test gross profit and cut-off.

3. **Mixing up the reporting pairs**

   Fix: missing evidence: qualified or disclaimer. Misstatement, or inconsistent policies: qualified or adverse.

4. **The new partner who thought the audit was "initial"**

   Fix: a predecessor auditor is one "from a different audit firm". If the same firm audited the prior period, there is no predecessor auditor and no initial audit engagement; it is initial only if the prior period was unaudited or audited by another firm.

RECAP

- Initial audit engagement: the prior period was not audited, or was audited by a predecessor auditor (from a different audit firm).
- Opening balances: balances at the start of the period, built from last year's closing balances and policies, including contingencies and commitments existing then.
- Objective: evidence whether opening balances contain misstatements that materially affect this year, and whether policies are consistently applied or changes properly accounted for and disclosed.
- Procedure: read the latest statements and predecessor's report; then (a) brought forward correctly, (b) appropriate policies, (c) one or more of: peruse audited statements, use this year's procedures, perform specific procedures.
- Nature and extent depend on: policies; nature of balances and risks; significance of opening balances; whether audited and whether the predecessor's opinion was modified.
- Receivables and payables: this year's collections and payments. Inventory: current count rolled back, valuation, gross profit and cut-off. Non-current items: underlying records; confirmations for long-term debt and investments.
- Reporting: no evidence: qualified or disclaimer; misstatement not properly dealt with, or policies inconsistent: qualified or adverse.

- Misstatements found: additional procedures, then communicate to management and those charged with governance. (Read the meter on moving day.)

4.9 SA 550: related parties

Key idea

A related party transaction is not wrong in itself. The risk is that it is hidden, or not on normal terms; so the auditor first identifies the relationships, then tests and checks the disclosure of the transactions.

ANSWER FRAME

"Explain the risks; do related party transactions always carry higher risk?"

1. **Normal course first**: many related party transactions are in the normal course of business and may carry no higher risk than similar transactions with unrelated parties.
2. **However**: the nature of related party relationships and transactions may, in some circumstances, give rise to higher risks.
3. **Three examples**, in ICAI's words: complex relationships and structures; information systems ineffective at identifying or summarising; not under normal market terms, some with no exchange of consideration.
4. **Facts applied**: match each example to the case.
5. **Conclusion**: not always; here the risk is higher, so the auditor exercises professional skepticism and responds.

"What should the auditor inquire and understand?"

Inquire of management about	Understand controls to
(a) Identity of related parties, with changes from the prior period	(a) Identify, account for and disclose related parties and transactions
(b) Nature of the relationships	(b) Authorise and approve significant related party transactions
(c) Transactions in the period: type and purpose	(c) Authorise and approve significant transactions outside the normal course

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "related party means fraud"**
   Fix: many related party transactions are in the normal course of business and carry no higher risk; the risk rises with complexity, weak information systems and non-market terms.

2. **"Below materiality, so ignore it"**
   Fix: for related party transactions, users' expectations about disclosure may make smaller amounts material (SM 3.22); and the disclosure itself is what users rely on.

3. **Taking management's list as the evidence**
   Fix: inquiry of management is the start, not the end. Understand the controls, then stay alert and inspect the records SA 550 lists; obtain written representations at the end.

4. **Mixing the two lists of (a), (b), (c)**
   Fix: inquiries are about *who, how related, what transactions*; controls are about *identify and disclose, approve related party deals, approve deals outside the normal course*.

RECAP

- Related party: as defined in the framework; if the framework is minimal, a party that controls or significantly influences the entity, an entity it controls or influences, or one under common control (ownership, close family owners, key management).
- Entities under common control by a state are not related unless they transact or share resources significantly.
- Control: power to govern financial and operating policies to obtain benefits. Significant influence: power to participate in those decisions, not control; by share ownership, statute or agreement.
- Many related party transactions are normal and carry no higher risk; higher risk can arise from complex structures, ineffective information systems, or non-market terms (even no consideration).

- Inquire: identity (and changes), nature of relationships, transactions (type and purpose).
- Understand controls to: identify, account for and disclose; approve significant related party transactions; approve significant transactions outside the normal course.
- Stay alert while reviewing records: tax returns, regulatory filings, shareholder registers, conflict-of-interest statements, contracts with key management, unusual or re-negotiated contracts, internal audit reports.
- Significant related party transactions outside the normal course are always significant risks; obtain written representations. (Check the nephew's runs twice.)

4.10 SA 520: analytical procedures

Key idea

An analytical procedure compares a recorded amount with what it should be, given a plausible relationship. Its power depends on how good the expectation is; and a significant difference must be investigated (inquiry, then corroborating evidence), never simply accepted or simply booked as an error.

ANSWER FRAME

"Identifies inconsistencies: what should the auditor do?" (3 or 4 marks)

1. **Provision**: "As per SA 520, if analytical procedures identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences by:"
2. **(i) Inquiry and evidence**: inquiring of management and obtaining appropriate audit evidence relevant to management's responses, evaluated against the auditor's understanding of the entity and other evidence.
3. **(ii) Other procedures**: performing other audit procedures as necessary, for example when management cannot explain or the explanation is not adequate.
4. **Application**: "In the given case, CA ... should ...".

"Distinguish trend analysis and reasonableness tests"

Point	Trend analysis	Reasonableness test
Basis	Prior period balances or a trend of several periods	Non-financial data for the audit period
Relies on past periods	Yes	No
Best for	Accounts that move in a pattern over time	Income statement accounts, certain accruals and prepayments
Example	Salary over five years	Interest expense against interest-bearing obligations

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: booking the difference as the error**

   Fix: a difference is a signal, not a misstatement. Investigate first: inquiry with corroborating evidence, then other procedures.

2. **Accepting "milk cost more in the monsoon"**
   Fix: management's response needs audit evidence; then re-test the expectation with it. The ₹61 rate still left ₹72 lakh unexplained.

3. **"Analytical procedures are for planning only"**
   Fix: required at planning and at completion, and often used in testing (SM 4.104, 4.129).

4. **"Substantive analytical procedures suit small volumes"**
   Fix: they are generally more applicable to large volumes of transactions that tend to be predictable over time; and for significant risks, evidence solely from them is unlikely to be sufficient (SM 4.107, 4.110).

RECAP

- Analytical procedures: evaluations of financial information through analysis of plausible relationships among both financial and non-financial data, including investigating significant or inconsistent fluctuations.
- Objectives: relevant and reliable evidence from substantive analytical procedures; an overall conclusion near the end on consistency with the auditor's understanding.
- Used at planning (required), testing (often), completion (required).

- Factors: availability of data, disaggregation, account type, source, predictability, nature of assertion, inherent risk.
- Techniques: trend analysis, ratio analysis, reasonableness tests, structural modelling.
- Four requirements: suitability; reliability of data; a sufficiently precise expectation; the acceptable difference (smaller as risk rises).
- Investigate: inquiry with evidence for the responses; other procedures as necessary. A new risk at completion means revising the assessment (SA 315). (Where did the milk go? Ask, then check.)

4.11 Audit trail

Key idea

An audit trail is a documented flow of a transaction from the source document to the financial statements, with a record of system and user activity. It reduces fraud, material errors and unauthorised use, helps fix responsibility and rebuild events, and lets the auditor verify whether controls operated effectively and transactions were performed by authorised persons, which increases the reliability of audit evidence.

ANSWER FRAME

"Discuss the advantages of an audit trail feature for the auditor"

1. **Definition**: a documented flow of a transaction, from the source document to the account entry to the financial statements; audit evidence of authentication and integrity.
2. **For the entity**: reduces fraud, material errors and unauthorised use; enhances internal control and data security; fixes responsibility; rebuilds events.
3. **For the auditor**: inspires confidence; verifies whether controls operated effectively; whether a transaction was performed by an authorised person; increases the reliability of evidence.
4. **Cost, and the answer to it**: system expenditure and analysis time; automated tools.

"What are the reporting requirements?"

Software with an audit trail (edit log) facility, and: (1) operated throughout the year for all transactions; (2) feature not tampered with; (3) trail preserved as per statutory record retention requirements. A negative or qualified answer states the reasons (section 143(4)).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "the audit trail is the auditor's working papers"**
   Fix: the audit trail is a record kept in the entity's system of how transactions flowed and who changed what; audit documentation is the auditor's own record of procedures, evidence and conclusions.

2. **Reporting only "the software has an audit trail"**
   Fix: the Rule 11 line has more limbs: operated throughout the year for all transactions, not tampered with, and preserved as per record retention requirements. A feature that exists but was switched off for a week fails the "operated throughout the year for all transactions" limb.

3. **"Audit trails are only for auditors"**
   Fix: their purpose is the entity's: reducing fraud, material errors and unauthorised use, enhancing internal control and data security, fixing responsibility and rebuilding events. The auditor benefits as a user of that evidence.

RECAP

- Audit trail: a documented flow of a transaction, from source document to account entry to financial statements; audit evidence of the authentication and integrity of a transaction.
- It is also a record of system and user activity (in banks, log-on attempts and the device used).
- Purpose: to reduce fraud, material errors and unauthorised use; it enhances internal control and data security, fixes responsibility, rebuilds events and shows whether the system operates as intended.
- Cost: system expenditure and analysis time; automated tools analyse the volume.
- For the auditor: confidence; checks whether controls operated effectively and whether transactions were performed by authorised persons; more reliable evidence.
- Rule 11 reporting: software with an audit trail (edit log) facility, operated throughout the year for all transactions, not tampered with, preserved as per

retention requirements; reasons for any negative answer (section 143(4)).

- Controls that leave no audit trail are tested by inquiry and observation. (A camera "off for repairs" is itself a finding.)

CHAPTER 5

Audit of Items of Financial Statements

5.1 Audit of revenue and other income

Key idea

In revenue the first danger is **overstatement**: sales that never happened, or that belong to the next year. So the auditor's sharpest tests are for occurrence and cut-off, and other income is verified by recomputing it and agreeing it to third-party records.

FORMATS AND FORMULAS

The notes ICAI asks you to list

Reproduce these lists from memory, in this order; each head is a mark in a "state the disclosure" question.

Revenue from operations (Schedule III, Part II; SM 5.96–5.97):

(A) Company other than a finance company	(B) Finance company
(a) Sale of products	(a) Interest
(b) Sale of services	(b) Other financial services
(ba) Grants or donations received (section 8 companies only)	
(c) Other operating revenues	
Less: (d) Excise duty	

Revenue under each head is disclosed separately in the notes, to the extent applicable. The auditor also checks that brokerage and discount on sales, other than the usual trade discount, are disclosed, and that related party transactions are disclosed.

Other income shall be classified as (SM 5.99):

1. Interest income (in case of a company other than a finance company);
2. Dividend income;
3. Net gain or loss on sale of investments;
4. Other non-operating income (net of expenses directly attributable to such income).

Undisclosed income (Additional Information, SM 5.99): details of any transaction not recorded in the books that has been surrendered or disclosed as income during the year in tax assessments under the Income Tax Act, 1961 (search, survey or any other relevant provision), unless there is immunity for disclosure under any scheme; and whether the previously unrecorded income and related assets have been properly recorded in the books during the year.

The arithmetic the auditor redoes

∑ **Formula**

Sales expectation

$$\text{Expected sales} = \text{Units sold} \times \text{Average net price}$$

Units come from despatch or stock records; the price is the monthly average net price per unit, after the discount policy.

∑ **Formula**

Interest on a fixed deposit

$$\text{Interest} = \text{Deposit} \times \text{Rate} \times \frac{\text{Days outstanding}}{365}$$

Days outstanding: the days the deposit was held during the year.

∑ **Formula**

Gain or loss on redemption of mutual fund units

$$\text{Gain or loss} = \text{Redemption price} - \text{Carrying value}$$

Carrying value of the units redeemed; recognised only on transfer of title from the entity.

∑ **Formula**

Sales return ratio

$$\text{Sales return ratio} = \frac{\text{Sales returns}}{\text{Sales}} \times 100$$

Compared with the previous year; a sharp rise asks whether earlier sales were real.

"How will you verify sales / other income?"

1. **Open with the assertion** in the Study Material's words: "Recorded sales represent goods shipped or services performed during the period (occurrence)".
2. **List the procedures** under each assertion asked, in the Study Material's order (occurrence: duplicate or cancelled invoices, test check with the sales journal, confirmations, fictitious customers...).
3. **Apply them to the facts**: name the document the case points at (gate register, credit notes after the year end, Form 26AS).
4. **Close with disclosure** if the question allows: the Schedule III heads.

A case question

1. **Relevant provision**: the procedure or recognition rule ("Dividends are recognised only when the right to receive payment is established...").
2. **Facts of the case**: dates, amounts, who did what.
3. **Analysis**: which assertion fails; compute the correct figure.
4. **Conclusion**: the correct treatment and, if material and uncorrected, the effect on the opinion.

Three answers to "verify interest on fixed deposits" (5 marks)

Loses marks

"Check the bank statements and the interest certificate."

One vague line; no recomputation, no confirmation, no 26AS.

Passes

"Obtain a list of FDs, recompute interest, get the bank's interest certificate."

Three of the five points, none applied to the case.

Full marks

All five points in order (listing with rate and days; recomputation; confirmation of year-end deposits; bank's confirmation of interest; Form 26AS), then a line applying them to the case (the deposits outstanding at the year end, the jump over last year).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the invoice that travelled faster than the truck**
   Fix: revenue belongs to the period in which the risks and rewards pass to the buyer; compare the invoice date with the gate register, lorry receipts or delivery proof.

2. **The dividend that arrived before it was declared**
   Fix: recognise a dividend only when the right to receive payment is established, the benefits are probable and the amount is reliable; record it gross, the tax deducted being recoverable.

3. **One line called "Other income"**
   Fix: Schedule III classifies other income as interest income, dividend income, net gain or loss on sale of investments, and other non-operating income (net of directly attributable expenses).

4. **Stopping at the analytical procedure**
   Fix: an analytical procedure points to where to look; the conclusion comes from the tests of details that follow.

RECAP

- Revenue: the risk of material misstatement is generally high (SA 315); the main fear is overstatement.
- Approach: understand the entity and revenue centres → understand and test controls → substantive analytical procedures (build a sales expectation: units × average price) → tests of details.
- Occurrence: duplicate or cancelled invoices, customer confirmations, fictitious customers, year-end shipments without consent, invoice sequence, unusual journals, sales return ratio.
- Completeness and cut-off: invoice date is not the sale date; check post-year-end credit notes; trace shipping documents to the sales journal; reconcile with stock records and GST returns. (Kesar's best March is only as good as the gate register.)
- Other income: FD interest on time proportion (recompute; bank confirmation; Form 26AS); dividends only when the right to receive is established; mutual fund gain on transfer of title.
- Schedule III: revenue from operations (products, services, grants for section 8 companies, other operating revenues, less excise duty); other income (interest, dividend, net gain on investments, other non-operating income net of direct expenses).

5.2 Audit of expenses

Key idea

An expense can be wrong in both directions: recorded but not real (**occurrence**), or real but missing (**completeness** and **cut-off**), besides wrongly measured or shown under the wrong head. Purchases and payroll lean on controls and an expectation the auditor builds; depreciation is recomputed; other expenses are vouched against six attributes.

FORMATS AND FORMULAS

The disclosures to verify

Reproduce these lists in this order: "state the disclosures" questions give a mark a head.

Caption	Disclosure the auditor ensures (SM 5.104, 5.107, 5.110, 5.113)
Purchases (Schedule III, Part II)	Purchases of stock-in-trade specifically disclosed; changes in inventories of finished goods, stock-in-trade and work-in-progress specifically disclosed; related party transactions disclosed in the notes

Caption	Disclosure the auditor ensures (SM 5.104, 5.107, 5.110, 5.113)
Employee benefits expense (Schedule III, Part II)	Showing separately (i) salaries and wages, (ii) contribution to provident and other funds, (iii) expense on Employee Stock Option Scheme (ESOP) and Employee Stock Purchase Plan (ESPP), (iv) staff welfare expenses
Depreciation and amortisation	Accounting policy; useful lives of assets as per Schedule II to the Companies Act, 2013; residual value; depreciation method
Other expenses	Classified under rent; insurance; power and fuel; repairs and maintenance (building, plant and machinery, others); legal and professional; printing and stationery; travel expenses; miscellaneous expenses

Corporate Social Responsibility (Additional Information, for a company covered under section 135; SM 5.113–5.114):

- (a) amount required to be spent by the company during the year;
- (b) amount of expenditure incurred;
- (c) shortfall at the end of the year;
- (d) total of previous years' shortfall;
- (e) reason for shortfall;
- (f) nature of CSR activities;

- (g) details of related party transactions, for example a contribution to a trust controlled by the company in relation to CSR expenditure;
- (h) where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year shown separately.

Crypto currency or virtual currency (Additional Information; SM 5.114): (a) profit or loss on transactions involving it; (b) amount held at the reporting date; (c) deposits or advances from any person for trading or investing in it.

⚠ **Careful**

Version-sensitive

CSR and Schedule III requirements are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

The arithmetic the auditor redoes

∑ **Formula**

Payroll reasonability

$$\text{Average salary} = \frac{\text{Salary expense for the month}}{\text{Employees on the payroll}}$$

Per employee per month, compared with the previous year and the preceding month.

∑ **Formula**

PF (or ESI) reasonability

$$\text{Expected contribution} = \text{Basic wages} \times \text{Applicable rate}$$

The rate is the one applicable to the entity, as given in the question.

∑ **Formula**

Depreciation, straight-line method

$$\text{Annual depreciation} = \frac{\text{Cost} - \text{Residual value}}{\text{Useful life}}$$

Charged from the date the asset is available for use.

∑ **Formula**

Insurance expense for the period

$$\text{Expense} = \text{Premium} \times \frac{\text{Days of cover in the period}}{\text{Days of cover in the policy}}$$

The rest of the premium is prepaid.

ANSWER FRAME

"Explain the audit procedures for [purchases / employee benefits / rent]"

1. **Name the assertion** where the question does ("to verify the occurrence of purchases").
2. **List the Study Material's procedures in its order**, one line each, with the document named (gate inward register, GRN, appointment letter, rent agreement).
3. **Apply to the case**: the weak controls, the increase, the escalation clause.
4. **Conclude**: if the evidence is satisfactory the assertion is addressed; otherwise the reporting consequences.

A "comment on the treatment" case

1. **Provision**: the attribute or rule (six attributes; ready for use; straight-line rent under the policy).
2. **Facts**: the item and its amount.
3. **Analysis**: which attribute fails; compute the correct figure.

4. **Conclusion**: the correct treatment and the misstatement.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty's tick on the paint bill**
   Fix: a valid document is one attribute of six; "revenue, not capital" (in both directions) and "for the business" are separate questions.

2. **Depreciation from the wrong day**
   Fix: depreciation begins when the asset is available for use (in the location and condition to operate as management intends): not before installation and trials are complete, and not later just because orders arrive late.

3. **Reading the payroll reasonability one way only**
   Fix: occurrence asks whether recorded expense is real and relates to the entity's personnel (overstatement); completeness and cut-off ask whether all the period's expense, accruals included, has been recorded (understatement). A shortfall against the expectation is as much a finding as an excess.

4. **Legal fees vouched and forgotten**
   Fix: legal expenses may reveal a dispute with no provision; follow it into provisions and contingent liabilities.

RECAP

- Purchases: control points (quotes, PO, GRN, 2-way or 3-way match, invoice approval); occurrence: fictitious vendors, gate inward register, quality check, signed GRN, approval and match, stock record; original invoice, risk and reward, input tax, related parties at arm's length, capitalise or expense.
- Purchases completeness: cut-off on the last 5 inward transactions, goods in transit, written representation; analytics: consumption, stock composition, ratios, quantitative reconciliation.
- Employee benefits are tested against fictitious employees (meet a sample, bank details or identity proofs) and against omissions; monthly movement; new hires and leavers; average salary per employee per month, read both ways; accruals for bonus, gratuity, leave encashment; PF and ESI reasonability and challans; production per employee.
- Depreciation: residual value deducted; significant components separately; from the date available for use (not delivery, not first use); on revalued amount from revaluation reserve; change in useful life prospectively.

- Other expenses, six attributes: current period, revenue not capital, valid documents, correct head, authorised as per DoA, business not personal. (Kesar's personal will fails the sixth.)
- Disclosures: employee benefits in four parts; other expenses under eight heads; CSR (a) to (h); crypto (a) to (c).

5.3 Audit of share capital, reserves and borrowings

Key idea

For share capital and reserves the auditor's question is "was it authorised and lawful?" (resolutions, Memorandum, sections 52 to 54, 66 and 68). For borrowings it is "is every claim recorded, and correctly classified?" (board minutes, loan agreements, confirmations from lenders, covenants).

FORMATS AND FORMULAS

These lists are what "state the disclosure requirements of Schedule III" questions ask for. Reproduce them in this order.

Share capital (Schedule III, Part I; SM 5.20–5.22)

For each class of share capital (different classes of preference shares treated separately):

- (a) the number and amount of shares authorised;
- (b) the number of shares issued, subscribed and fully paid, and subscribed but not fully paid;
- (c) par value per share;
- (d) a reconciliation of the number of shares outstanding at the beginning and at the end of the reporting period;
- (e) the rights, preferences and restrictions attaching to each class, including restrictions on the distribution of dividends and the repayment of capital;

- (f) shares held by the holding company or ultimate holding company, including shares held by their subsidiaries or associates, in aggregate;
- (g) shares held by each shareholder holding **more than 5 per cent** shares, specifying the number;
- (h) shares reserved for issue under options and contracts or commitments for the sale of shares or disinvestment, with terms and amounts;
- (i) for the five years immediately preceding the balance sheet date: (A) shares allotted as fully paid-up under contracts without payment in cash; (B) shares allotted as fully paid bonus shares; (C) shares bought back, each by aggregate number and class;
- (j) terms of securities convertible into equity or preference shares, with the earliest date of conversion, in descending order from the farthest date;
- (k) calls unpaid (showing the aggregate value of calls unpaid by directors and officers);
- (l) forfeited shares (amount originally paid-up);
- (m) **shareholding of promoters**:

Shares held by promoters at the end of the year:

S. No.	Promoter name	No. of shares	% of total shares	% change in year
	Total			

Details are given separately for each class; the percentage change is on the number at the beginning of the year (or at the date of a first issue during the year). If an issue for a specific purpose is not fully used at the balance sheet date, a note shows how the unutilised amount is used or invested.

Reserves and surplus (Schedule III, Part I; SM 5.26–5.27)

- (i) Classified as: (a) capital reserves; (b) capital redemption reserve; (c) securities premium; (d) debenture redemption reserve; (e) revaluation reserve; (f) share options outstanding account; (g) other reserves (nature, purpose and amount of each); (h) surplus, that is, the balance in the statement of profit and loss showing allocations and appropriations such as dividend, bonus shares and transfers to and from reserves (additions and deductions since the last balance sheet shown under each head).
- (ii) A reserve specifically represented by earmarked investments is termed a "**fund**".
- (iii) A debit balance in the statement of profit and loss is shown as a **negative figure under "Surplus"**; the balance of reserves and surplus, after adjusting it, is shown under "Reserves and Surplus" even if the result is negative.

Borrowings (Schedule III, Part I; SM 5.32–5.34)

Long-term borrowings	Short-term borrowings
(a) Bonds or debentures	(a) Loans repayable on demand: from banks; from other parties
(b) Term loans: from banks; from other parties	(b) Loans and advances from related parties
(c) Deferred payment liabilities	(c) Deposits
(d) Deposits	(d) Other loans and advances (specify nature)
(e) Loans and advances from related parties	
(f) Long-term maturities of finance lease obligations	
(g) Other loans and advances (specify nature)	

For both: **secured and unsecured**, with the nature of security; the aggregate of loans **guaranteed by directors or others** under each head; the period and amount of **default** in repaying loans and interest. Long-term only: bonds or debentures (rate, redemption or conversion particulars) in descending order of maturity from the farthest date (for instalments, the first instalment's date); redeemed bonds or debentures that can be reissued; terms of repayment of term loans. Short-term only:

current maturities of long-term borrowings separately. Other long-term liabilities: trade payables and others. Bank borrowings not used for their specific purpose: where they were used.

Additional regulatory information (SM 5.35–5.37): (1) for borrowings on the security of current assets, whether the **quarterly returns or statements** of current assets filed with the banks agree with the books, and if not, a summary of the reconciliation and reasons for material discrepancies; (2) if the company is a declared **wilful defaulter**, the date of declaration and details of defaults; (3) charges or satisfaction **yet to be registered with the Registrar** beyond the statutory period, with details and reasons; (4) **utilisation of borrowed funds and share premium** passed through intermediaries to ultimate beneficiaries (or received from funding parties): dates, amounts, details, and a declaration of compliance with FEMA, 1999 and the Companies Act and of no violation of the Prevention of Money-Laundering Act, 2002.

⚠ **Careful**

Version-sensitive

Sections, penalties and Schedule III requirements here are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

The arithmetic

∑ **Formula**

Securities premium on an issue

$$\text{Premium} = \quad \text{Shares} \times (\text{Price} - \text{Face value})$$

∑ **Formula**

Current maturities of a term loan

$$\text{Current maturities} = \text{Instalments due in 12 months}$$

Shown under short-term borrowings; the rest stays long-term.

ANSWER FRAME

A section-based case (premium, discount, sweat equity)

1. **Relevant provision**: the section, in the Study Material's words (the list of uses; "void"; the penalty and refund; the conditions).
2. **Facts of the case**: price, recipients, resolution, amounts.
3. **Analysis**: is the use or issue within the section? Compute premium, refund, interest, penalty where asked.

4. **Conclusion**: valid or not, and what the auditor verifies or reports.

"What procedures to verify borrowings?"

Answer by assertion, as the Study Material does: existence, completeness, valuation, then the Schedule III disclosure.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the dividend paid from premium**
   Fix: securities premium is applied only for the section 52 purposes; dividends and losses are not among them.

2. **"Discount is allowed if the shareholders agree"**
   Fix: shares at a discount are void, whatever the shareholders resolve, except sweat equity shares and the RBI-scheme conversion of debt into shares for creditors.

3. **The whole term loan as long-term**
   Fix: instalments falling due within twelve months are current maturities, shown separately under short-term borrowings; a covenant breach without the lender's written waiver may make the loan current.

RECAP

- Share capital is tallied to last year's audited statements, with the Company Secretary's written confirmation when nothing changed; after a change: within authorised capital (MOA), resolutions, fresh-issue compliances, no discount, cash or non-cash consideration, SEBI, MCA forms (SH-7, PAS-3), fees and stamp duty.
- Section 52: premium goes to a securities premium account and is used only for bonus shares, preliminary expenses, issue expenses or commission or discount, redemption premium and buy-back; a prescribed class keeps only equity bonus, equity issue expenses and buy-back.
- Section 53: shares at a discount are void, except sweat equity and RBI-scheme debt conversion for creditors; penalty up to the amount raised or ₹5 lakh, whichever is less; refund with 12% interest.
- Section 54: sweat equity to employees or directors, at a discount or for non-cash consideration; special resolution with particulars; class already issued; pari passu. Section 66 reduction: special resolution and Tribunal's order.
- Reserves: revenue reserves distributable; capital reserves not free (premium: section 52; CRR: section 55); a debit balance of profit and loss is negative "Surplus"; dividends proposed after the year end are disclosed, not a liability.

- Borrowings: existence (minutes, agreements, confirmations, trust deed, discharge, representation); completeness (schedule, later transactions); valuation (interest, closing rate, covenants and written waivers, current maturities, charges, section 180). (The sahukar always comes back.)

5.4 Audit of trade payables, provisions and other liabilities

Key idea

For liabilities, the auditor hunts for what is **not** in the books: confirmations from creditors (even those with small balances but large purchases), cut-off between goods received and invoices recorded, and payments and bills after the year end. For provisions, the auditor tests the **estimate**.

FORMATS AND FORMULAS

Reproduce these in ICAI's order: they are asked as "state the disclosures the auditor should verify".

Trade payables (Schedule III, Part I; SM 5.77–5.79)

Micro and small enterprises: whether the notes disclose

1. the principal amount and the interest due on it (shown separately) remaining unpaid to any supplier at the end of each accounting year;
2. the amount of interest paid by the buyer in terms of section 16 of the MSMED Act, 2006, with the amount of payments made to the supplier beyond the appointed day during the year;
3. the interest due and payable for the period of delay in making payment (paid, but beyond the appointed day during the year) but without adding the interest specified under the Act;

4. the interest accrued and remaining unpaid at the end of each accounting year;
5. the further interest remaining due and payable even in succeeding years, until the date the interest dues above are actually paid to the small enterprise, for disallowance as a deductible expenditure under section 23 of the Act.

Trade payables ageing schedule (amounts in ₹), outstanding for the following periods **from the due date of payment**:

Particulars	Below 1 yr	1–2 yrs	2–3 yrs	Above 3 yrs	Total
(i) MSME					
(ii) Others					
(iii) Disputed dues – MSME					
(iv) Disputed dues – Others					

Where no due date of payment is specified, the periods run from the date of the transaction; **unbilled dues** are disclosed separately.

Other current liabilities: whether the amounts disclosed are classified as (SM 5.79–5.80):

1. current maturities of finance lease obligations;

2. interest accrued but not due on borrowings;
3. interest accrued and due on borrowings;
4. income received in advance;
5. unpaid dividends;
6. application money received for allotment of securities and due for refund, and interest accrued thereon;
7. unpaid matured deposits and interest accrued thereon;
8. unpaid matured debentures and interest accrued thereon;
9. others (specify nature).

Share application money (item 6) includes advances towards allotment of share capital. The auditor checks that the notes disclose (SM 5.79–5.80):

- the terms and conditions, including the number of shares proposed to be issued, the amount of premium, if any, and the period before which the shares shall be allotted;
- whether the company has sufficient authorised capital to cover the share capital resulting from allotment of shares out of such money;
- the period for which the money has been pending beyond the period for allotment stated in the document inviting applications, with the reason it is pending.

Share application money not exceeding the issued capital and to the extent not refundable is shown under the head

Equity; the amount refundable (in excess of subscription, or where the minimum subscription requirements are not met) is shown separately under **"Other current liabilities"**.

Provisions (Schedule III and AS 29; SM 5.87–5.89)

Long-term provisions and **short-term provisions**: each classified as (a) provision for employee benefits; (b) others (specify nature).

Contingent liabilities and commitments (to the extent not provided for):

- Contingent liabilities: (a) claims against the company not acknowledged as debt; (b) guarantees; (c) other money for which the company is contingently liable.
- Commitments: (a) estimated amount of contracts remaining to be executed on capital account and not provided for; (b) uncalled liability on shares and other investments partly paid; (c) other commitments (specify nature).

AS 29, for each class of provision:

- the carrying amount at the beginning and end of the period;
- additional provisions made in the period, including increases to existing provisions;
- amounts used (incurred and charged against the provision) during the period;
- unused amounts reversed during the period;

- a brief description of the nature of the obligation and the expected timing of outflows;
- an indication of the uncertainties about the amount or timing (with the major assumptions about future events, where necessary);
- the amount of any expected reimbursement, stating any asset recognised for it.

For each class of contingent liability, unless the possibility of an outflow is remote: a brief description and, where practicable, an estimate of its financial effect, an indication of the uncertainties, and the possibility of any reimbursement; if any of this is not practicable to give, that fact is stated.

⚠ **Careful**

Version-sensitive

Schedule III disclosures (including the Additional Regulatory Information in "Under the hood") and the MSMED Act references are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

The arithmetic

∑ **Formula**

Statutory dues reasonability (last month)

$$\text{Expected GST} = \text{Sales of the month} \times \text{Applicable rate}$$

The same check for PF uses the employee benefit expense; variances are explained and documented.

∑ **Formula**

Provision movement (AS 29)

$$\text{Closing} = \text{Opening} + \text{Additions} - \text{Used} - \text{Reversed}$$

ANSWER FRAME

"Explain the procedures for [existence / completeness / valuation] of trade payables"

1. **State the assertion** in the Study Material's words ("Trade payables and liability balances that were supposed to be recorded have been recognised": completeness).
2. **List that assertion's procedures** in ICAI's order (for completeness: cut-off on the last 5 invoices, sample from ledgers, invoice dates against gate entry,

subsequent vouchers, customer advances, statutory dues reasonability and challans, CARO list).

3. **Apply them to the facts**: invoices near the year end, the creditor who did not reply, the dispute.
4. **Close** with the conclusion and, where asked, the disclosure (MSME, ageing).

"Management refuses a confirmation request"

1. **Provision**: consent of the entity and valid grounds (SM 5.72–5.73); SA 505's three steps: reasons and their validity, effect on risk (including fraud), alternative procedures.
2. **Facts**: the reason given (a dispute, a negotiation) and the size of the balance or purchases.
3. **Analysis**: is the reason supported by evidence; which alternative procedures (subsequent payments, correspondence, goods received notes).
4. **Conclusion**: if the refusal is unreasonable or evidence cannot be obtained, communicate with those charged with governance (SA 260) and consider the opinion (SA 705).

A provision case

1. **Provision**: the three recognition conditions; the expert and representation procedures.
2. **Facts**: the obligation, the probability, the estimate.
3. **Analysis**: provision, contingent liability disclosure, or nothing; compute the movement.

4. **Conclusion**: the treatment and the AS 29 disclosure.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: celebrating a fall in payables**
   Fix: for liabilities the risk is understatement; test cut-off, invoices and payments after the year end, and confirm with creditors from whom material purchases were made.

2. **Confirming only the big balances**
   Fix: confirmations go to all significant balances **and** to parties with material purchases during the year, even if their year-end balance is small: a small balance after large purchases is itself a warning.

3. **Hall of Shame: "They cancel out, Ma'am"**
   Fix: each is a separate misstatement of purchases and trade payables (and usually of profit); ask for both to be corrected, extend the cut-off test, and accumulate whatever remains uncorrected.

4. **A representation in place of a reply**
   Fix: perform the alternative procedures: subsequent payments, vendor invoices, detailed analysis of the balance.

5. **Providing for everything the lawyer mentions**
   Fix: provide only when there is a present obligation, a probable outflow and a reliable estimate; disclose a contingent liability when the outflow is possible; do nothing when it is remote.

RECAP

- The main risk for liabilities is understatement, and verifying them is as important as verifying assets; an omitted liability makes the balance sheet look stronger and profit higher.
- Existence rests on direct confirmation of all significant balances and of parties with material purchases, even if their balance is small; also controls against double recording, the ageing report traced to the ledger, related party payables at arm's length, and the purchases-to-payables trend.
- The confirmation form with no balance is preferable, and replies come to the auditor, not the client; the entity consents; a "do not confirm" request needs valid grounds (SA 505: reasons, risk, alternative procedures); the date is at or near the year end, set in consultation; selection is not revealed; discrepancies are reconciled; non-replies: subsequent payments, invoices, detailed analysis.
- Completeness: last 5 invoices (goods received or risks and rewards passed) and goods received before the year end; invoice dates against gate entries;

subsequent vouchers; customer advances; statutory dues reasonability and later challans; CARO list. (Kesar's April bills are March's liability.)

- Valuation: write-back process and approval by senior management (CEO/MD); ageing and disputes; forex restatement (AS 11); MSME principal and interest process.
- Provisions: present obligation + probable outflow + reliable estimate; working, expert (actuary, legal: probable, possible, remote), SA 500 evaluation of a management's expert, written representation; AS 29 movement and narrative disclosures.
- Disclosures: MSME (five items), payables ageing (four rows, from due date, unbilled separately), other current liabilities (nine heads), share application money refundable under other current liabilities; ARI: benami property, struck off companies, eleven ratios with reasons for changes over 25%.

5.5 Audit of property, plant, equipment and intangibles

Key idea

For PPE and intangible assets the auditor proves five things: the asset **exists** (physically verified, or for an intangible, in active use); every addition and deletion is **completely** recorded; the entity has **rights** to it (invoices and title deeds in its name, charges known); it is **valued** at cost as AS 10 or AS 26 allows, less depreciation or amortisation and impairment; and it is **disclosed** as Schedule III requires.

FORMATS AND FORMULAS

The movement schedule the auditor checks

Reproduce this layout; "opening + additions − deletions = closing" and the two tallies carry the marks.

Tapri's plant and equipment for 2025-26, in ₹ crore (illustrative):

Particulars	Opening, tallied to 2024-25 audited statements
Gross block	86.40
Accumulated depreciation	31.20
Net block	55.20

Particulars

Add: additions / depreciation for the year

Gross block

6.25

Accumulated depreciation

7.85

Net block

Particulars

Less: deletions

Gross block

1.10

Accumulated depreciation

0.95

Net block

Particulars

Closing, tallied to the books

Gross block

91.55

Accumulated depreciation

38.10

Net block

53.45

Schedule III: the PPE note (SM 5.63)

Learn the classification in this order; "state the disclosures" questions mark each head.

1. **Classification**: (a) Land; (b) Buildings; (c) Plant and Equipment; (d) Furniture and Fixtures; (e) Vehicles; (f) Office equipment; (g) Others (specify nature).

2. **Assets under lease** separately specified under each class of asset.
3. A **reconciliation of the gross and net carrying amounts** of each class at the beginning and end of the reporting period, showing additions, disposals, acquisitions through business combinations, the amount of change due to revaluation (if the change is 10% or more in the aggregate of the net carrying value of each class) and other adjustments, and the related depreciation and impairment losses or reversals, disclosed separately.
4. Where sums have been **written off on a reduction of capital or revaluation**, or **added on revaluation**, every subsequent balance sheet shows the reduced or increased figures and, by a note, the amount of the reduction or increase with its date, for the first **five years** after it.

Schedule III: the intangible assets note (SM 5.70)

1. **Classification**: (a) Goodwill; (b) Brands/trademarks; (c) Computer software; (d) Mastheads and publishing titles; (e) Mining rights; (f) Copyrights, and patents and other intellectual property rights, services and operating rights; (g) Recipes, formulae, models, designs and prototypes; (h) Licences and franchise; (i) Others (specify nature).
2. The **reconciliation** of gross and net carrying amounts, as for PPE (10% revaluation test for each class of intangible assets).

3. The **five-year note** on write-offs and revaluation, as for PPE.

Additional Regulatory Information (SM 5.64–5.65, 5.71)

(i) Title deeds of immovable property not held in the name of the company. Details of all immovable property (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) whose title deeds are not held in the name of the company; where the property is jointly held with others, details are given to the extent of the company's share. Columns, in order: relevant line item in the Balance Sheet (PPE, investment property, PPE retired from active use and held for disposal: land and building each; others); description of item of property; gross carrying value; title deeds held in the name of; whether the holder is a promoter, director, relative of a promoter or director, or employee of a promoter or director (as defined in the Companies Act, 2013); property held since which date; reason for not being held in the name of the company (also indicate if in dispute).

(ii) Revaluation. Whether the revaluation of PPE is based on the valuation by a **registered valuer** as defined under rule 2 of the Companies (Registered Valuers and Valuation) Rules, 2017.

(iii) Capital work-in-progress (CWIP). (a) The ageing schedule below, whose total shall tally with CWIP in the balance sheet; (b) for CWIP whose completion is overdue

or has exceeded its cost compared to its original plan, a completion schedule (Project 1, Project 2 ... against "to be completed in" less than 1 year, 1–2 years, 2–3 years, more than 3 years), with details of projects where activity has been suspended given separately.

CWIP ageing schedule (amount in CWIP for a period of)					
CWIP (₹)	< 1 year	1–2 years	2–3 years	> 3 years	Total
Projects in progress					
Projects temporarily suspended					

(iv) Intangible assets under development. The same ageing schedule and completion schedule, the total tallying with intangible assets under development in the balance sheet (SM 5.71).

> ⚠ **Careful**
>
> Schedule III requirements are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

ANSWER FRAME

"How should the auditor verify [assertion] for

PPE?"

1. **Name the assertion** and what it means here ("the entity has valid legal ownership rights over the PPE recorded").
2. **List the procedures** of SM 5.58–5.63 for it, in the Study Material's order and words.
3. **Apply them**: the mortgaged property gets the lender's confirmation and the register of charges; the new plant the AS 10 cost test.
4. **Conclude**: what the auditor obtains, and what follows if it cannot.

PPE against intangibles, assertion by assertion

Assertion	PPE	Intangible assets
Existence	Physical verification, tagging, reconciliation with the register	Active use: related sales or production data
Completeness	Movement schedule; AS 10 test of additions	Movement schedule; AS 26 test; no research
Valuation	Depreciation on all but freehold land; AS 28	Amortisation on all; AS 28
Rights	Invoices, title deeds, lender confirmation, charges	Invoices and contracts in the entity's name

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the singer capitalised with the kiln**
   Fix: only the purchase price, costs directly attributable to bringing the asset to its location and working condition, and the dismantling estimate join PPE. Inauguration, advertising, training and overheads are expenses however close to the asset they sit.

2. **Proving an app exists by looking at the server**
   Fix: existence of an intangible is shown by active use: the sales of the goods or services in which the software was used, or production data for a design.

3. **Accepting the photocopy of a mortgaged deed**
   Fix: insist on the original title deeds; where the property is given as security and the bank holds them, ask management to obtain the lender's confirmation, and check the register of charges.

4. **Treating all software as intangible**
   Fix: software that is an integral part of its hardware (the machine cannot operate without it, or an operating system) goes with the hardware as a fixed asset; only software that is not integral is an intangible asset.

RECAP

- PPE cost = purchase price (import duties and non-refundable taxes in, trade discounts out) + directly attributable costs + initial dismantling and restoration estimate.
- Not PPE: inauguration, launch advertising, staff training for a new location, general overheads, regular repairs.
- Existence: verification plan, supervision, tagging, reconciliation with the fixed asset register; shortages deleted after approval, depreciation stops.
- Completeness: opening + additions − deletions = closing, tallied both ways; additions tested for AS 10, date, approval, quotations; deletions for approval, discard note, sale process, gain or loss.
- Rights: invoices and deeds in the entity's name, original title deeds, lender's confirmation for pledged deeds, register of charges.
- Valuation: depreciation on all PPE except freehold land, method matching the pattern of benefits, AS 28 impairment.
- Intangibles: existence by active use; nothing from research; no internally generated goodwill; integral software is a fixed asset.
- Schedule III adds title deeds not in the company's name, registered-valuer revaluation and CWIP ageing. (The singer still cannot fire a kulhad.)

5.6 Audit of inventories, receivables, cash and loans and advances

Key idea

Current assets are proved at the balance sheet date: **receivables and loans** by direct confirmation and a recoverability review, **cash** by a surprise count of all balances together and by bank reconciliations and bank confirmations, **inventories** by attending the count and valuing at the lower of cost and net realisable value, and each is **disclosed** as Schedule III requires.

FORMATS AND FORMULAS

Formula

Inventory turnover ratio

$$\text{Inventory turnover ratio} = \frac{\text{Cost of goods sold}}{\text{Average inventory}}$$

A significantly lower ratio than before may reveal obsolete inventory (SM 5.52, 5.55).

Schedule III disclosures to verify

Each caption's list in this order; "state the disclosures" questions mark each point.

Trade receivables (SM 5.44–5.45): (i) the ageing schedule below; (ii) sub-classified as secured, considered good;

unsecured, considered good; doubtful; (iii) allowance for bad and doubtful debts disclosed under the relevant heads; (iv) debts due by directors or other officers, severally or jointly with others, or by firms or private companies in which a director is a partner, director or member, stated separately.

Trade receivables ageing schedule (₹)

Particulars	< 6 m	6 m–1 yr	1–2 yrs	2–3 yrs	> 3 yrs	Total
(i) Undisputed, good						
(ii) Undisputed, doubtful						
(iii) Disputed, good						
(iv) Disputed, doubtful						

Columns: outstanding for the period from the due date of payment (m: months; yr: year). Rows in full: undisputed trade receivables, considered good; undisputed, considered doubtful; disputed, considered good; disputed, considered doubtful. Where no due date is specified, the ageing runs from the date of the transaction. Unbilled dues are disclosed separately (SM 5.44–5.45).

Cash and cash equivalents (SM 5.49–5.50): (i) classified as balances with banks; cheques, drafts on hand; cash on

hand; others; (ii) earmarked balances (for example, unpaid dividend) stated separately; (iii) balances held as margin money or security against borrowings, guarantees or other commitments disclosed separately; (iv) repatriation restrictions stated; (v) bank deposits with more than 12 months' maturity disclosed separately.

Inventories (SM 5.56): classified as raw materials; work-in-progress; finished goods; stock-in-trade (goods acquired for trading); stores and spares; loose tools; others (specify nature); **goods-in-transit disclosed under each sub-head**; mode of valuation stated.

Loans and advances (SM 5.83–5.84):

Long-term	Short-term
Capital advances; loans and advances to related parties (details); other loans and advances (specify nature)	Loans and advances to related parties (details); others (specify nature)
Sub-classified: secured, considered good; unsecured, considered good; doubtful	The same
Allowance for bad and doubtful loans and advances under the relevant heads	The same
Due by directors or officers, or by firms or private companies in which a director is a partner, director or member, stated separately	The same

Additional Regulatory Information (SM 5.84): for loans or advances in the nature of loans to **promoters, directors, KMPs and related parties** (as defined in the Companies Act, 2013), severally or jointly, that are (a) **repayable on demand** or (b) **without specifying any terms or period of repayment**: for each type of borrower, the amount outstanding and its percentage to the total loans and advances in the nature of loans.

> ⚠ **Careful**
>
> Schedule III and Companies Act references are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

ANSWER FRAME

"State the audit procedures to verify [assertion] of [current asset]"

1. One line on the assertion ("all inventories owned by the entity, including those lying with third parties, and none belonging to others, are recorded").
2. The Study Material's procedures for that caption and assertion, in its order and words, as points.
3. One line applying them to the case (the job worker gets a declaration on its letterhead; the stale cheque goes back to liabilities).
4. A conclusion on the evidence, and the reporting consequence if it cannot be obtained.

Three answers to "How will you verify cash balances at three locations?"

Loses marks

"Count the cash and tally it with the cash book."

No surprise, no simultaneous count, no signature, no IOUs.

Passes

"Count cash by surprise at all locations together; get the cashier's signature; check IOUs are authorised."

Three points; misses rough cash book, sensitivity analysis and the second count after the year end.

Full marks

All the steps in the Study Material's order, each applied to the head office, branch, petty cash and imprest balances, ending with what the auditor does about a shortage or an unapproved IOU.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the cash count Bunty announced**
   Fix: count cash by surprise, on the last day and again after the close without notice, and count every balance (cashier, petty cash, branch, imprest) simultaneously.

2. **Leaving a stale cheque in the BRS**
   Fix: remove it from the BRS and take it back to liabilities.

3. **Confirmations through the client**
   Fix: the auditor controls despatch, replies and undelivered letters return to the auditor, and the form without the balance is preferable.

4. **Writing down finished goods but not their raw materials**
   Fix: when finished goods are valued at net realisable value below cost, verify that the related work in progress and raw materials have also been written down.

RECAP

- Receivables: confirm all significant balances directly, the form without balance preferred, replies to the auditor; no reply means subsequent receipts or a transaction analysis.

- Cash: count by surprise on the last day and again after the close, all balances simultaneously, cashier signing; verify every BRS; confirm 100% of bank balances.
- Inventories: attend the count, test cut-off, confirm third-party stock by a signed declaration, value at the lower of cost and NRV.
- Receivables also: test sales controls; cut-off on the last 5 days; allowance reviewed with the ageing and litigation lists; write-offs approved by the board.
- Ageing schedule: undisputed or disputed, good or doubtful, from the due date (else the transaction date); unbilled dues separately.
- Stale cheque (3 months or more) leaves the BRS and goes back to liabilities; unrecorded bank items adjusted or the report qualified.
- Loans and advances: confirmations with interest, agreements, MOA/AOA authority, board minutes; GST credit by reasonability and returns. Loans on demand or without terms to promoters, directors, KMPs and related parties: amount and percentage to total loans. (Never phone the cashier first.)

5.7 Audit of contingent liabilities

Key idea

Contingent liabilities are found, not vouched. The auditor searches for every claim, guarantee and dispute, obtains evidence (often a legal expert's assessment) of whether an outflow is probable, possible or remote, and checks that probable obligations are provided for, possible ones are disclosed as Schedule III and AS 29 require, and remote ones are left out.

FORMATS AND FORMULAS

Schedule III: "Contingent liabilities and commitments (to the extent not provided for)" (SM 5.88)

Reproduce the heads in this order; the class decides where each item goes.

(i) Contingent liabilities	(ii) Commitments
(a) Claims against the company not acknowledged as debt	(a) Estimated amount of contracts remaining to be executed on capital account and not provided for
(b) Guarantees	(b) Uncalled liability on shares and other investments partly paid
(c) Other money for which the company is contingently liable	(c) Other commitments (specify nature)

AS 29: what each class of contingent liability must say (SM 5.89)

Unless the possibility of any outflow in settlement is remote, for **each class** of contingent liability at the balance sheet date, a brief **description of its nature** and, where practicable:

1. an **estimate of its financial effect**;
2. an **indication of the uncertainties** relating to any outflow; and
3. the **possibility of any reimbursement**.

Where any of this is not disclosed because it is not practicable, that fact should be stated.

> ⚠ **Careful**
>
> Schedule III and AS 29 requirements are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

ANSWER FRAME

"How will you verify contingent liabilities?"

1. One line: contingent liabilities are not recorded, so the audit is a search plus an assessment.
2. The Study Material's joint list in order: list of provisions against the ledger; agreements, warranty commitments and legal claims; management's working; the expert's report (actuary, legal expert: probable, possible or remote); evaluation of the management's expert under SA 500; the written representation.
3. The SA 501 search: inquiry, minutes and correspondence with counsel, legal expense accounts; direct communication with external counsel.
4. Disclosure: the Schedule III heads and the AS 29 particulars.

A case on an undisclosed claim

Step	What to write
Relevant provision	AS 29 (provision or contingent liability, disclosed unless remote); SA 501 (search, direct communication with counsel, refusal leads to SA 705)
Facts of the case	The claim, its amount, materiality, what management has done or refused
Analysis	Probable, possible or remote, on what evidence; material or not; pervasive or not
Conclusion	The treatment management must adopt and, if it does not or evidence is denied, the modification

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: vouching the litigation list and stopping there**
   Fix: the list is where the search starts, not ends. Inquiry, minutes, correspondence with counsel and the legal expense accounts are how unlisted claims are found.

2. **Calling every claim a contingent liability**
   Fix: ask the three recognition questions first; only what fails them is disclosed, and then only if not remote.

3. **Disclosing the remote ones "to be safe"**
   Fix: AS 29 requires disclosure unless the possibility of outflow is remote. A remote claim is left out; the auditor's work is to check that "remote" is supported by the expert's assessment.

4. **Putting capital commitments under contingent liabilities**
   Fix: contracts remaining to be executed on capital account and uncalled liability on partly paid shares are **commitments**, a separate head in the same Schedule III note.

RECAP

- Contingent liability: a possible obligation that uncertain future events outside the entity's control will confirm, or a present obligation not recognised (outflow not probable, or not reliably measurable).
- Present obligation, probable outflow, reliable estimate: provision. Possible: disclose. Remote: nothing.
- Procedures: list against the ledger, agreements and claims, management's working, the expert's report (probable, possible, remote), SA 500 evaluation, written representation.
- SA 501 search: inquiry (including in-house counsel), minutes and correspondence with external counsel,

legal expense accounts; then a letter of inquiry to external counsel, with management's permission.

- Refusal of permission and no alternative evidence: modify the opinion under SA 705.
- Schedule III: claims not acknowledged as debt; guarantees; other money contingently liable. Commitments: capital contracts, uncalled liability on partly paid shares, others.
- AS 29, each class: nature, and where practicable the financial effect, uncertainties and reimbursement; if impracticable, say so. ("Nothing has happened yet" is exactly when the note is needed.)

CHAPTER 6

Audit Documentation

6.1 SA 230: audit documentation

Key idea

Audit documentation is the record of audit procedures performed, relevant audit evidence obtained and conclusions reached. It must let an experienced auditor with no previous connection with the audit understand the work, the evidence and the significant judgments; it is prepared on a timely basis, assembled into the final file ordinarily within 60 days of the report, kept for at least seven years, and is the property of the auditor.

FORMATS AND FORMULAS

What every working paper must let a reader see

Build each working paper so that these items are visible on its face (SM 6.6).

Item on the working paper	SA 230 requirement it meets
Items tested, by identifying characteristic	Identifying characteristics of the items or matters tested
Prepared by, and date completed	Who performed the work and the date it was completed
Reviewed by, date, extent of review	Who reviewed it, and the date and extent of review
Results, evidence, conclusion	Results of procedures, evidence obtained, conclusions
Discussions: what, when, with whom	Discussions of significant matters

The two numbers

∑ **Formula**

The assembly deadline and the retention period

Assembly of final file complete: ordinarily not more than **60 days** after the date of the auditor's report.

Retention: ordinarily no shorter than **7 years** from the date of the auditor's report or, if later, the group auditor's report.

Worked dates for a report dated 22 May 2026: assembly ordinarily by **21 July 2026** (60 days: 9 days of May, 30 of June, 21 of July); retention at least until **22 May 2033**.

A case question on the audit file

1. **Provision**: SA 230 (and SQC 1) in its words: timely preparation; assembly as an administrative process ordinarily within 60 days of the report; administrative changes only; no deletion after assembly; retention at least seven years; property of the auditor.
2. **Facts with dates**: count the days from the date of the auditor's report.
3. **Analysis**: limb by limb, allowed or not and why.
4. **Conclusion**: "Thus, the action of CA ... is not valid / is in order."

"State the matters the documentation must enable an experienced auditor to understand"

Must understand (three)	Must record for nature, timing and extent (three)
Nature, timing and extent of procedures performed	Identifying characteristics of items tested
Results of procedures and evidence obtained	Who performed the work, and the date completed
Significant matters, conclusions and significant judgments	Who reviewed it, and the date and extent of review

Add: discussions of significant matters (what, when, with whom) and how any inconsistency with the final

conclusion was addressed.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the memo dated today, about last May**
   Fix: documentation is prepared on a timely basis; assembly after the report date is administrative only and draws no new conclusions. Back-filling papers puts a question mark on the quality of the whole audit.

2. **"The 60 days are for preparing the documentation"**
   Fix: documentation is prepared during the audit, on a timely basis. The 60 days are only for the administrative assembly of the final file after the report date (RTP May 2024 Q14 turns on this).

3. **Keeping every draft "to be safe"**
   Fix: superseded drafts of working papers and financial statements, notes of preliminary thinking, copies corrected for typing errors and duplicates need not be included; the final versions and the significant matters must be.

4. **"The client paid for it, so the file is the client's"**
   Fix: unless law or regulation says otherwise, audit documentation is the property of the auditor. Extracts may be given at the auditor's discretion, if that does not undermine the validity of the work or the auditor's independence.

RECAP

- Audit documentation: the record of audit procedures performed, relevant audit evidence obtained, and conclusions reached ("working papers").
- Objective: a sufficient and appropriate record of the basis for the report, and evidence that the audit was planned and performed in accordance with SAs and law.
- Six purposes: plan and perform; direct, supervise and review; accountability; matters of continuing significance; SQC 1 reviews; external inspections.
- The experienced auditor test: nature, timing and extent; results and evidence; significant matters, conclusions and judgments. Record items tested, who did it and when, who reviewed it, when and how far; discussions of significant matters; how inconsistencies were addressed.
- Paper or electronic; not a substitute for the entity's records; drafts, preliminary notes, corrected copies and duplicates need not be kept.

- Prepare on a timely basis; assemble the final file ordinarily within 60 days of the report (administrative changes only); no deletion afterwards; retain at least 7 years from the report date (or the group auditor's report, if later).
- Completion memorandum: significant matters and how they were addressed. The file is the auditor's property; extracts at discretion. (The case sheet stays with the hospital.)

Interactive version: PassBook app, lesson SA 230: audit documentation

CHAPTER 7

Completion and Review

7.1 SA 560: subsequent events

Key idea

Dates decide duties. Before the report date, the auditor must search for subsequent events; after it, the auditor need not search, but must act on any fact that would have changed the report.

FORMATS AND FORMULAS

Window 2 and Window 3, side by side

Reproduce this from memory: "distinguish" questions are marked row by row.

Step	Window 2: before issue	Window 3: after issue
Duty to search	None	None
On learning a fact	Discuss; determine; inquire	Same three steps
Management amends	Procedures on amendment; new report	Same, plus review steps to inform recipients
New report adds	Only if restricted: additional date, or Emphasis or Other Matter paragraph	Always: Emphasis or Other Matter paragraph on the note and the earlier report
Management will not amend	Not provided: modify (SA 705). Provided: notify not to issue	Notify that the auditor will seek to prevent future reliance
Last resort	Issued anyway: act to prevent reliance	Still no steps: act to prevent reliance

Dating rules

- The original report is dated no earlier than the date on which the auditor has obtained sufficient appropriate audit evidence, including evidence that the statements have been prepared and that those with recognised authority have taken responsibility for them (SM 8.22).

- A new report on amended financial statements is dated **no earlier than the date of approval of the amended financial statements** (SM 7.8, 7.9).
- A restricted amendment gets an **additional date** in the report, restricted to that amendment (SM 7.8).

ANSWER FRAME

A case on a subsequent event

1. **Fix the window** from the dates: event or fact before the report date (Window 1), after the report but before issue (Window 2), or after issue (Window 3).
2. **Relevant provision** for that window, in SA 560's words.
3. **Facts**: type of event (existed at the year-end, or arose after), amount against materiality, management's response, whether the report has been provided.
4. **Analysis**: adjust or disclose; which branch of the window applies.
5. **Conclusion**: the steps in order, ending with the opinion, the new report's date and paragraph, or the action to prevent reliance.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty's minutes that stop on 31 March**
   Fix: SA 560 requires reading minutes of meetings held **after** the date of the financial statements, and inquiring about meetings whose minutes are not yet available (ICAI's January 2025 MCQ 4).

2. **Adjusting for the fire**
   Fix: the fire is a condition that arose after the year-end: disclose it if significant; adjust only for events that give evidence of conditions existing at the year-end.

3. **"Once signed, the auditor has no duty"**
   Fix: there is no duty to perform procedures after the report date, but a duty to respond to facts that become known and would have changed the report, in both Window 2 and Window 3.

4. **Keeping the old date on the new report**
   Fix: a new report on amended financial statements is dated no earlier than the date of approval of the amended statements, after extending the subsequent-events procedures to that date (or carries an additional date restricted to a lawful restricted amendment).

RECAP

- Subsequent events: events between the date of the financial statements and the date of the auditor's report, and facts known to the auditor after the report date.
- Two types: conditions that existed at the year-end (insolvent debtor, claim settled for less: adjust) and conditions that arose after (fire, share issue, merger: disclose).
- Objectives: evidence that events up to the report date are appropriately reflected; respond to facts learnt after the report date that may have changed it.
- Window 1 procedures: understand management's procedures; inquire; read minutes of meetings after the year-end; read latest interim statements; written representation.
- Date the financial statements are issued: when the report and statements are made available to third parties; at or after the report date and the date the report is provided to the entity.
- Windows 2 and 3 open with discuss, determine, inquire. Amended: procedures on it; new report dated no earlier than approval (or an additional date for a restricted amendment).
- Window 2, not amended: report not provided, modify (SA 705); provided, notify not to issue; issued anyway, act to prevent reliance.
- Window 3: review steps to inform recipients; Emphasis or Other Matter paragraph; if no steps,

notify that the auditor will seek to prevent future reliance, then act. (The lab phones everyone who got a copy.)

7.2 SA 570: going concern

Key idea

Two questions decide the report: is the going concern basis appropriate, and does a material uncertainty exist? If it does, the third question is whether the financial statements disclose it adequately.

FORMATS AND FORMULAS

The reporting grid

Reproduce this from memory: each row is a requirement of SA 570.

Situation	Opinion	Also in the report
Basis inappropriate	Adverse	–
Material uncertainty, adequately disclosed	Unmodified	"Material Uncertainty Related to Going Concern" section
Material uncertainty, not adequately disclosed	Qualified or adverse	Statement in the Basis for Qualified (Adverse) Opinion section
Events or conditions, no material uncertainty	Unmodified	– (auditor evaluates their disclosure)
Management will not make or extend assessment	Qualified or disclaimer may be appropriate	–

The "Material Uncertainty Related to Going Concern" section

Its two contents are listed in point 2 above: (a) draw attention to the note; (b) state that a material uncertainty exists and that the opinion is not modified in respect of it (SM 7.22). Neither an Emphasis of Matter paragraph (SA 706) nor a key audit matter (SA 701) is a substitute for this reporting (SM 8.50, 8.54).

ANSWER FRAME

A case on going concern

1. **Relevant provision**: the part of SA 570 the case turns on (events or conditions, additional procedures, the twelve-month rule, or the reporting requirement), in the Standard's words.
2. **Facts**: list the events or conditions with their category and figures; management's plans and assessment period; the disclosure made.
3. **Analysis**: is the basis appropriate? Do mitigating factors and feasible plans remove the doubt, or does a material uncertainty remain? Is it adequately disclosed?
4. **Conclusion**: the opinion and the report element ("Material Uncertainty Related to Going Concern" section, or the statement in the Basis section), or the procedure demanded.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty's "qualified, because of going concern doubts"**

   Fix: an adequately disclosed material uncertainty leaves the opinion **unmodified**, with a separate "Material Uncertainty Related to Going Concern" section. Modification follows only inadequate disclosure, an inappropriate basis, or management's refusal to assess.

2. **Using an Emphasis of Matter paragraph for a material uncertainty**
   Fix: SA 570 prescribes its own separate section; an Emphasis of Matter paragraph, or a key audit matter, is not a substitute (SM 8.50, 8.54).

3. **Twelve months from the wrong date**
   Fix: management's assessment must cover at least twelve months from the **date of the financial statements**; if shorter, the auditor requests an extension.

4. **"The clean report promised survival"**
   Fix: the absence of a reference to a material uncertainty cannot be viewed as a guarantee of the entity's ability to continue: inherent limitations are greater for future events.

RECAP

- Going concern: the entity continues in operation for the foreseeable future, with neither the intention nor the necessity of liquidation or of materially curtailing operations; otherwise, the liquidation basis.
- Management assesses; the auditor obtains evidence on the appropriateness of the basis, concludes on material uncertainty, and reports. No reference to a material uncertainty is not a guarantee.
- Events or conditions: financial (net current liabilities, maturing debt, negative cash flows, losses, dividend

arrears, cash-on-delivery suppliers), operating (key management, major market or customer, labour, supplies, competitor), other (regulatory non-compliance, litigation, law changes, uninsured catastrophes).

- Management's assessment covers at least twelve months from the date of the financial statements, or the auditor requests an extension.
- Additional procedures: request an assessment; evaluate plans; test the forecast's data and assumptions; consider new information; written representations.
- Material uncertainty: potential impact and likelihood such that disclosure of its nature and implications is necessary.
- Basis inappropriate: adverse. Uncertainty adequately disclosed: unmodified + "Material Uncertainty Related to Going Concern" section. Not adequately disclosed: qualified or adverse. Management will not assess: qualified or disclaimer may be appropriate.
- Kesar's "I will help" is a feeling, not an arrangement: confirm support is enforceable and affordable.

Interactive version: PassBook app, lesson SA 570: going concern

7.3 SA 450: evaluating misstatements

Key idea

Accumulate every misstatement above the clearly trivial, ask management to correct all of them, and judge whatever stays uncorrected, individually and in aggregate, by size and nature, against materiality reassessed on the actual results. Then tell those charged with governance, obtain a written representation with the list attached, and document.

FORMATS AND FORMULAS

Reproduce both from memory: each is a frequent short question.

The audit documentation under SA 450 (SM 7.27)

1. The amount below which misstatements would be regarded as **clearly trivial**;
2. **All misstatements accumulated** during the audit and whether they have been corrected; and
3. The auditor's **conclusion** as to whether uncorrected misstatements are material, individually or in aggregate, and the **basis** for that conclusion.

The SA 450 line in ICAI's illustrative representation letter (SM 7.36)

"The effects of uncorrected misstatements are immaterial, both individually and in the aggregate, to the

financial statements as a whole. A list of the uncorrected misstatements is attached to the representation letter. (SA 450)"

The rest of that letter is in SA 580: written representations.

> **Note**
>
> The Study Material gives no percentage for "clearly trivial". The amount is the auditor's judgment, and it must be documented. It is not materiality: misstatements above it are accumulated even when each is far below materiality, because they may add up.

ANSWER FRAME

A case question on misstatements

1. **Relevant provision**: "As per SA 450, ...", only the requirements the facts need (accumulation, revision of the plan, communication, refusal, reassessment, evaluation, those charged with governance, representation, documentation).
2. **Facts of the case**: list the misstatements with amounts and say which are corrected.
3. **Analysis**: clearly trivial? Reassessed materiality? Individually, in aggregate (show the total), by nature, and the prior-period effect.
4. **Conclusion**: material or not, then what the auditor must do next, and the effect on the opinion if they stay

uncorrected (SA 705).

"State the documentation required under SA 450"

Three points, in order: the clearly trivial amount; all misstatements accumulated and whether corrected; the conclusion on whether uncorrected misstatements are material, individually or in aggregate, with its basis. Three marks are often exactly these three lines.

"Discuss the auditor's responsibility to communicate with management"

Point	What earns the mark
What and when	All accumulated misstatements, on a timely basis, to the appropriate level of management, unless prohibited by law or regulation
Request	Request management to correct those misstatements
Why timely	Lets management evaluate whether the items are misstatements, inform the auditor if it disagrees, and act
Why correct all	Accurate books and records; lower risk of material misstatement in future periods from the cumulative effect of immaterial uncorrected prior-period misstatements
If refused	Understand management's reasons and take them into account in evaluating the financial statements as a whole

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "each one is below materiality, so none matters"**
   Fix: SA 450 asks whether they are material "individually or in aggregate": add them up, and weigh their nature too.

2. **The yardstick nobody re-read**
   Fix: reassess materiality against the actual financial results *before* evaluating uncorrected misstatements.

3. **"We passed it last year"**
   Fix: consider the effect of prior-period uncorrected misstatements on this year's balances and the financial statements as a whole, and communicate it to those charged with governance.

4. **Treating the representation as the evidence**
   Fix: the representation records management's belief with the list attached; the auditor still reaches and documents a conclusion, and a written representation does not on its own provide sufficient appropriate audit evidence.

RECAP

- Misstatement: a difference in amount, classification, presentation or disclosure from what the framework requires; from error or fraud.
- Objective: evaluate the effect of identified misstatements on the audit, and of uncorrected misstatements on the financial statements.
- Accumulate all misstatements except the clearly trivial; revise the strategy and plan if more may exist or the total approaches materiality.
- Tell management on a timely basis, request correction of all; if refused, understand the reasons.
- Reassess materiality on the actual results, then judge uncorrected items individually and in aggregate, by size and nature, with the prior-period effect.
- Tell those charged with governance (material items individually), request correction; obtain a written representation with the list attached.
- Document: the clearly trivial amount, every misstatement and whether corrected, the conclusion and its basis.
- Small ones add up, and old ones carry forward. (Mausi's name can stay; the wedding date cannot.)

7.4 SA 580: written representations

Key idea

Written representations are necessary audit evidence but never sufficient on their own. The two about management's responsibilities (preparing the financial statements; providing all information and recording all transactions) are compulsory: if they are not provided, or are unreliable because of doubt about management's integrity, the auditor disclaims an opinion.

FORMATS AND FORMULAS

ICAI's illustrative representation letter (SM 7.35–7.37)

Reproduce the headings and the bullets in this order: January 2026 asked for the "Financial Statements" part for 5 marks.

On the letterhead of the entity

To Iyer & Associates, Chartered Accountants. Date: 28th May, 2026.

Dear Sir,

This representation letter is provided in connection with your audit of the financial statements of Tapri Tea Co. Ltd for the year ended March 31, 2026 for the purpose of expressing an opinion as to whether the financial statements give a true and fair view in accordance with the applicable accounting standards in India.

We confirm that (to the best of our knowledge and belief, having made such inquiries as we considered necessary for the purpose of appropriately informing ourselves):

Financial Statements

- We have fulfilled our responsibilities, as set out in the terms of the audit engagement dated [date], for the preparation of the financial statements in accordance with financial reporting Standards, in particular, the financial statements give a true and fair view in accordance with the applicable accounting standards in India.
- Significant assumptions used by us in making accounting estimates, including those measured at fair value, are reasonable.
- Related party relationships and transactions have been appropriately accounted for and disclosed in accordance with the requirements of applicable accounting standards in India. (SA 550)
- All events subsequent to the date of the financial statements and for which applicable accounting standards in India require adjustment or disclosure have been adjusted or disclosed. (SA 560)
- The effects of uncorrected misstatements are immaterial, both individually and in the aggregate, to the financial statements as a whole. A list of the uncorrected misstatements is attached to the representation letter. (SA 450)

Information provided

- We have provided you with:
  - Access to all information of which we are aware that is relevant to the preparation of the financial statements such as records, documentation and other matters;
  - Additional information that you have requested from us for the purpose of the audit; and
  - Unrestricted access to persons within the entity from whom you determined it necessary to obtain audit evidence.
- All transactions have been recorded in the accounting records and are reflected in the financial statements.
- We have disclosed to you the results of our assessment of the risk that the financial statements may be materially misstated as a result of fraud.
- We have disclosed to you all information in relation to fraud or suspected fraud that we are aware of and that affects the entity and involves:
  - Management;
  - Employees who have significant roles in internal control; or
  - Others where the fraud could have a material effect on the financial statements.
- We have disclosed to you all information in relation to allegations of fraud, or suspected fraud, affecting the entity's financial statements communicated by employees, former employees, analysts, regulators or others.

- We have disclosed to you all known instances of non-compliance or suspected non-compliance with laws and regulations whose effects should be considered when preparing financial statements.
- We have disclosed to you the identity of the entity's related parties and all the related party relationships and transactions of which we are aware. (SA 550)

Chief Financial Officer

> **Tip**
>
> SA 580's own two representations are the first bullet under "Financial Statements" and the first two under "Information provided". The rest supports other evidence.

ANSWER FRAME

A case question on written representations

1. **Relevant provision**: "As per SA 580, ...", the requirement the facts turn on (date, period, form, qualifying language, the two required representations, reliability, refusal, disclaimer).
2. **Facts of the case**: who refused or wrote what, and on what date.
3. **Analysis**: is it one of the two responsibilities representations? Is the date within the rule? Does a change of management change anything (it does not)? Is there an inconsistency to resolve?

4. **Conclusion**: what management must provide, what the auditor must do (discuss, re-evaluate integrity), and the opinion if it is not provided (disclaimer, for the responsibilities representations).

"Explain the date of and period covered by written representations"

Point	What earns the mark
Date	As near as practicable to, but not after, the date of the auditor's report
Why	Necessary evidence: the opinion cannot be expressed, nor the report dated, before it; and events up to the report date matter
Period	All financial statements and period(s) referred to in the report
Why	Management reaffirms that earlier representations for prior periods remain appropriate
New management	Not being present does not diminish its responsibilities for the financial statements as a whole; the requirement still applies

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the qualified opinion for a missing letter**
   Fix: for the two responsibilities representations, SA 580 requires a **disclaimer of opinion** in accordance with SA 705. ICAI's May 2026 MCQ 4, on a refused representation about receivables, lists Bunty's answer as the action not to take even there.

2. **"Management has confirmed it, so no more work"**
   Fix: written representations are necessary audit evidence but do not provide sufficient appropriate audit evidence on their own; reliable ones do not reduce other evidence the auditor obtains.

3. **"We were not here then"**
   Fix: representations cover all periods referred to in the report; a change of management does not diminish the responsibilities of current management for the financial statements as a whole.

RECAP

- Written representation: a written statement by management to the auditor to confirm certain matters

or support other evidence; not the financial statements, assertions or books.

- Necessary audit evidence, like responses to inquiries; never sufficient on its own; reliable ones do not reduce other evidence.
- Objectives: obtain the responsibilities representations, support other evidence, respond appropriately to representations given or refused.
- The two required representations: responsibility for preparing the financial statements fulfilled; all information and access provided and all transactions recorded.
- "To the best of our knowledge and belief" is acceptable if made by those with appropriate responsibilities and knowledge.
- Date as near as practicable to, but not after, the report date; cover all periods in the report, even after a change of management; form: a letter addressed to the auditor.
- Inconsistent: resolve, then reconsider integrity. Refused: discuss, re-evaluate integrity, SA 705.
- Disclaimer when the responsibilities representations are refused, or unreliable because of sufficient doubt about management's integrity. (No signature, no surgery.)

7.5 SA 260 and SA 265: communicating with those charged with governance

Key idea

SA 260: two-way communication with those charged with governance, throughout the audit, on the auditor's responsibilities, the planned scope and timing, significant findings and, for listed entities, independence; in writing where oral would not be adequate, and always documented. SA 265: significant deficiencies in internal control go in writing, on a timely basis, to those charged with governance and to management, with a description, their potential effects and their context.

FORMATS AND FORMULAS

What the written communication of significant deficiencies must contain (SM 7.49)

Reproduce the two contents and the three explanations, in this order.

The auditor shall include:

- (a) a **description** of the deficiencies and an explanation of their **potential effects**; and
- (b) **sufficient information** to enable those charged with governance and management to understand the context of the communication.

In particular, the auditor shall explain that:

- (i) the **purpose** of the audit was for the auditor to express an opinion on the financial statements;
- (ii) the audit included consideration of internal control relevant to the preparation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but **not for the purpose of expressing an opinion on the effectiveness of internal control**; and
- (iii) the matters being reported are **limited** to those deficiencies that the auditor has identified during the audit and has concluded are of sufficient importance to merit being reported to those charged with governance.

SA 260 and SA 265 side by side

Point	SA 260	SA 265
Deals with	Communication with those charged with governance in an audit	Communicating identified internal control deficiencies to those charged with governance and management
Direction	Two-way	Auditor to them
What	Responsibilities; scope and timing; significant findings; independence (listed)	Significant deficiencies; other deficiencies worth management's attention
Form	Written where oral is not adequate; independence (listed) in writing	Significant deficiencies always in writing
Timing	Timely	Timely

ANSWER FRAME

A one-liner question ("Is the communication proper?")

1. **Provision**: SA 265's definition of significant deficiency, and the required content: description, potential effects, sufficient information for context (and the three explanations).

2. **Facts**: quote the one-liner.
3. **Analysis**: it states the deficiency but explains no effect and gives no context.
4. **Conclusion**: "not proper"; then write the missing parts for the facts, and suggest fixing responsibility for the control.

"What significant findings should be communicated?"

The five points in the Study Material's order: qualitative aspects (with "acceptable but not most appropriate"); significant difficulties; unless all of them manage the entity, matters discussed with management and written representations requested; circumstances affecting the report; other significant matters relevant to oversight. Apply each to the facts in a line.

"Explain the independence communication for a listed entity"

The statement of compliance (engagement team, firm, network firms); all relationships and other matters bearing on independence, with total fees for audit and non-audit services by category; the safeguards applied. In writing.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "controls are weak"**
   Fix: describe it, explain its potential effects, give enough information for context, and explain the purpose and limits of the audit.

2. **"No misstatement found, so not significant"**
   Fix: significance depends on the likelihood and potential magnitude of misstatement, not only on whether one occurred: a significant deficiency may exist although the auditor found no misstatement.

3. **Telling only the managing director**
   Fix: SA 260 asks the auditor to determine the appropriate persons within the governance structure; matters such as those discussed with management and the written representations requested go to those charged with governance unless all of them manage the entity, and significant deficiencies go to them in writing.

4. **An opinion on internal control by accident**
   Fix: the communication must say the audit considered internal control to design procedures, **not** to express an opinion on its effectiveness.

RECAP

- Those charged with governance: the persons overseeing the entity's strategic direction and accountability, including the financial reporting process; they may include management (an owner-manager).
- SA 260 objectives: communicate responsibilities and the planned scope and timing; obtain relevant information; give timely significant observations; promote two-way communication.
- Communicate: responsibilities; scope and timing (with significant risks); significant findings (five points); independence and fees for listed entities.
- Process: form, timing and content agreed; in writing where oral is not adequate (independence always, for listed entities); timely; adequacy evaluated; oral matters documented with when and to whom.
- Deficiency: a control unable to prevent, or detect and correct, misstatements on time, or a necessary control missing. Significant: important enough to merit the attention of those charged with governance.
- Significance rests on likelihood and magnitude: it can exist with no misstatement found.
- Significant deficiencies: in writing, timely, to those charged with governance and (unless inappropriate) management; other deficiencies worth it, to management.
- Letter content: description and potential effects; context; the three Ps. (The engineer writes "cracked

beam", never "building weak".)

CHAPTER 8

Audit Report

8.1 SA 700: forming an opinion and the auditor's report

Key idea

An unmodified opinion is earned, not assumed: reasonable assurance from sufficient appropriate evidence, immaterial uncorrected misstatements and an evaluation of the statements as a whole. The report says so under SA 700's headings, opinion first, dated no earlier than the evidence is complete.

FORMATS AND FORMULAS

Opinion and Basis for Opinion, ready to draft

Reproduce from memory (ICAI's Illustrations 3 and 4, SM 8.12–8.13, 8.26–8.27).

Opinion. We have audited the standalone financial statements of Tapri Tea Co. Ltd ("the Company"), which comprise the Balance Sheet as at 31st March 2026, the Statement of Profit and Loss, the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information. In our opinion and to the best of our information and according to the explanations

given to us, the aforesaid standalone financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March 2026, and profit, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

ICAI's "according to the explanations given to us" is not a "subject to": the opinion stays unconditional.

ANSWER FRAME

"Explain what this section contains"

Heading in quotation marks, its position ("directly following the Opinion section"), its points in ICAI's order and words, then why it matters ("provides important context about the auditor's opinion"). A draft-report case: provision, facts, analysis, the corrected element.

"Distinguish between a fair presentation framework and a compliance framework"

Point	Fair presentation framework	Compliance framework
Compliance with the framework	Required	Required
Disclosures beyond the framework	Acknowledged as possibly necessary	No such acknowledgement
Departure from a requirement	Acknowledged explicitly, extremely rare	No such acknowledgement
Auditor's extra evaluation	Whether fair presentation is achieved	Not required

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the clean opinion "subject to" Kesar's explanations**
   Fix: "give a true and fair view" or "present fairly, in all material respects"; "subject to" suggests a conditional opinion (SM 8.11).

2. **"The opinion is clean, so no Basis for Opinion"**
   Fix: the Basis for Opinion section is in every report under SA 700, modified or not (SM 8.12, 8.100).

3. **Dating the report on the last day of fieldwork**
   Fix: no earlier than sufficient appropriate evidence, including that those with the recognised authority have taken responsibility for the statements (SM 8.22).

RECAP

- Objectives: form an opinion from an evaluation of the conclusions drawn from the evidence; express it clearly in a written report.
- Reasonable assurance: sufficient appropriate evidence; uncorrected misstatements not material; the evaluations, including bias.
- Lack of neutrality: selective correction of misstatements; possible bias in estimates.

- Specific evaluations: policies disclosed and appropriate, estimates reasonable, information relevant, reliable, comparable and understandable, disclosures adequate, terminology appropriate.
- Unmodified: "true and fair view" or "present fairly, in all material respects"; never "subject to" or "with the foregoing explanation".
- Fourteen elements, title to date; Basis for Opinion follows the Opinion in every report.
- Dated no earlier than complete evidence; partner's signature, membership number, FRN, UDIN. (No certificate before the check-up.)

Interactive version: PassBook app, lesson SA 700: forming an opinion and the auditor's report

8.2 SA 701: key audit matters

Key idea

Key audit matters are chosen from the matters communicated with those charged with governance: first those that required significant auditor attention, then those of most significance in the current period's audit. They add transparency; they are never a substitute for disclosures, a modified opinion or going concern reporting, and never a separate opinion.

FORMATS AND FORMULAS

The Key Audit Matters section

Reproduce from memory (SM 8.27, 8.53–8.54).

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

[Description of each key audit matter in accordance with SA 701.]

Each key audit matter goes under an appropriate subheading of its own (SM 8.53).

When there are none (SM 8.54):

Key Audit Matters

[Except for the matter described in the Basis for Qualified (Adverse) Opinion section or Material Uncertainty Related to Going Concern section,] We have determined that there are no [other] key audit matters to communicate in our report.

ANSWER FRAME

"Explain how the auditor determines key audit matters"

1. The definition, in ICAI's words, with "selected from matters communicated with those charged with governance".
2. Cut 1: "required significant auditor attention", with the three considerations (a), (b), (c).
3. Cut 2: "of most significance in the audit of the financial statements of the current period".
4. For "how communicated": separate section, heading "Key Audit Matters", a subheading for each, the two introductory statements.

"Distinguish between a key audit matter and an Emphasis of Matter paragraph"

Point

What it is

Key audit matter (SA 701)

A matter of most significance in the audit of the current period

Emphasis of Matter (SA 706)

A matter presented or disclosed in the statements, fundamental to users' understanding

Point

Where it comes from

Key audit matter (SA 701)

Matters communicated with those charged with governance

Emphasis of Matter (SA 706)

The statements' presentation or disclosures

Point

When included

Key audit matter (SA 701)

Listed entities; or law, or the auditor decides

Emphasis of Matter (SA 706)

When the auditor considers it necessary, no modification is required for it, and it is not a key audit matter

Point

Effect on opinion

Key audit matter (SA 701)

None; no separate opinion

Emphasis of Matter (SA 706)

Opinion not modified in respect of it

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the KAM that tried to be a qualification**
   Fix: a KAM is not a substitute for a modified opinion required by SA 705. Qualify, describe the matter in the Basis for Qualified Opinion section, and let the KAM section except it ("Except for the matter described in the Basis for Qualified Opinion section...") (SM 8.54).

2. **A Key Audit Matters section in a disclaimer**
   Fix: when the auditor disclaims an opinion, the report shall not include a Key Audit Matters section, unless law or regulation requires it (SM 8.47).

3. **Stopping at the first cut**
   Fix: those are only the matters that required significant attention; KAMs are the ones **of most significance** in the current period's audit (SM 8.53).

4. **"KAMs are only for listed companies"**
   Fix: listed entities must; law or regulation may require them for others; and the auditor may decide to communicate them, for example for banks, insurance companies, pension funds or charitable institutions (SM 8.14).

RECAP

- Key audit matters: matters that, in the auditor's professional judgment, were of most significance in the audit of the current period, selected from matters communicated with those charged with governance.
- Purpose: enhance the communicative value of the report through greater transparency about the audit performed.
- Objectives: determine key audit matters and, having formed an opinion, communicate them by describing them in the report.
- Applies to listed entities; also where law requires or the auditor decides; no KAM section with a disclaimer unless law requires.
- Cut 1, significant attention: higher or significant risks; significant judgments and high-uncertainty estimates; significant events or transactions. Cut 2: of most significance.
- Separate "Key Audit Matters" section, a subheading for each, two introductory statements; no separate opinion.
- Not a substitute for disclosures, a modified opinion or SA 570 reporting; not a separate opinion. Tell those charged with governance the KAMs, or that there are none. (Mentioning the storm never makes a wrong-city landing safe.)

Interactive version: PassBook app, lesson SA 701: key audit matters

8.3 SA 705: qualified, adverse and disclaimer of opinion

Key idea

Two things decide the modified opinion: the nature of the matter (misstatement, or no evidence) and whether its effects are pervasive. A disclaimer is not "the worst accounts": it is the opinion for pervasive missing evidence.

FORMATS AND FORMULAS

The modified report, section by section

Reproduce this table from memory: each heading and each change carries marks.

Element

Opinion heading

Qualified

Qualified Opinion

Adverse

Adverse Opinion

Disclaimer

Disclaimer of Opinion

Element

Basis heading

Qualified

Basis for Qualified Opinion

Adverse

Basis for Adverse Opinion

Disclaimer

Basis for Disclaimer of Opinion

Element

Statement that the evidence is sufficient and appropriate

Qualified

Kept, "qualified" added

Adverse

Kept, "adverse" added

Disclaimer

Left out

Element

Reference to where the auditor's responsibilities are described

Qualified

Kept

Adverse

Kept

Disclaimer

Left out

Element
Auditor's responsibilities section
Qualified
As in SA 700
Adverse
As in SA 700
Disclaimer
Three statements only

Element
Key Audit Matters section
Qualified
Where SA 701 applies
Adverse
Where SA 701 applies
Disclaimer
None, unless law requires

Opinion wording (fair presentation framework):

- **Qualified**: except for the effects of the matter(s) described in the Basis for Qualified Opinion section, the financial statements give a true and fair view; for missing evidence, "except for the **possible** effects".
- **Adverse**: because of the significance of the matter(s) described in the Basis for Adverse Opinion section, the financial statements do not give a true and fair view.
- **Disclaimer**: the auditor (a) does not express an opinion; (b) because of the significance of the matter(s) described in the Basis for Disclaimer of Opinion section, has not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion; and (c) **was engaged to audit** the

financial statements (amending SA 700's "have audited").

The Basis section must contain (SM 8.45–8.46):

- Misstated amounts: a **description and quantification** of the financial effects, unless impracticable (and if so, a statement saying so).
- Misstated narrative disclosures: how they are misstated.
- A required disclosure omitted: discuss it with those charged with governance; describe the omitted information; unless law prohibits it, include the disclosure where practicable and supported by sufficient appropriate audit evidence.
- Missing evidence: the **reasons** for the inability.
- Even with an adverse opinion or a disclaimer: any other matters that would have required a modification, and their effects.

A disclaimer's responsibilities section keeps only (a) the responsibility to conduct an audit in accordance with Standards on Auditing and issue a report; (b) that, because of the matter(s) described, sufficient appropriate audit evidence for an opinion could not be obtained; (c) the independence and ethics statement (SM 8.46).

ANSWER FRAME

A case question: provision, facts, analysis,

conclusion

1. **Relevant provision**: "As per SA 705, ..." in the Standard's words, only the parts the case needs.
2. **Facts of the case**: "In the given case, ..." the facts that decide it, with their figures.
3. **Analysis**: misstatement or missing evidence? Material? Pervasive, and why?
4. **Conclusion**: "Hence, the auditor should express a ... opinion", then whatever else is asked (headings, wording, the Basis section, communication).

"Distinguish between a qualified and an adverse opinion"

Point	Qualified opinion	Adverse opinion
When	Misstatements material, not pervasive; or evidence missing and possible effects material, not pervasive	Misstatements both material and pervasive
Evidence	Obtained, or not obtained	Obtained
Wording	"Except for the effects (possible effects) ... give a true and fair view"	"Because of the significance of ... do not give a true and fair view"
Headings	Qualified Opinion; Basis for Qualified Opinion	Adverse Opinion; Basis for Adverse Opinion

Three answers to the samosa-factory case

Loses marks

"Disclaimer of opinion, because Kesar did not co-operate."

Right conclusion; no provision, no reasoning, no steps, no report changes.

Passes

"As per SA 705, when sufficient appropriate audit evidence cannot be obtained and the possible effects could be material and pervasive, the auditor disclaims. The factory and the cold-chain division are 61% of assets, so: disclaimer."

Provision and facts, but no limitation steps and no report changes.

Full marks

The steps in order (request, those charged with governance, alternative procedures, withdraw or disclaim), the facts applied to "material and pervasive", the conclusion, then each change to the report.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the disclaimer for accounts that are merely terrible**
   Fix: a misstatement with evidence, material and pervasive, is **adverse**. A disclaimer is for evidence that could not be obtained.

2. **The "except for" that excepted everything**
   Fix: "except for" works only if the rest can still be relied on; pervasive effects need an adverse opinion or a disclaimer.

3. **Hiding the problem in a key audit matter or an Emphasis of Matter paragraph**
   Fix: neither replaces a modified opinion the circumstances require (SM 8.50, 8.54).

4. **Jumping straight to the disclaimer**
   Fix: write SA 705's steps first (request removal, those charged with governance, alternative procedures, withdrawal); they carry most of the marks.

RECAP

- Modify when the financial statements as a whole are not free from material misstatement, or when sufficient appropriate audit evidence cannot be obtained to conclude that they are.

- Objective: to express clearly an appropriately modified opinion.
- Material, not pervasive: **qualified** ("except for the effects", or "possible effects" when evidence is missing).
- Misstatement, material and pervasive: **adverse**. Missing evidence, possible effects material and pervasive: **disclaimer** (also multiple uncertainties, extremely rarely).
- Pervasive: not confined to specific items; if confined, a substantial proportion; or disclosures fundamental to users.
- Limitation after acceptance: request removal, tell those charged with governance, try alternatives; then qualify, or withdraw if practicable, else disclaim.
- Disclaimer: "engaged to audit"; reasons in the Basis section; no sufficiency statement, no responsibilities reference, no key audit matters unless law requires.
- Tell those charged with governance the circumstances and wording first. (The mechanic kept out of the bonnet never calls the engine bad.)

Interactive version: PassBook app, lesson SA 705: qualified, adverse and disclaimer of opinion

8.4 SA 706: emphasis of matter and other matter paragraphs

Key idea

Emphasis of Matter: "look at this, it is already in the financial statements, and it is fundamental". Other Matter: "here is something outside the financial statements about the audit, our responsibilities or this report". Neither modifies the opinion, and an Emphasis of Matter is never a substitute for a modified opinion, a missing disclosure or the going concern section.

FORMATS AND FORMULAS

The two drafts, word for word

Reproduce these from memory: the heading, the reference to the note and the last sentence each carry marks.

Emphasis of Matter (ICAI's draft in the Study Material, SM 8.50):

> **Emphasis of Matter – [what the matter is]**
>
> We draw attention to Note [X] of the financial statements, which describes [the matter]. Our opinion is not modified in respect of this matter.

Other Matter (ICAI's illustrative company report, for branches audited by branch auditors, SM 8.30):

> **Other Matter**
>
> We did not audit the financial statements/information of [number] branches included in the standalone financial statements of the Company whose financial statements/financial information reflect total assets of ₹[...] as at 31st March 20XX and the total revenue of ₹[...] for the year ended on that date, as considered in the standalone financial statements/information of these branches have been audited by the branch auditors whose reports have been furnished to us, and our opinion in so far as it relates to the amounts and disclosures included in respect of branches, is based solely on the report of such branch auditors.
>
> Our opinion is not modified in respect of these matters.

The Other Matter text is as printed in the Study Material. In ICAI's illustration it sits after the Auditor's Responsibilities section and before "Report on Other Legal and Regulatory Requirements" (SM 8.30–8.31); the branch side of it is in branch audit and joint audit.

Emphasis of Matter or Other Matter: the side-by-side

Point

Refers to

Emphasis of Matter

A matter presented or disclosed in the financial statements

Other Matter

A matter other than those presented or disclosed

Point

Test

Emphasis of Matter

Fundamental to users' understanding of the financial statements

Other Matter

Relevant to users' understanding of the audit, the auditor's responsibilities or the report

Point

Provided

Emphasis of Matter

No SA 705 modification is required for it; not a key audit matter

Other Matter

Not prohibited by law or regulation; not a key audit matter

Point

Heading

Emphasis of Matter

Includes the term "Emphasis of Matter"

Other Matter

"Other Matter", or other appropriate heading

Point	Content
Emphasis of Matter	Clear reference to the matter and to the note; only information in the financial statements; opinion not modified
Other Matter	The matter, in a separate section

("Not a key audit matter" applies when SA 701 applies.)

ANSWER FRAME

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 706 (Revised), ..." the definition or the "provided" conditions, whichever the case turns on.
2. **Facts of the case**: what is disclosed, where (which note), and whether any modification is needed.
3. **Analysis**: inside the statements (Emphasis of Matter) or outside (Other Matter)? A key audit matter? A modification, a missing disclosure or going concern in disguise?
4. **Conclusion**: name the paragraph; draft it in ICAI's format; add the communication with those charged with governance.

"Distinguish between a key audit matter and an Emphasis of Matter"

Use the table in SA 701; add one line that carries marks: a matter determined to be a key audit matter is not also given an Emphasis of Matter paragraph (SM 8.49).

Three answers to "Define an Emphasis of Matter paragraph and state how it is presented"

Loses marks

"A paragraph to highlight important things in the report."

No definition, no "fundamental", no requirements.

Passes

The definition in ICAI's words, and "a separate section, heading Emphasis of Matter".

Two of the three requirements missing.

Full marks

The definition; the three requirements in order (separate section and heading; clear reference, only information in the statements; opinion not modified); the two provisos if the question is a case.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the Emphasis of Matter that tried to be a qualification**

   Fix: an Emphasis of Matter is included only if no modification is required, and it is not a substitute for one (SM 8.49–8.50). Modify under SA 705.

2. **The paragraph that told users something the notes do not**

   Fix: the Emphasis of Matter paragraph shall refer only to information presented or disclosed in the financial statements (SM 8.49).

3. **Going concern dressed up as Emphasis of Matter**

   Fix: an adequately disclosed material uncertainty goes in the separate "Material Uncertainty Related to Going Concern" section; an Emphasis of Matter is not a substitute for SA 570 reporting (SM 7.22, 8.50).

4. **Mixing up the two**

   Fix: ask one question: is the matter presented or disclosed in the financial statements? Yes: Emphasis of Matter. No: Other Matter.

RECAP

- Emphasis of Matter: refers to a matter **appropriately presented or disclosed** in the financial statements that is **fundamental to users' understanding**.
- Included provided no SA 705 modification is required for it and, when SA 701 applies, it is not a key audit matter.
- Written in a separate section headed with "Emphasis of Matter"; clear reference to the matter and the note; only information in the statements; "our opinion is not modified".
- Examples: exceptional litigation or regulatory action; significant event after the date of the financial statements and before the report; early application of a new standard; major catastrophe.
- Not a substitute for a modified opinion, required disclosures, or SA 570's going concern section.
- Other Matter: a matter **not** presented or disclosed, relevant to understanding the audit, the auditor's responsibilities or the report; provided law does not prohibit it and it is not a key audit matter; heading "Other Matter".
- Tell those charged with governance the expectation and the wording first. (The bowler stays fit to play.)

Interactive version: PassBook app, lesson SA 706: emphasis of matter and other matter paragraphs

8.5 SA 710: comparative information

Key idea

Corresponding figures: the opinion refers to the current period only, and mentions the corresponding figures only in the exceptions SA 710 lists. Comparative financial statements: the opinion refers to each period presented. Either way, the auditor audits the comparison.

FORMATS AND FORMULAS

When the report mentions last year: the master table

Reproduce this table from memory: the situation, the reporting and the paragraph carry the marks.

Situation
Normal case

Corresponding figures
Opinion silent on them

Comparative financial statements
Opinion on each period

Situation
Prior opinion modified, matter unresolved

Corresponding figures
Modify current opinion; refer to both, or to comparability

Comparative financial statements
No separate rule in the Study Material (see Under the hood)

Situation
Prior misstatement, prior opinion unmodified
Corresponding figures
Not dealt with: qualified or adverse, on corresponding figures
Comparative financial statements
(Predecessor's report) communicate; predecessor informed; amended and reissued: report on current period only

Situation
Prior period not audited
Corresponding figures
Other Matter: corresponding figures unaudited
Comparative financial statements
Other Matter: comparative statements unaudited

Situation
Predecessor audited prior period
Corresponding figures
Other Matter, if law permits and the auditor decides to refer
Comparative financial statements
Other Matter, unless the predecessor's report is revised

Situation
Auditor's new opinion on prior period differs
Corresponding figures
Not applicable
Comparative financial statements
Other Matter: substantive reasons

Both Other Matter paragraphs about a predecessor contain the same three things, in this order: **(a)** the prior period was audited by a predecessor auditor; **(b)** the type of opinion expressed and, if modified, the reasons; **(c)** the date of that report.

The Basis for Modification: two ways to write it

Effect on current figures	Basis for Modification paragraph
Material	Refers to both the current and the corresponding figures
Other cases	Explains the modification is due to the effect on comparability

ANSWER FRAME

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 710, ..." name the approach, then quote the circumstance the case turns on.
2. **Facts of the case**: which approach the entity uses; last year's opinion; who audited last year; what has been found.
3. **Analysis**: is the matter unresolved? Is the effect on the current period's figures material? Which paragraph?
4. **Conclusion**: the opinion, and the content of the Basis for Modification or Other Matter paragraph.

"Distinguish between corresponding figures and comparative financial statements"

Point	Corresponding figures	Comparative financial statements
Nature	Integral part of the current period statements	Included for comparison with the current period statements
Read	Only in relation to the current period figures	As a set comparable with the current period
Level of detail	Dictated by relevance to the current period figures	Comparable with the current period statements
Opinion refers to	Current period only	Each period presented and audited
Prior period unaudited	Other Matter: corresponding figures unaudited	Other Matter: comparative statements unaudited

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "last year's problem is last year's auditor's problem"**
   Fix: an unresolved prior modification requires the current opinion to be modified, with the Basis paragraph referring to both periods or to comparability (SM 8.60).

2. **The Emphasis of Matter for unaudited comparatives**
   Fix: that the prior period was not audited is not disclosed in the statements; it is about the audit. The paragraph is an **Other Matter** paragraph (SM 8.60, 8.62).

3. **"Unaudited" as an excuse**
   Fix: the statement does not relieve the auditor of obtaining sufficient appropriate audit evidence on opening balances (SM 8.60).

4. **One opinion for two years**
   Fix: the opinion refers to each period presented and audited (SM 8.61).

RECAP

- Comparative information: prior period amounts and disclosures included under the applicable framework.

Approach: set by law or regulation, or by the engagement terms.

- Corresponding figures: opinion on the **current period only**. Comparative financial statements: opinion on **each period** presented.
- Procedures: required and classified; agrees with prior period; policies consistent or changes accounted for and disclosed; possible misstatement: extra procedures (and SA 560 if we audited it); representations for all periods, plus prior period items.
- Corresponding figures exceptions: prior modification unresolved (refer to both, or to comparability); prior misstatement not dealt with (qualified or adverse, on the corresponding figures); unaudited (Other Matter); predecessor referred to (Other Matter).
- Predecessor Other Matter contents: predecessor audited; type of opinion (reasons if modified); date of the report.
- Comparative statements: a different opinion on the prior period: Other Matter with the substantive reasons; predecessor's missed misstatement: tell management and TCWG, ask that the predecessor be told; amended and reissued: report on the current period only.
- "Unaudited" never relieves the opening-balance work. (Today's commentary still checks last match's score.)

8.6 Company auditor's reporting under the Companies Act, 2013

Key idea

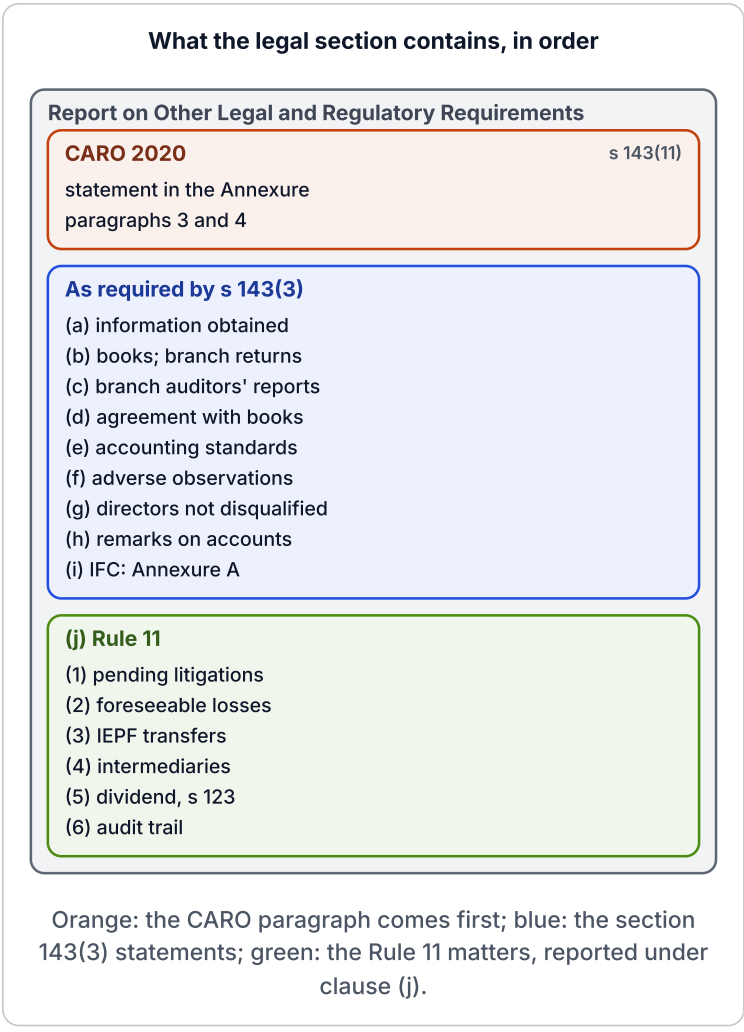
A company's auditor inquires into some matters and speaks only if the answer is adverse; states others every year, with reasons for every negative or qualified answer; and reports frauds by officers or employees outside the report, to the Central Government or to the audit committee or board depending on the amount.

FORMATS AND FORMULAS

The "Report on Other Legal and Regulatory Requirements"

ICAI's illustrative report on a listed company (SM 8.31–8.33) puts the Companies Act reporting under its own

heading, after the Report on the Audit of the Financial Statements. Its order:



Orange: the CARO paragraph comes first; blue: the section 143(3) statements; green: the Rule 11 matters, reported under clause (j).

Reproduce this wording from memory. The clean-report wording (SM 8.31–8.33):

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the Annexure a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143(3) of the Act, we report that:
    - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
    - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books [and proper returns adequate for the purposes of our audit have been received from the branches not visited by us].
    - (c) [The reports on the accounts of the branch offices of the Company audited under Section 143(8) of the Act by branch auditors have been sent to us and have been properly dealt with by us in preparing this report.]
    - (d) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of

account [and with the returns received from the branches not visited by us].

- (e) In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
- (f) We do not have any observation or comment on the financial statements or matters which have any adverse effect on the functioning of the company.
- (g) On the basis of the written representations received from the directors as on 31st March, 20XX taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 20XX from being appointed as a director in terms of Section 164(2) of the Act.
- (h) We do not have any qualification, reservation or adverse remark relating to the maintenance of accounts and other matters connected herewith.
- (i) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A".
- (j) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

- (1) The Company has disclosed the impact of pending litigations on its financial position in its financial statements – Refer Note XX to the financial statements;
- (2) The Company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Note XX to the financial statements;
- (3) There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.
- (4) (i) and (ii) The management's representations on Intermediaries and on Funding Parties, worded as in Rule 11(d) above but beginning "The management has represented that ..."; (iii) Based on such audit procedures that we have considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) contain any material mis-statement.
- (5) The dividend declared or paid during the year by the company is in compliance with section 123 of the Companies Act, 2013.
- (6) The company has used such accounting software for maintaining its books of account

> which has a feature of recording audit trail (edit log) facility and the same has been operated throughout the year for all transactions recorded in the software and the audit trail feature has not been tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention.

Square brackets mark "where applicable" wording. ICAI also gives alternative versions, as may be applicable: the Company does not have any pending litigations which would impact its financial position; did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses; "following are the instances of delay in transferring amounts ..." to the Fund; or there were no amounts required to be transferred to the Fund (SM 8.32).

ANSWER FRAME

"State the matters the auditor must inquire into under section 143(1)"

Write the six matters (a) to (f) in the Act's words and order, then the reporting rule: no report unless special comments; no statement of satisfaction; report to the members when an answer is adverse.

A case question on section 143

1. **Relevant provision**: the sub-section in the Act's words (143(1), 143(3) with Rule 11, or 143(12)).

2. **Facts of the case**: the facts that decide it, with amounts and dates.
3. **Analysis**: adverse answer or not; above or below ₹1 crore, individually; negative answer needing reasons.
4. **Conclusion**: what the report states, or to whom the fraud is reported, plus the CARO clause if asked.

"Distinguish section 143(1) from section 143(3)"

Point	Section 143(1)	Section 143(3)
Duty	Inquire into six matters	State matters (a) to (j)
Reporting	Only special comments, when an answer is adverse	Every year, favourable or not
Satisfaction	No duty to say "satisfied"	A statement on each matter
Examples	Personal expenses; loans shown as deposits	Proper books; directors; IFC; Rule 11

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the six "we are satisfied" sentences**
   Fix: inquire into all six; report only the adverse ones, as special comments. Saying "satisfied" is not required.

2. **The two small frauds that became one big one**
   Fix: the ₹1 crore test is applied individually, to each offence; and an amount the fraud is *expected* to reach counts.

3. **Putting CARO clauses in section 143(3)**
   Fix: those are CARO 2020 clauses (xiv) and (vii). Rule 11 has six matters only: litigations, foreseeable losses, IEPF, intermediaries, dividend, audit trail.

4. **Reporting the internal financial controls of every company**
   Fix: section 143(3)(i) does not apply to the exempt private companies (One Person Company, small company, or turnover below ₹50 crore with borrowings below ₹25 crore).

RECAP

- Section 143(1): inquire into six matters (secured loans, book entries, securities sold below cost, loans shown

as deposits, personal expenses, shares allotted for cash); report only special comments.

- Section 143(2): report to the members whether the financial statements give a true and fair view of the state of affairs, profit or loss and cash flow.
- Section 143(3): (a) information, (b) books and branch returns, (c) branch reports, (d) agreement with books, (e) accounting standards, (f) adverse effects, (g) directors under 164(2), (h) remarks on accounts, (i) IFC, (j) Rule 11.
- Rule 11: pending litigations, foreseeable losses, IEPF delay, intermediaries representations, dividend under section 123, audit trail.
- Section 143(4): reasons for every negative or qualified answer; 143(9): comply with auditing standards; 143(11): CARO 2020.
- Section 143(12): fraud by officers or employees, ₹1 crore or above individually (or expected), to the Central Government; less, to the audit committee or Board; also CARO clause (xi).
- In the report: a separate "Report on Other Legal and Regulatory Requirements": CARO annexure, then 143(3) (a) to (j). (The bus inspector calls the authorities, not just the newspaper.)

8.7 CARO 2020

Key idea

CARO is a fixed checklist, not an opinion: the auditor of every company it covers states each applicable matter, gives the basis for every unfavourable or qualified answer, and says why when no opinion can be given on a matter.

FORMATS AND FORMULAS

Reproduce these column headings in order: clauses (i)(c) and (ix)(a) prescribe them (SM 8.76, 8.79).

Clause (i)(c): title deeds not held in the company's name

Column	What it gives
1	Description of property
2	Gross carrying value
3	Held in name of
4	Whether promoter, director or their relative or employee
5	Period held (indicate range, where appropriate)
6	Reason for not being held in name of company (also indicate if in dispute)

Clause (ix)(a): default in repayment of borrowings

Column	What it gives
1	Nature of borrowing, including debt securities
2	Name of lender (lender-wise details for defaults to banks, financial institutions and Government)
3	Amount not paid on due date
4	Whether principal or interest
5	No. of days delay or unpaid
6	Remarks, if any

ANSWER FRAME

"Which companies are exempt from CARO 2020?"

Open with "CARO 2020 shall apply to every company including a foreign company as defined in section 2(42), except", then the five classes in ICAI's order, writing class (v) with all its conditions.

A case on one clause

1. **Relevant provision**: "As per clause (...) of paragraph 3 of CARO 2020, the auditor is required to report whether ...", in the clause's words.
2. **Facts of the case**: the facts with their amounts, dates and thresholds (10%, ₹5 crore, ninety days, six months).
3. **Analysis**: which sub-clause each fact falls under, and whether the answer is unfavourable.

4. **Conclusion**: what the report should state, with paragraph 4's basis for an unfavourable answer.

An applicability numerical

State the exemption; compute each limit with working (capital plus reserves at the balance sheet date; highest bank or FI borrowing during the year; revenue including discontinuing operations); check the holding or subsidiary condition; conclude for each company.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the foreign company Bunty exempted**
   Fix: the Order applies to every company including a foreign company as defined in section 2(42); only the five listed classes are exempt.

2. **Testing borrowings at the year end**
   Fix: the borrowing limit is tested at any point of time during the financial year; capital and reserves are tested at the balance sheet date; revenue for the year includes discontinuing operations.

3. **Calling a letter a dispute**
   Fix: a mere representation to the concerned Department is not a dispute; the due is undisputed and goes under (vii)(a).

4. **Applying all of CARO to consolidated statements**
   Fix: the Order does not apply to the report on consolidated financial statements, except clause (xxi).

RECAP

- CARO 2020: issued under section 143(11) after consulting NFRA; for financial years commencing on or after 1 April 2019; paragraphs 3 and 4 in the auditor's report, in the Annexure.
- Applies to every company including a foreign company, except banking, insurance, section 8, One Person and small companies, and private limited companies (not holding or subsidiary of a public company) with capital plus reserves ≤ ₹1 crore, bank or FI borrowings ≤ ₹1 crore at all times, and revenue ≤ ₹10 crore including discontinuing operations.
- Not for consolidated financial statements, except clause (xxi).
- Thresholds: revaluation change 10% per class; inventory discrepancies 10% per class; working capital limits above ₹5 crore; loans overdue above ninety days; dues unpaid above six months; Nidhi 1:20

and 10%; liabilities within one year; CSR within six months.

- Clause (vii): undisputed dues under (a) with six-month arrears; disputed dues under (b) with amount and forum; a representation is not a dispute.
- Clause (xi): frauds by or on the company, the ADT-4 filing, whistle-blower complaints.
- Paragraph 4: the basis for every unfavourable or qualified answer; reasons when no opinion can be given. (The doctor still writes "could not test".)

8.8 Branch audit and joint audit

Key idea

Branch audit: the branch auditor's report goes to the company's auditor, who deals with it as he considers necessary, after SA 600 procedures show the work is adequate. Joint audit: each firm answers alone for its allotted work and all jointly and severally for the shared list; a firm that disagrees issues a separate report, and the reports refer to each other.

FORMATS AND FORMULAS

Branches in the words of the company's report

ICAI's illustrative report (SM 8.26–8.31); reproduce the bracketed branch wording from memory.

Part of the report	Branch wording (ICAI illustration)
Opinion paragraph	"...notes to the financial statements, including a summary of significant accounting policies and other explanatory information [in which are included the Returns for the year ended on that date audited by the branch auditors of the Company's branches located at (location of branches)]"

Part of the report	Branch wording (ICAI illustration)
Other Matter	"We did not audit the financial statements/information of ... (number) branches ...", with their total assets and total revenue, ending "Our opinion is not modified in respect of these matters." (full text in SA 706)
Section 143(3)(b)	"...proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books [and proper returns adequate for the purposes of our audit have been received from the branches not visited by us]"
Section 143(3)(c)	"[The reports on the accounts of the branch offices of the Company audited under Section 143(8) of the Act by branch auditors have been sent to us and have been properly dealt with by us in preparing this report.]"
Section 143(3)(d)	"...in agreement with the books of account [and with the returns received from the branches not visited by us]"

ANSWER FRAME

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: section 143(8) and rule 12 for "who audits and to whom"; SA 600 for "what may the principal auditor do"; SA 299 (Revised) for "who is responsible" and "what about the report".

2. **Facts of the case**: where the branch is (India or outside); who was appointed and how; which areas were allotted to whom; what the firms disagree on.
3. **Analysis**: apply the provision line by line.
4. **Conclusion**: eligible or not; report to the company's auditor; responsibility alone or joint and several; one report or separate reports referring to each other.

"Distinguish between a branch auditor and a joint auditor"

Point	Branch auditor	Joint auditor
Appointed for	The accounts of a branch office	The audit of the entity as a whole, with other auditors
Reports to	The company's auditor	The members, in a common report
Responsibility	For the branch report; the company's auditor uses it under SA 600	Allotted work alone; listed matters jointly and severally
Governing rule	Section 143(8), rule 12, SA 600	Section 139(3), SA 299 (Revised)

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the majority verdict**
   Fix: where joint auditors disagree on the opinion or any matter in the report, each expresses its opinion in a separate report, and the reports refer to each other (SM 8.68).

2. **"Anyone can audit a foreign branch"**
   Fix: outside India, only the company's auditor, an accountant, or a person duly qualified under that country's laws (SM 8.63).

3. **The branch report that went to the board**
   Fix: the branch auditor sends the report to the company's auditor (section 143(8), rule 12), who deals with it in his report as he considers necessary (SM 8.63).

4. **Relying without checking, or checking without relying**
   Fix: the principal auditor is normally entitled to rely, but should perform procedures to obtain sufficient appropriate audit evidence that the work is adequate for his purposes (SM 8.64).

RECAP

- Section 128: books at the registered office include the branches'; a branch keeping proper books and sending

proper summarised returns periodically is deemed compliance.

- Section 143(8): branch in India: company's auditor or a person qualified to be the company's auditor and appointed under section 139; outside India: company's auditor, an accountant, or a person duly qualified under that country's laws.
- The branch auditor reports to the company's auditor, who deals with it as he considers necessary; rule 12: fraud reporting extends to the branch auditor for the branch.
- Section 143(3)(b), (c), (d): returns from branches not visited; branch reports received and how dealt with; agreement with books and returns.
- SA 600: normally entitled to rely, but procedures to be satisfied the work is adequate; ordinarily (a) advise the use and co-ordinate, (b) advise requirements and obtain representation; discuss, review a summary or visit.
- Joint audit: pooling resources and expertise; nine advantages, six disadvantages; legal foothold in section 139(3).
- SA 299 (Revised): joint planning and strategy; joint audit plan (areas, reporting objectives, significant factors, preliminary results, resources); common engagement and representation letters; signed work allocation communicated to those charged with governance.

- Allocated work: alone. Undivided work, common decisions, agreed matters, statutes, presentation, report: jointly and severally. Disagreement: separate reports referring to each other. (Two caterers, two menu cards, each mentioning the other.)

CHAPTER 9

Special Features of Audit of Different Types of Entities

9.1 Government audit and the C&AG

Key idea

The C&AG audits public money on behalf of Parliament and the State Legislatures. Expenditure audit applies five standards: rules and orders, sanctions, provision of funds, propriety and performance. The first three check that spending was allowed, approved and provided for; propriety and performance catch spending that is perfectly regular and still wasteful or useless.

When is a body "substantially financed"?

∑ **Formula**

Substantially financed (C&AG's duty (iii))

A body or authority is deemed substantially financed by grants or loans from the Consolidated Fund of India, of a State or of a Union Territory having a Legislative Assembly when, **in a financial year**, both hold (SM 9.10):

- the grant or loan is **not less than ₹25 lakh**; and
- the grant or loan is **not less than 75% of the total expenditure** of that body or authority.

Both tests must be met; "not less than" includes exactly ₹25 lakh or 75%.

The five standards, in ICAI's words

Reproduce this table from memory: answers quote the "that ..." clause, then name the audit.

Standard: the auditor ensures	Name of the audit
that the expenditure incurred conforms to the relevant provisions of the statutory enactment and is in accordance with the financial rules and regulations framed by the competent authority	Audit against rules and orders

Standard: the auditor ensures	Name of the audit
that there is sanction, either special or general, accorded by competent authority authorising the expenditure	Audit of sanctions
that there is a provision of funds out of which expenditure can be incurred and the same has been authorised by competent authority	Audit against provision of funds
that the expenditure is incurred with due regard to broad and general principles of financial propriety	Propriety audit
that the programmes, schemes and projects where large financial expenditure has been incurred are being run economically and are yielding results expected of them	Performance audit

ANSWER FRAME

"Identify the type of audit" case

1. **Relevant provision**: the basic standards of expenditure audit, in one sentence.
2. For each observation: **name the audit**, quote its "that ..." clause, apply the fact ("the Deputy Director's limit is ₹10 lakh").
3. **Conclusion**: one line per observation.

"Explain the duties (or powers) of the C&AG"

Start with Article 149 and the 1971 Act; then duties (i) to (vii) as headings with one sentence each (the ₹25 lakh and 75% test under (iii)); then, if asked, powers (a) to (d).

"Distinguish propriety audit and performance audit"

Point	Propriety audit	Performance audit
Question asked	Was the expenditure wise, faithful and economical?	Is the programme run economically and yielding the results expected?
Typical subject	A transaction or item of expenditure	Programmes, schemes, projects with large financial expenditure
What it brings out	Improper, avoidable or ineffective expenditure, even when regular	Efficiency, economy and effectiveness
Study Material example	Building for a telephone exchange not used for it	Metro station sited where ridership is low (case study)

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the report that went to the Prime Minister**
   Fix: Article 151: reports go to the **President** (Union) or **Governor** (State), who has them laid before the legislature. Article 150: the **President** prescribes the form, on the C&AG's advice.

2. **Sanction or funds? Mixing up the two**
   Fix: no sanction by a competent authority, or a sanction beyond the officer's delegated powers: **audit of sanctions**. Spent on a purpose other than the grant's, or beyond the appropriation: **audit against provision of funds**.

3. **Calling every waste "performance audit"**
   Fix: an avoidable or unproductive item of expenditure, regular but unwise (the locked museum, the unused building), is **propriety audit**. Whether a programme, scheme or project with large expenditure is economical and achieving its expected results is **performance audit**.

4. **"The C&AG audits government companies himself, and the board must answer him"**
   Fix: the auditor the C&AG appoints and directs does the statutory audit; the C&AG may conduct a supplementary audit (within 60 days of receiving the report) or a test audit, and comment. The board explains the **auditor's** reservations under section 134(3), not the C&AG's comments.

RECAP

- The C&AG, appointed by the President and removable only like a Supreme Court Judge (two-thirds of members present and voting in each House), audits on behalf of Parliament and the State Legislatures.
- Article 149: duties and powers by law of Parliament (the 1971 Act). Article 150: form of accounts by the President on the C&AG's advice. Article 151: reports to the President or Governor, laid before the legislature.
- Duties, in order: compile accounts, general audit (Consolidated Fund expenditure, Contingency Funds, Public Accounts, departmental trading accounts), bodies substantially financed (grant ≥ ₹25 lakh **and** ≥ 75% of expenditure), specific-purpose grants, receipts, stores, government companies.
- Expenditure audit, in order: rules and orders, sanctions, provision of funds, propriety, performance.
- Propriety: improper, avoidable or ineffective expenditure even when regular; performance:

efficiency, economy and effectiveness of large programmes.

- Receipts audit looks at the general more than the particular; its extent is fixed by the C&AG and is not negotiable.
- Government companies: the C&AG appoints and directs the auditor, may do a supplementary audit and comment within 60 days, and may order a test audit; comments go to members and the AGM; the board need not reply to them.
- Reports are factual; conclusions are left to the reader, recommendations to the PAC. (Nani reads the bills out; the council decides.)

9.2 Audit of local bodies

Key idea

A municipal council combines legislative and executive powers, so external audit by the State government is the only instrument of controlling municipal expenditure. The audit reports on fair accounts, financial controls, compliance, value for money, and detects and prevents error, fraud and misuse of resources.

ANSWER FRAME

"State the objectives (or reporting areas) of the audit of a local body"

1. Opening sentence: external control of municipal expenditure is exercised by the State governments through the appointment of auditors; Delhi, Mumbai and a few others appoint their own.
2. Objectives (a) to (e), in ICAI's words and order.
3. For a case: one line applying each objective to a fact.

"Draft the audit programme for a local body"

The six steps in order: appointment, auditor's concerns, rules and regulations, authorisations, provisioning, performance; one sentence each, in the Study Material's words.

"Explain the types of revenue grants"

The opening line ("local bodies may receive different types of grants from the state administration"), then general purpose, specific purpose, statutory and compensatory, each with its one-line purpose.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the Centre audits the town**
   Fix: external control of municipal expenditure is exercised by the **State governments**, generally through the Local Fund Audit Wing; Delhi, Mumbai and a few other corporations appoint their own auditors.

2. **Four objectives instead of five**
   Fix: the fifth, **detection and prevention of error, fraud and misuse of resources**, is the one the audit programme calls "his objective"; write all five.

3. **Compensatory grant or general grant?**
   Fix: a grant that makes good the revenue lost because the State took over a tax is a **statutory and compensatory grant**; a general purpose grant bridges the gap between needs and resources.

4. **Ignoring the missing internal audit**
   Fix: where a small or poorly staffed municipality has no internal audit, the external auditor cannot rely on one and has to do **detailed checking** himself (SM 9.26).

RECAP

- A municipality is a unit of local self-government in an urban area: representing local inhabitants, fairly autonomous, raising part of its revenue by local taxation, spending on local services.
- Five urban local authorities: municipal corporations, municipal councils, notified area committees, town area committees, cantonment committees. Functions: regulatory, maintenance, development.
- Expenditure heads: general administration and revenue collection, public health, public safety, education, public works, others (interest).
- Property taxes and octroi are the major revenues. Revenue grants: general purpose, specific purpose, statutory and compensatory.
- No strict revenue-capital separation ("extraordinary items"); a council combines legislative and executive powers, so external audit by the State is the only instrument of controlling expenditure.
- Auditors are appointed by the State (Local Fund Audit Wing); Delhi, Mumbai and a few others appoint their own.

- Objectives: fairness of financial statements, financial control systems, adherence to legal and administrative requirements, value for money, error, fraud and misuse. Ultra vires acts can lead to surcharge; no internal audit means detailed checking.
- Programme: appointment, concerns, rules and regulations, authorisations, provisioning, performance. (The fountain still does not dance; now it is in the report.)

9.3 Not-for-profit organisations, trusts and societies

Key idea

In an NGO, trust or society, the auditor's anchor is the constitution and the donor's terms: verify that all receipts (including box collections and foreign contributions) are recorded and banked, that restricted money (corpus, revolving and earmarked funds, specific grants) is used only as directed, that no trustee or committee member benefits, and that the governing laws are complied with.

ANSWER FRAME

A list question ("points while planning", "receipts of income", "audit programme")

1. One opening line from the Study Material ("While planning the audit, the auditor may concentrate on the following").
2. ICAI's points, in ICAI's order, each with its heading in bold.
3. In a case: a closing line applying the points to the facts (the weekly banking, the demand draft).

A trust or society case

Relevant provision (the matters the auditor ascertains) → **facts** → **analysis** (each fact to its point, by letter) →

conclusion (report, and for a public trust any special matter to the Deputy or Assistant Charity Commissioner).

"Distinguish corpus contribution and revolving fund"

Point	Corpus contribution	Revolving fund
Purpose	Capital or corpus of the NGO	Temporary loans to other NGOs or beneficiaries, recovered and lent again
Donor's role	Specifies that it forms part of the corpus	Lays down restrictions, including on interest
Presentation	Capital receipt, liability in the balance sheet	Capital receipt, liability in the balance sheet

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the corpus that became income**
   Fix: promoter's contributions towards corpus or a revolving fund are **capital receipts, shown as liabilities**; vouch them with the donors' letters, which carry the corpus direction.

2. **Ticking the total and forgetting the trustees**
   Fix: the list of matters includes the people: the minimum and maximum number of trustees, a trustee's interest in investments, a trustee as debtor or creditor, and any benefit to a trustee or committee member from grants paid.

3. **"Every NGO must use the accrual basis"**
   Fix: only NGOs registered under the Companies Act, 2013 must (section 128); others may use the accrual or the cash basis.

RECAP

- NGO: a non-profit organisation raising funds from members, donors or contributors, plus donated time and skills, for social objectives. Forms: trust (State Public Trust Act, else Indian Trusts Act, 1882), society (Societies Registration Act, 1860), section 8 company; plus the Income Tax Act and, for foreign money, the FCRA, 2010.

- Only NGOs registered under the Companies Act must use the accrual basis (others may use accrual or cash).
- Promoter's contributions (corpus, revolving fund) are capital receipts shown as liabilities; corpus needs the donor's direction; revolving-fund interest follows the contributor's restrictions or the NGO's rules.
- Auditors: appointed by management (trust, society) or members (section 8 company); FCRA report to the Ministry of Home Affairs within 60 days of year-end.
- Planning: ten points (knowledge, statutes, legal form, organisation and manuals, minutes, systems, materiality, reports, experts, previous report). Programme: every asset, liability, income and expenditure in sequence.
- Receipts: grant agreements; foreign contributions in the FCRA account; fund-raising collections counted and banked daily; fees and subscriptions to registers.
- Charitable institutions: constitution, receipt books, box collections, legacies, grants, investment income, rent, special functions, tax refunds, and grants paid only for the objects, with no benefit to trustees.
- Trusts: proper books; matters (a) to (r), including trustees' numbers, interests and debts, anonymous and cash donations, and special matters for the Charity Commissioner. Societies: governing law, objects, FCRA and tax registration, Registrar's inquiry, misconduct of the governing body. (Every envelope in the uncle's register.)

9.4 Educational institutions, hotels, clubs and hospitals

Key idea

In educational institutions, hospitals, clubs and hotels the auditor first reads the constitution and the minutes, then matches the record of who should pay (class register, patients' attendance record, register of members, guest register) with the record of who paid, checks every concession and every large expense against the authority allowed to sanction it, and controls inventories that are easy to carry off.

FORMATS AND FORMULAS

Working layouts for the Study Material's steps, not ICAI pro-formas: in the exam show the working and name the step it serves.

Reconciling subscriptions (clubs, hospitals)

Reproduce the order: due, collected, outstanding, compared with the register.

Particulars	Amount (₹)
Subscriptions due for the year (members on roll × rate, by category)	xxx
Less: collected for the year (cash received less arrears of earlier years and advances for next year)	(xxx)
Outstanding per the books	**xxx**
Outstanding per the Register of Members	xxx
Difference to be explained	**xxx**

Testing gross margin (hotels, clubs)

∑ **Formula**

Expected sales at the normal rate of gross profit

$$\text{Expected sales} = \frac{\text{Cost of goods consumed}}{1 - \text{normal GP ratio}}$$

Cost of goods consumed = opening stock + purchases − closing stock of the sales point; normal GP ratio = the gross profit ÷ sales the entity normally earns at that point. Shortfall = expected sales − recorded sales.

Occupancy-in-progress (hotels)

∑ **Formula**

Revenue earned but not yet billed at the balance sheet date

$$\text{Occupancy-in-progress} = \sum \text{rooms} \times \text{unbilled nights} \times \text{tariff}$$

Unbilled nights = nights stayed up to and including the night of the balance sheet date and not yet billed; guests billed weekly or at checkout leave such nights at the year end. It is included in the accounts on the accrual basis (SM 9.57, 9.90).

ANSWER FRAME

"State the special steps in the audit of a hospital (club, school, hotel)"

1. One opening line: "The special steps involved in the audit of a ... are the following:".
2. The Study Material's points **under its headings, in its order** (for a school, group them under (A) General to (F) Compliances).
3. For the marks available, give about one point per mark, each with its heading and the record it is checked with.

A case on one of these entities

1. **Relevant provision**: the special step that fits each fact, in the Study Material's words.
2. **Facts of the case**: the facts and figures that decide it.
3. **Analysis**: is the treatment in line with the step, the constitution or the Managing Committee's decision? Quantify the effect if the question gives numbers.
4. **Conclusion**: what the auditor should do (verify, ask for correction, report to the Managing Committee, mention in the audit report, consider qualifying).

Three answers to "verify fees from students" (5 marks)

Loses marks

"Check the fee register and the cash book and see that all fees are received."

One vague point; no class registers, no concessions, no admission fees, no caution money.

Passes

Class Registers vs Fee Register; counterfoils vs Cash Book; concessions authorised.

Three correct points, but four of ICAI's seven are missing.

Full marks

All seven points of (B) in order: demands vs Class Registers, counterfoils vs Cash Book, register totals (advance, arrears), admission fees to Capital fund, concessions, fines, hostel dues before caution money refund.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the caution money that became income**
   Fix: caution money and deposits paid on admission are a liability, not revenue, **unless they are not refundable** (SM 9.45). Check the rules before you transfer a rupee.

2. **Admission fees always go to Capital fund**
   Fix: the auditor confirms the credit to a Capital fund **unless the Managing Committee has taken a decision to the contrary** (SM 9.44). A case that mentions a Committee resolution is testing exactly that exception.

3. **Trusting the margin explanation**
   Fix: where controls are weak the gross margin is the auditor's main evidence; increase the scope of tests and, if a material discrepancy stays unexplained, consider qualifying (SM 9.56).

4. **Mixing up the lists**
   Fix: learn each list with its own headings: the club has the secretary's powers and members' accounts; the hospital has the patients' register, budgets and the management certificate; the school has fees, caution money and separate funds; the hotel has K.O.T.s, room sales and occupancy-in-progress.

RECAP

- Read the constitution first: the Trust Deed or Regulations (an Act of Legislature for a university), bye-laws and the Managing Committee's minutes decide what is allowed.
- School: Fee Register vs Class Registers, counterfoils vs Cash Book, concessions and fines under authority, admission fees to Capital fund unless the Committee decides otherwise.
- School: caution money is a liability unless not refundable; prize endowment income above the prizes is added to the corpus; claim tax refunds; separate statements for each fund.
- Hospital: patients' register vs bills and attendance record, specific-purpose donations applied as agreed, capital expenditure only with prior sanction of the Trustees, budget variations reported, management certificate.

- Club: reconcile subscriptions due, collected and outstanding; adjust arrears and advances; every member's account debited; secretary's excess powers reported; irrecoverable dues mentioned in the report.
- Hotel: pilfering is the big risk; weekly trading accounts per sales point; K.O.T.s; room rates vs standard rate; housekeeper's reports kept; occupancy-in-progress accrued.
- Hotel: an unexplained material margin discrepancy means wider tests and possibly a qualified report. (The bar never drinks its own margin, but somebody does.)

9.5 Sole traders, partnership firms, LLPs and co-operative societies

Key idea

The further from a sole trader, the less the client decides: a proprietor sets the scope (so write it down), a firm's deed governs, the LLP Act and Rules fix an LLP's audit and dates, and the Registrar appoints a co-operative's auditor, who reports to him.

ANSWER FRAME

A case on a co-operative society or LLP

1. **Relevant provision**: the section and its words ("As per section 29 of the Co-operative Societies Act, 1912, ...").
2. **Facts of the case**: the figures or dates that decide it.
3. **Analysis**: compute where needed (the 10% cap, the deadline date); compare.
4. **Conclusion**: permissible or not; what the auditor does (report, special report to the Registrar, ask for correction, qualify).

"Auditor's duty regarding audit of an LLP" (4 marks)

The four heads in order, each with its content: engagement letter; minutes book; LLP agreement (a)–(k); reporting (records correct and reliable, information obtained, restrictions). ICAI's September 2025 answer is

exactly these; an answer that stops at the agreement loses the reporting mark.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the sole trader must be audited**
   Fix: a sole trader is under no legal obligation; the audit serves regulators or banks, and the proprietor sets the scope, so put it in writing (SM 9.32–9.33).

2. **Charity before the reserve**
   Fix: 10% of the net profits **remaining after the compulsory transfer to the reserve fund**, and only with the Registrar's sanction (SM 9.63).

3. **AGM appoints the first multi-state auditor**
   Fix: the **board** appoints the first auditor within one month of registration; the general meeting does so only if the board fails, and the AGM appoints the subsequent auditors (SM 9.69, 9.90).

RECAP

- Sole trader: no legal obligation to audit; the proprietor appoints and sets the scope, so the scope and limitations go in writing (or a letter to the client for confirmation).

- Partnership: partners appoint (decision or deed); study the deed's 11 matters; seven special matters; report if any partner's interest is prejudiced.
- LLP: audit under Rule 24 unless turnover ≤ ₹40 lakh or contribution ≤ ₹25 lakh (SM wording, though ICAI's MTP key reads it as audit if either is exceeded); designated partners appoint (first year before its end, later years 30 days before year end), partners if they fail.
- LLP returns: Form 11 within 60 days of year end; Form 8 within 30 days after six months; auditor's duty: engagement letter, minutes, agreement (a)–(k), reporting.
- Co-operative: Registrar audits or appoints (section 17); shares 20% or ₹1,000; loans only to members; section 32 investments only; reserve before dividend; charity ≤ 10% after reserve; Education Fund a charge.
- Co-operative audit: overdue debts (6 months–5 years, over 5 years), overdue interest out of profit, bad debts certified, special report to the Registrar, audit class, draft discussed with the managing committee.
- Multi-State: CA only; board appoints first auditor within a month; over ₹1,000 indebtedness disqualifies; section 77 special audit needs 51% government capital; inquiry and inspection on 15 days' notice. (The umpire is sent by the association, not chosen by the captain.)

9.6 Cinemas and hire purchase and leasing companies

Key idea

In a cinema, revenue is proved through the tickets: serially numbered, bound, a separate series for each show, class and advance booking, kept in custody, agreed with cash at the end of each show, with free passes authorised and tax reconciled to tickets. In a hire purchase or leasing company, the agreement is the evidence: its terms, the regular receipt of instalments or rentals, the lessee's credit and the documents, and whether the lease is a finance lease or an operating lease.

FORMATS AND FORMULAS

Formula

Hire-purchase charges

$$\text{Total charges (interest)} = \text{Hire-purchase price} - \text{Cash price}$$

Hire-purchase price = deposit or initial payment + all instalments. Instalments overdue = instalments due to date under the agreement – instalments received.

∑ **Formula**

Present value test for a finance lease

$$PV = \sum_{t=1}^{n} \frac{L_t}{(1+r)^t}$$

L_t = minimum lease payment of period t; r = discount rate; n = number of periods. If PV is at least substantially all of the fair value of the asset, the lease is a finance lease (SM 9.54).

ANSWER FRAME

"Areas to verify in the internal control mechanism of a cinema" (5 marks)

Write point 1(a)–(e) in order, one mark each; if more is asked ("receipts from sale of tickets"), add the end-of-show statement, free passes, tax reconciliation and Daily Statements to Cash Book, and the online booking system.

"Which kind of lease, and its treatment?"

1. **Provision**: the attributes of a finance lease (or "other than a finance lease") as the Study Material lists them.
2. **Facts**: lease term against economic life; present value of the minimum lease payments against fair value; ownership transfer or purchase option; specialised asset; who bears insurance and maintenance.
3. **Conclusion**: finance or operating lease, then ownership, accounting treatment and tax benefit from

the comparison table.

Three answers to "points to note in a finance lease agreement" (3 marks)

Loses marks

"See that the agreement is signed and the rent is received."

Neither is one of the four points.

Passes

Description of lessor, lessee, equipment and location; tenure, payment dates and late charges.

Two of four points.

Full marks

All four: description and location (no removal except for repairs; plates); amount, tenure, dates, late charges, deposits; return on termination at the lessee's cost; no assigning or subletting by the lessee.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the operating lease that became a loan**
   Fix: use alone does not make a finance lease; an operating lease is like renting, the asset stays off the lessee's balance sheet and the payments are expenses (SM 9.55).

2. **Capitalising the cinema's repairs**
   Fix: for a cinema, the Study Material is explicit: vouch advertisement, repairs and maintenance, and **no part of such expenditure should be capitalised** (SM 9.50).

3. **Writing a purchase option into the lease**
   Fix: in the normal finance lease modality, **no purchase option is given to the lessee in the lease agreement itself**; at the end the lessee may get a renewal right or join in a purchase when the lessor sells (SM 9.53).

RECAP

- Cinema revenue is proved through tickets: printed, serially numbered and bound, separate numbers for each show and class, a separate series for advance booking, ticket inventory in custody.
- After each show, tickets sold agree with cash; free passes recorded and authorised; tax reconciled with

tickets per class; Daily Statements vouched into the Cash Book.

- Cinema expenses: advertisement, repairs and maintenance never capitalised; film hire vouched with distributors' bills and agreements; unadjusted advances for films already run enquired into and provided for; restaurant share followed up.
- Hire purchase: possession now, property with the last instalment, hirer may terminate before; agreement in writing, signed, stating hire-purchase price, cash price, commencement, instalments and goods; instalments received regularly.
- Leasing company: object clause, credit analysis, agreement terms (location, tenure, return, no subletting), proposal form, invoice, acceptance letter, lessee's Board resolution, insurance copies.
- Finance lease transfers substantially all risks and rewards (treated like a loan: asset on the lessee's balance sheet, interest and depreciation); an operating lease is any other lease (rent: expense, no depreciation). (Like the bus conductor, the cinema must account for every ticket on the roll.)

CHAPTER 10

Audit of Banks

10.1 Bank accounting system and audit approach

Key idea

In a bank, the system produces the numbers that matter most: asset classification, provisions and interest income. The auditor must obtain evidence that the RBI's norms are built into that system, never assume that system-generated information is correct, and plan the audit around the bank's risks and controls.

ANSWER FRAME

"Explain the auditor's approach in a CBS environment"

1. The duty: be familiar with and satisfied that the latest RBI norms and parameters are built into the system generating classification, provisioning and income recognition data.
2. The prohibition: do not assume system-generated information is correct without evidence.
3. The method: professional skepticism and prudence; manual checks of authenticity and consistency; documentation of the results.
4. Applied to the facts, then the conclusion (rely, or do not rely and re-work).

"Discuss the engagement team discussion in a bank audit"

Block	Points that earn marks
Purpose	Understand the bank and its environment, including internal control; assess the potential for material misstatement; documented; at the planning stage
Who	All personnel on the engagement, including experts contracted by the firm, with the engagement partner
Matters	(a) to (f): likely errors; prior-year errors; how fraud might be perpetrated; responses to engagement, pervasive and specific risks; professional skepticism; alertness to signs of misstatement
Advantages	Emphasis on fraud risk and the response; delegation to experienced members and procedures when fraud is found; need for specialists reviewed

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "the system is RBI-compliant, so I ticked it"**
   Fix: the Study Material says the opposite: the auditor should not assume system-generated information is correct without evidence that it is based on the required parameters; check the parameters, re-work a sample by hand, document it.

2. **Leaving the expert out of the team**
   Fix: the engagement team is all personnel performing the engagement, including any experts contracted by the firm in connection with it.

3. **Mixing up the plan's bases with SA 300's strategy factors**
   Fix: the bank answer is the Study Material's four bases: nature and level of operations, adverse features, compliance in previous reports, internal control risks.

RECAP

- A bank audit is shaped by huge volumes, a wide network, many products, heavy technology and strict RBI vigilance.

- In a CBS environment the auditor must be satisfied that the latest RBI norms are built into the system that generates classification, provisioning and income data; never assume system information is correct; check manually where needed and document.
- Banking operations happen only at branches; controlling offices set policies, delegation and supervision.
- Audit plan bases: nature and level of operations, adverse features, compliance in previous reports, internal control risks.
- Six control questions: who, what, when, where, why, how.
- Engagement team (experts included) discusses six matters at planning: likely errors, prior errors, fraud methods, responses to risks, skepticism, alertness; documented.
- Review the adverse comments on advances in seven reports, including the RBI's inspection report, concurrent audit reports and the manager's charge-handing-over report.
- Financial statements: section 29 of the Banking Regulation Act; Third Schedule Form A (Balance Sheet) and Form B (Profit and Loss Account). (Read the recipe before you taste the chai.)

10.2 Appointment, powers and report of a bank's auditor

Key idea

A bank's auditor must be qualified to audit companies and has a company auditor's powers of access, but the appointing body, the approving authority and the fee-fixing authority differ for a banking company, a nationalised bank and a Regional Rural Bank; a nationalised bank's auditor reports to the Central Government; and suspected frauds are reported to the RBI as well as to the bank's chief executive.

ANSWER FRAME

"Discuss the provisions on the appointment and remuneration of a bank's auditor"

Point

Qualification

Banking company

Qualified to audit companies (section 30(1))

Nationalised bank

Same

Regional Rural Bank

Same

Point

Appointed by

Banking company

Shareholders at the AGM

Nationalised bank

Bank, through its Board

Regional Rural Bank

The bank concerned

Point

Prior approval

Banking company

RBI

Nationalised bank

RBI

Regional Rural Bank

Central Government

Point

Remuneration

Banking company

Section 142 (general meeting)

Nationalised bank

RBI, with the Central Government

Regional Rural Bank

Not given

Point	Powers
Banking company	As a company auditor (access to books, accounts, documents, vouchers)
Nationalised bank	Same
Regional Rural Bank	Same

A reporting case

1. **Provision**: whom the report goes to and what it must state, in the Study Material's order; or the RBI circular, SA 250 and SA 240 for a fraud case.
2. **Facts**: the kind of bank, the gap in the draft or the suspicious transaction.
3. **Analysis**: why the provision applies (confidentiality is over-ridden; CARO excluded for a banking company; unaudited branches need figures).
4. **Conclusion**: the corrected report or the report to the RBI and the Chairman/MD/CEO.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the nationalised bank's AGM**
   Fix: it is appointed by the bank acting through its Board of Directors, with the RBI's prior approval; the AGM appointment is for a banking company.

2. **The CARO annexure that follows every report**
   Fix: CARO 2020 does not apply to a banking company as defined in section 5(c) of the Banking Regulation Act; the section 143 matters are still stated.

3. **"The vigilance department will handle it"**
   Fix: anything susceptible to be fraud goes to the RBI, in addition to the Chairman/MD/CEO; confidentiality is over-ridden by statute, law or courts (SA 250).

RECAP

- A bank is audited by a person duly qualified to be an auditor of companies (section 30(1), Banking Regulation Act); eligibility and disqualifications are as for a company auditor.
- Appointment: banking company at the AGM, nationalised bank by its Board, both with RBI approval; Regional Rural Bank by the bank with Central Government approval.

- Remuneration: banking company under section 142 (general meeting); nationalised banks and SBI by the RBI in consultation with the Central Government.
- Powers: the same access to books, accounts, documents and vouchers as a company's auditor.
- A nationalised bank's auditor reports to the Central Government: true and fair view and explanations; transactions within powers; adequacy of branch returns; any other matter.
- Report the number of unaudited branches and their advances, deposits, interest income and interest expense; banking company: section 143 matters yes, CARO 2020 no.
- LFAR: matters specified by the RBI; SCAs submit it latest by 30 June; executive summary optional.
- Anything susceptible to be fraud: report to the RBI in addition to the Chairman/MD/CEO; confidentiality is over-ridden by law (SA 250). (The invigilator tells the board, not just the principal.)

10.3 Audit of advances, NPAs and drawing power

Key idea

Classification as an NPA rests on the record of recovery, borrower by borrower, never on the security or the borrower's net worth. The security comes in afterwards, to size the provision, and to push an account straight to doubtful or loss when it has eroded.

FORMATS AND FORMULAS

Computation of drawing power

Reproduce this layout from memory (SM 10.35): unpaid stocks come off before the margin, ineligible debtors come off before the margin, and the total is compared with the sanctioned limit.

Particulars of current assets	Amount	DP
(A) Stocks		
Stocks at realisable value	1,000	
Less: Unpaid stocks: sundry creditors 300, acceptances/LCs etc. 300	600	
Paid-for stocks	400	
Less: Margin @ 25%	100	300
(B) Debtors		
Total debtors	1,000	
Less: Ineligible debtors	200	
Eligible debtors	800	
Less: Margin @ 40%	320	480
Total drawing power		**780**

The margins and the eligibility of debtors (for example, debtors up to 90 days) come from the sanction terms. ICAI's suggested answers then restrict the amount the borrower can draw to the **sanctioned limit** when the computed DP is higher.

∑ **Formula**

Provision on a doubtful asset

$$\text{Provision} = r \times \text{Secured portion}$$
$$+100\% \times \text{Unsecured portion}$$

Here r is 25% (D1), 40% (D2) or 100% (D3); the secured portion is the realisable value of the security, up to the outstanding, and the unsecured portion is the rest of the outstanding. Sub-standard: 15% of the outstanding; loss: 100% of the outstanding (SM 10.28).

∑ **Formula**

Large advance (SM 10.21)

$$\text{Large advance} > \min\left(₹10 \text{ crore},\ 10\% \text{ of } A\right)$$

Here A is the aggregate year-end advances of the branch, and the test is on the advance's year-end balance.

ANSWER FRAME

A classification and provisioning case

1. **Provision**: the NPA definition for the facility (term loan, CC, bill, crop loan), the categories and rates, and any special rule the facts touch (borrower-wise, guarantee, erosion, deposits).

2. **Facts**: dates or periods, outstanding, security, what the branch did.
3. **Analysis**: when it became an NPA; its age; any rule that moves it; secured and unsecured portions; the provision.
4. **Conclusion**: classification, provision required, short or excess, and the effect (advances and profit overstated).

"State the matters on which the auditor obtains evidence about advances"

The seven points (a) to (g) of section 7 above, in the Study Material's order and words, each applied in a line if a case is given.

A drawing power question

The statement in the format above, then one line comparing the total with the sanctioned limit and the outstanding, and one on the date of the stock statement.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "fully secured, so not an NPA"**
   Fix: classification as NPA is based on the record of recovery; the security and the borrower's net worth are not taken into account.

2. **The good loan of a bad borrower**
   Fix: classification is borrower-wise, not facility-wise.

3. **The doubtful provision on the whole outstanding**
   Fix: the rate goes on the secured portion only; the unsecured portion needs 100%.

4. **Testing erosion on the wrong base**
   Fix: 50% is measured against the value assessed by the bank or accepted by the RBI at the last inspection; 10% against the outstanding. Check the 10% test first: if it is met, the asset is loss.

5. **DP on paper the borrower never paid for**
   Fix: deduct unpaid stocks first, then the margin; use a current statement; restrict drawings to the lower of DP and the sanctioned limit.

RECAP

- An NPA is an advance that has ceased to generate income: term loan or bill overdue for more than 90 days, cash credit or overdraft out of order.
- A cash credit is out of order in any of three cases: balance continuously above the limit or DP, no credits for 90 days, or credits below the interest debited.
- Classification rests on the record of recovery, borrower-wise; security and net worth are ignored.

- Sub-standard (NPA up to 12 months) 15%; doubtful D1/D2/D3 25%/40%/100% of the secured portion plus 100% of the unsecured; loss 100%.
- Security below 10% of the outstanding: loss straight away; below 50% of the last inspection value: doubtful straight away.
- Central Government guarantee intact: standard, but NPA for income; State Government: NPA for both. Advances against deposits with adequate margin need not be NPAs.
- Crop loans: NPA after two crop seasons overdue (short duration) or one (long duration, season over a year, fixed by the State Level Bankers' Committee).
- DP = paid-for stocks less margin + eligible debtors less margin, on a statement not older than three months; drawings within both DP and the sanctioned limit; stock audit above ₹5 crore funded exposure. (Rent, not the house.)

Interactive version: PassBook app, lesson Audit of advances, NPAs and drawing power

10.4 Audit of revenue items in banks

Key idea

A bank recognises income on accrual, but income from non-performing assets only when actually realised: when an advance becomes an NPA, unrealised interest, fees and commission already credited are reversed or provided for, and further interest is kept in a memorandum account outside income and outside gross advances.

FORMATS AND FORMULAS

Form B: Profit and Loss Account for the year ended 31st March

Reproduce this skeleton from memory (SM 10.39); the schedule numbers are those printed in the format.

Particulars	Schedule
I. Income	
Interest earned	13
Other income	14
Total	
II. Expenditure	
Interest expended	15

Particulars	Schedule
Operating expenses	16
Provisions and contingencies	
Total	
III. Net profit for the year	
IV. Appropriations: transfers to statutory reserves, capital reserves, investment reserve account, revenue reserve, special reserve; interim dividend; proposed dividend; dividend tax	
Total	
Accounting policies	17
Notes on accounts	18
Earnings per share (basic and diluted)	

∑ **Formula**

Weighted average interest rate on deposits

$$\bar{r} = \frac{\sum(B \times r)}{\sum B}$$

Here B is the average balance of each type of deposit, worked out from its quarter-end balances, and r is that type's rate. Compare $\bar{r}$ with the actual average rate (interest on deposits as per the accounts ÷ total average deposits) and with the previous year's rate (SM 10.46–10.47).

∑ **Formula**

Discount on a bill purchased, at the year-end

$$\text{Earned} = \text{Discount} \times \frac{\text{Days to year-end}}{\text{Days of the bill}}$$

Earned: the discount income of the year; the rest is unexpired discount, shown under Other Liabilities (SM 10.42). The Study Material gives no day-count rule; this lesson counts from the day after the purchase up to the year-end (15 February to 31 March is 44 days). State the convention in an answer.

ANSWER FRAME

"Write a short note on reversal of income"

1. NPA as at the close of any year: entire unrealised interest credited in past periods reversed or provided for; also for Government guaranteed accounts.
2. Fees, commission and similar income cease to accrue and are reversed or provided for, if uncollected.
3. Wrongly recognised income: reverse if in the current year; provide an equivalent amount if in previous years.
4. Enquire into large unexplained debits to interest income and borrowers' complaints about interest charged.
5. Add, where relevant: leased assets, take-out finance, partial recoveries, memorandum account.

"Discuss two analytical procedures to verify interest on deposits"

Procedure	What the auditor does
Weighted average rate	From quarter-end deposit analysis, compute the weighted average rate; compare with the actual average rate as per the accounts; enquire into a material difference
Trend	Compare the average rate paid with previous years; analyse material differences
Period analysis	Month-on-month or quarter-on-quarter cost analysis from the ledger break-up; document reasons for variances

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "the system charged it, so it is income"**
   Fix: on an NPA, interest is income only when actually realised; unrealised interest already credited is reversed (current year) or provided for (previous years).

2. **The Central Government guarantee that saves the income**
   Fix: it is standard for classification but an NPA for income recognition; the reversal rules apply to Government guaranteed accounts also.

3. **Netting the rediscount**
   Fix: the rediscount interest is not to be netted off; and only the discount for the period up to the year-end is income, the unexpired part going to Other Liabilities.

4. **Commission on a bill nobody has paid yet**
   Fix: the commission becomes due only when the bill has been collected.

RECAP

- Form B has two income heads (interest earned, other income) and three expenditure heads (interest expended, operating expenses, provisions and contingencies).
- Income is accrued when collection is reasonably expected, but income on NPAs only when actually realised; this also covers Government guaranteed accounts.
- On an NPA: reverse or provide for unrealised interest, fees and commission; reverse current-year wrong income, provide for earlier years'; memorandum account outside gross advances.
- Partial recoveries: uniform, consistent appropriation policy; never income if paid out of a fresh facility to the same borrower.
- Advances against deposits, NSCs, KVPs and life policies with adequate margin: interest on the due

date.

- Bills purchased: apportion the discount; unexpired part to Other Liabilities; rediscount interest not netted. Bills for collection: commission due when collected.
- RBI 1% norm: accrue items above 1% of total income (gross) or of net profit before tax (net); smaller ones may be on receipt without qualification.
- Interest expense: weighted average rate from quarter-end deposits against the actual average rate and last year's; test checks against the rate card. Provisions: RBI circulars, classification sample, ledger agreement, tax computation. (Cross out the unpaid cups.)

CHAPTER 11

Ethics and Terms of Audit Engagements

11.1 Professional ethics and the fundamental principles

Key idea

A Chartered Accountant shall comply with **each** of the five fundamental principles: integrity, objectivity, professional competence and due care, confidentiality and professional behaviour. Where no specific rule fits, the principles still apply: ICAI expects the spirit of the Code to be followed, not just its letter.

ANSWER FRAME

"Identify and explain the principle" (1 to 2 marks per situation)

1. **Name the principle** as a heading: "(a) Integrity".
2. **Quote the definition**: only the limb that fits ("shall not knowingly be associated with information that omits required information where such omission would be misleading").
3. **Apply it to the facts**: "In the given case, Harsh knowingly omitted ...".
4. **Conclude**: "Hence, the principle of integrity is violated." (Or "not violated", as in a disclosure required

by law.)

"Distinguish between the principles-based and the rules-based approach" (2 marks)

Write the comparison table of §3 as points: essence (spirit versus established rules); professional judgment in every situation versus following rules; narrow outlook and rigidity of rules; conclusion that the spirit of the Code must be followed.

Three answers to file (b)

Loses marks

"Harsh is dishonest."

A judgment, not an answer: no principle named, no definition.

Passes

"Integrity is violated because Harsh hid the demand."

Right principle, but no definition and no link to "misleading".

Full marks

Integrity named; "straightforward and honest" and the omission limb quoted; the facts applied (required by the format, knowingly omitted, decisive to the bank); "Hence, integrity is violated"; in service is no exemption.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: independence as the sixth principle**
   Fix: there are five: integrity, objectivity, professional competence and due care, confidentiality, professional behaviour. Independence, its threats and safeguards are a separate topic.

2. **Integrity and objectivity swapped**
   Fix: false or misleading information is integrity; bias, conflict of interest or undue influence is objectivity. When both are present, name both.

3. **Confidentiality as a vow of silence**
   Fix: disclosure is allowed when required by law, when permitted by law and authorised by the client or employer, or under a professional duty or right not prohibited by law.

4. **The client's say-so is not always enough**
   Fix: the second exception needs *both* permission of law and the client's authority; and the auditor's working papers remain the firm's, shared at its discretion.

RECAP

- Ethics: moral principles governing a person's behaviour; a state of mind strong enough to resist selfish motives.
- Need: society, governments, clients, taxing authorities, employees, investors and the business and financial community trust Chartered Accountants; assurance exists to enhance users' confidence; the profession acts in the public interest.
- Deviation brings the disciplinary mechanism: fines, suspension or removal from membership, or other action.
- Principles-based approach: the spirit of ethics and professional judgment in every situation; rules-based: rigid, may be narrow. Follow the spirit of the Code.
- Five principles: integrity, objectivity, professional competence and due care, confidentiality, professional behaviour. Comply with each.
- Integrity covers false, negligent **and** misleadingly incomplete information; diligence means carefully, thoroughly and on a timely basis.

- Confidential information may be disclosed when required by law, permitted by law and authorised by the client or employer, or under a professional duty or right not prohibited by law. (The umpire may tell the court; he may not tell the bookie.)

Interactive version: PassBook app, lesson Professional ethics and the fundamental principles

11.2 Independence, threats and safeguards

Key idea

Independence must exist in fact (independence of mind) **and** appear to exist to a reasonable and informed third party (independence in appearance). Five threats attack it: self-interest, self-review, advocacy, familiarity and intimidation. When one exists, desist, eliminate it, or reduce it to an acceptable level with recorded safeguards; if credible and adequate safeguards cannot be fully implemented, do not accept the work.

ANSWER FRAME

"Classify the threats and state what the auditor should do"

1. A table: **situation** → **threat**, one line each.
2. For each, the **reason** in the Study Material's words ("could benefit from a financial interest", "services that are themselves subject matters of audit", "client's advocate in litigation", "close relative … in a senior position", "pressure to disproportionately reduce work").
3. **What to do**, in the guiding principles' words: consider threats before taking on work; desist, eliminate, or safeguards to an acceptable level, recorded; if credible and adequate safeguards cannot be fully implemented, do not accept the work.

4. Where marks allow, the specific step for each threat (sell the interest, remove the person, decline the service).

A skepticism case: provision, facts, analysis, conclusion

Definition → the "alert to" item the facts trigger (contradicting evidence, doubtful reliability, fraud conditions) → what the auditor should do (investigate further, modify or add procedures; past honesty does not excuse) → the risks it reduces → conclusion on the auditor's approach.

"Distinguish between independence of mind and independence in appearance"

Point	Meaning
Independence of mind	State of mind permitting an opinion without influences that compromise judgment
Independence in appearance	Avoiding facts and circumstances so significant that an informed third party would conclude independence is compromised

Point	Test
Independence of mind	The auditor is himself satisfied
Independence in appearance	No unbiased person would be forced to conclude independence is likely abridged

Point

Enables

Independence of mind

Integrity, objectivity and professional skepticism

Independence in appearance

Users' confidence in the report

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "I know I am independent, so there is no threat"**

   Fix: independence must also exist in appearance: the test is whether a reasonable and informed third party, knowing all the facts, would conclude that integrity, objectivity or skepticism had been compromised.

2. **The share dealer filed under self-interest**

   Fix: a financial interest in the client is self-interest, but the Study Material's example of an auditor who **deals in the shares or securities** of the audited company is **advocacy**: he is seen to promote the client.

3. **Self-review and familiarity reversed**

   Fix: the client's former director now on the audit team is self-review; the audit firm's former partner now a director of the client is familiarity.

4. **Safeguards as an afterthought**
   Fix: say which, that they must reduce the threat to an acceptable level and be recorded, and that if credible and adequate safeguards cannot be fully implemented, the work must not be accepted.

5. **Skepticism as suspicion of everyone**
   Fix: the auditor may accept records and documents as genuine unless he has reason to believe the contrary; skepticism means a questioning mind, alertness and critical assessment, and investigating further when there is reason to doubt.

RECAP

- Independence: judgment not subordinate to the wishes or direction of another who engaged him, or to his own self-interest; a condition of mind and character that rules alone cannot create.
- Two perspectives: independence of mind and independence in appearance (the reasonable and informed third party); it must exist in fact and appear to exist.
- Self-interest: financial interest, loan or guarantee, fee dependence, close business relationship, potential employment, contingent audit fees.
- Self-review: reviewing one's own earlier judgment or service; audit team member recently a director or

senior employee of the client.

- Advocacy: dealing in the client's shares, acting as its advocate in litigation. Familiarity: close relative in a senior post, former firm partner at the client, long association, significant gifts. Intimidation: threat of replacement, pressure to cut work with fees, threat of litigation.
- Threat exists: desist, eliminate, or safeguards to an acceptable level, recorded; if credible and adequate safeguards cannot be fully implemented, do not accept.
- Professional skepticism: questioning mind, alertness to misstatement from error or fraud, critical assessment of evidence; documents may be accepted as genuine unless there is reason to doubt; past honesty does not excuse it. (Bunty returned the gold card. He now buys his own chai.)

Interactive version: PassBook app, lesson Independence, threats and safeguards

11.3 SA 210: agreeing the terms of audit engagements

Key idea

Accept or continue an audit only when its basis is agreed: the preconditions are present (an acceptable framework, and management's acknowledgement of its responsibilities) and the terms are commonly understood and recorded in an engagement letter or other written agreement.

FORMATS AND FORMULAS

ICAI's example engagement letter (SM 11.17–11.20)

Reproduce the headings in order, and the auditor's and management's responsibilities point by point: May 2026 asked for five of the auditor's responsibilities for 5 marks. ICAI's example is from PJ Shrimali & Co. to Pristine Products Limited; the wording below is ICAI's, with Tapri's names put in.

Iyer & Associates, Chartered Accountants, Indore. [Date]

To the Board of Directors of Tapri Tea Co. Ltd

The objective and scope of the audit

You have requested that we audit the financial statements of Tapri Tea Co. Ltd, which comprise the Balance Sheet as at March 31st, 20XX, the Statement of Profit & Loss, Cash Flow Statement for the year then ended, and notes to the

financial statements, including a summary of significant accounting policies and other explanatory information.

We are pleased to confirm our acceptance and our understanding of this audit engagement by means of this letter. The objectives of our audit are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Standards on Auditing (SAs) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The responsibilities of the auditor

We will conduct our audit in accordance with Standards on Auditing (SAs) issued by the Institute of Chartered Accountants of India (ICAI). Those Standards require that we comply with ethical requirements. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures

responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. However, we will communicate to you in writing concerning any significant deficiencies in internal control relevant to the audit of the financial statements that we have identified during the audit.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion.

Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Because of the inherent limitations of an audit, together with the inherent limitations of internal control, there is an unavoidable risk that some material misstatements may not be detected, even though the audit is properly planned and performed in accordance with SAs.

The responsibilities of management

Our audit will be conducted on the basis that management and, where appropriate, those charged with governance acknowledge and understand that they have responsibility:

- (a) For the preparation of financial statements that give a true and fair view in accordance with the financial reporting Standards. This includes:
  - The responsibility for the preparation of financial statements on a going concern basis.
  - The responsibility for selection and consistent application of appropriate accounting policies, including implementation of applicable accounting

standards along with proper explanation relating to any material departures from those accounting standards.

    - The responsibility for making judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the entity at the end of the financial year and of the profit or loss of the entity for that period.

- (b) For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and
- (c) To provide us with:
    - (i) Access, at all times, to all information, including the books, accounts, vouchers and other records and documentation, of the company, whether kept at the head office of the company or elsewhere, of which management is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters;
    - (ii) Additional information that we may request from management for the purpose of the audit; and
    - (iii) Unrestricted access to persons within the entity from whom we determine it necessary to obtain audit evidence. This includes our entitlement to require from the officers of the company such information and explanations as we may think necessary for the performance of our duties as auditor. As part of our audit process, we

will request from management and, where appropriate, those charged with governance, written confirmation concerning representations made to us in connection with the audit.

Fees

Our fees bill for ₹ XXXXXX (plus applicable taxes) and out of pocket expenses will be raised after completion of audit work.

Reporting

We will report to the members of Tapri Tea Co. Ltd as a body, whether in our opinion, the financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the company as at March 31, 20XX, and its profit/loss, and its cash flows for the year ended on that date. The form and content of our report may need to be amended in the light of our audit findings.

Please sign and return the attached copy of this letter to indicate your acknowledgement of, and agreement with, the arrangements for our audit of the financial statements including our respective responsibilities.

For Iyer & Associates, Chartered Accountants. Firm's Registration Number. (Signature) (Name of the Member) (Designation)

A case question on acceptance or change of terms

1. **Relevant provision**: "As per SA 210, ...": the preconditions and the consequence of their absence; or the reasonable-justification rule and its examples; or the recurring-audit factors.
2. **Facts of the case**: what management refused, limited or requested, and why.
3. **Analysis**: which precondition fails; would the limitation lead to a disclaimer; is the reason a change in circumstances or misunderstanding (reasonable), or unsatisfactory information (not reasonable); which recurring-audit factor is present.
4. **Conclusion**: accept or not (with "unless required by law or regulation"); agree or not, and the consequences (new terms in writing; or withdraw where possible and consider reporting); revise or remind.

"What should the auditor consider before agreeing to change to a lower level of assurance?"

Point	What earns the mark
Justification	Determine whether there is reasonable justification
Implications	Assess any legal or contractual implications
Work done	May be relevant to the changed engagement
Report	Appropriate to the revised engagement; no reference to the original audit or its procedures (except agreed-upon procedures)
Terms	Agree and record the new terms in writing
If refused	Withdraw where possible under law; decide whether to report to those charged with governance, owners or regulators

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the engagement letter sent by the client**

   Fix: the audit engagement letter is sent **by the auditor to the client**. (The Study Material's own Correct/Incorrect question.)

2. **Accepting first, fixing the preconditions later**
   Fix: discuss the matter, and unless required by law or regulation, do not accept the engagement.

3. **Agreeing to a review to rescue the client from a qualified opinion**
   Fix: a request that relates to incorrect, incomplete or unsatisfactory information has no reasonable justification. If the client then refuses to let the audit continue, withdraw where possible under law and consider reporting the circumstances.

4. **"We audit them every year, so no new letter"**
   Fix: a new letter is not needed every period, but the auditor must assess whether to revise the terms or remind the entity, and the eight factors (a significant change in ownership or business, new laws, a new framework, new reporting requirements ...) make it appropriate.

RECAP

- Objective: accept or continue an audit only when its basis is agreed: preconditions present, terms commonly understood.
- Preconditions: an acceptable framework, and management's acknowledgement of responsibility for preparing the financial statements, for internal control, and for giving access to information and unrestricted access to persons.

- Preconditions absent: discuss; unless required by law or regulation, do not accept. A proposed limitation leading to a disclaimer: do not accept as an audit.
- Terms recorded in an engagement letter (or other written agreement) sent by the auditor to the client: objective and scope; auditor's and management's responsibilities; framework; expected report and that it may differ.
- Law prescribing the terms: record only that the law applies and that management acknowledges its responsibilities.
- Change of terms: only with reasonable justification (changed circumstances, misunderstanding), never to escape a modified opinion; new terms in writing; if refused and the audit is stopped, withdraw where possible and consider reporting.
- Recurring audits: assess revising or reminding; eight factors, from misunderstanding to new reporting requirements.
- No trials, no fitted suit.

11.4 SQC 1 and SA 220: quality control

Key idea

SQC 1 applies to the **entire firm** and to **all** engagements; SA 220 applies to a **particular audit** and is premised on the basis that the firm is subject to SQC 1. Both rest on six elements, and both aim at reasonable assurance that the work complies with professional standards and regulatory and legal requirements and that the reports issued are appropriate in the circumstances.

FORMATS AND FORMULAS

Two clocks that start on the date of the auditor's report

Reproduce this from memory: both limits run from the date of the auditor's report, not from the year-end or the end of fieldwork.

Rule (SQC 1)

Assembly of the final audit file

Limit

Not more than 60 days after the report date

Report dated 22 May 2026

By 21 July 2026

Rule (SQC 1)

Retention of audit documentation

Limit

Ordinarily not shorter than 7 years from the report date (or the group auditor's report, if later)

Report dated 22 May 2026

At least until 22 May 2033

ANSWER FRAME

A case on SQC 1 or SA 220

1. **Provision**: "As per SQC 1 ..." or "As per SA 220 ...", only the element the facts touch, in its words.
2. **Facts**: "In the given case, ..." with the dates, the client's status (listed or not) and who did what.
3. **Analysis**: compliant or not, and why (the 41 days, the listed status, the missing authority).
4. **Conclusion and action**: "Hence, the firm has not complied ...; it should ...".

"Distinguish between SQC 1 and SA 220"

Point	SQC 1	SA 220
Scope	All engagements: audits, reviews, other assurance and related services	Audit engagements only
Level	The entire firm	A particular audit engagement
Responsibility	Firm; CEO or managing partners assume ultimate responsibility	Engagement partner
Basis	The firm's system of quality control	Premised on the basis that the firm is subject to SQC 1
Fourth element	Human resources	Assignment of engagement teams

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the firm-wide SA 220**
   Fix: the reverse. SQC 1 applies to the entire firm and all engagements; SA 220 to a particular audit, and it is premised on SQC 1.

2. **The fee-sized review**
   Fix: EQCR is mandatory for all audits of listed entities, whatever the fee; the firm devises criteria only for other engagements.

3. **Clocks started at the year-end**
   Fix: assembly within 60 days after the date of the auditor's report; retention ordinarily not shorter than seven years from the date of the auditor's report (or the group auditor's report, if later).

4. **The reviewer as the new signatory**
   Fix: the review does not reduce the responsibilities of the engagement partner; he still may not date the report until the review is complete.

RECAP

- SQC 1: the entire firm, all engagements; SA 220: a particular audit, the engagement partner, premised on SQC 1.
- SQC 1 objective: reasonable assurance that the firm and its personnel comply with professional standards and regulatory and legal requirements, and that reports are appropriate.
- Six elements: leadership, ethical requirements, acceptance and continuance, human resources (SA

220: assignment of engagement teams), engagement performance, monitoring.

- Leadership: CEO or managing partners hold ultimate responsibility; operational people need experience, ability and authority. Independence: communicate, identify and evaluate threats, notify breaches, written confirmation at least annually.
- Acceptance: integrity of the client, competence (capabilities, time, resources), ethical requirements; seven integrity matters, including money laundering indications and why the previous firm left.
- EQCR: mandatory for audits of listed entities; does not reduce the engagement partner's responsibilities; the report is not dated until it is complete.
- Files assembled within 60 days after the report date; retained at least seven years from it (or the group auditor's report, if later); the property of the firm.
- SA 220 engagement partner: overall quality, raising concerns without reprisals, competent team with experts, direction, supervision and review, monitoring results, four documentation matters. (Kesar now calls his café inspectors "EQC reviewers".)